Prestige Estates Projects Ltd. (PRESTIGE)

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“Prestige Estates Projects Limited
Q3 & 9M FY'24 Earnings Conference Call
February 14, 2024

MANAGEMENT : MR. IRFAN RAZACK – CHAIRMAN AND MANAGING DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED
MR. VENKAT NARAYANA –CHIEF EXECUTIVE OFFICER – PRESTIGE ESTATES PROJECTS LIMITED
MR. AMIT MOR – CHIEF FINANCIAL OFFICER – PRESTIGE ESTATES PROJECTS LIMITED

MODERATOR : MR. ASHUTOSH MITTAL -- AXIS CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9 Months FY '24 Earnings Conference Call of Prestige Estates Projects Limited hosted by Axis Capital. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ashutosh Mittal from Axis Capital. Thank you, and over to you.
Ashutosh Mittal: Good afternoon, everyone, and welcome to the call. We have the management from Prestige Estates represented by Mr. Irfan Razack, Chairman and Managing Director; Mr. Venkat Narayana, the CEO; and Amit Mor, CFO.
I'll now hand over the call to the management for the initial comments. Thank you.
Irfan Razack: Venkat?
Venkat Narayana: Good afternoon to all of you. Welcome to post results interaction of Prestige Estates. To begin with, in terms of operations, we had extremely good quarter and overall 9 months have been very good. We had also given an operational note before.
Our total sales for the 9 months stand at INR16,333 crores, up by 81% compared to previous year. Likewise, even collections have gone up by 20%. 9 months collections stand at INR8,478. All in all, we sold 16.13 million square foot of area so far, totalling to 8,402 units.
And in terms of average realization, again, it's grown 19% year-on-year to INR10,143 that's what we have realized 9 months this year so far. We sold at an average 31 units a day so far in these 9 months. Also, in terms of launches, we have seen highest-ever launches during this fiscal so far.
We launched over 30 million square foot of area, aggregating to 11,000-plus units across various cities. Prominent in that is one of last quarter, especially, is the largest single project that we have launched in Hyderabad over 12 million square foot. We completed during the quarter, again, in Hyderabad 3.6 million square foot of office, projects in Goa and Moxy Hotel, which is a brand of Marriott.
Important milestone in terms of completions, though, this quarter, we have completed 12 million -- this year so far, we have completed 12 million. Last week, we had 6 project completions. With that, overall in terms of number of projects completed and delivered so far, cross 300, which is an important milestone for us, aggregating close to 180 million square foot of area.
Now what's important to note is over 3 decades of our presence in the real estate across various cities, we have done 180 million square foot, right now, as we speak, our under construction and under planning total projects are also equal to 170-odd million square foot. We're working towards churning high-value and large projects quickly. If you see the profile of the projects compared to earlier years and now, the scale of each project has grown. Almost we have 5, 6

projects now over a $1 billion size and in addition to that, Prestige City as a format is something which we are taking -- we have now Prestige City in Bangalore, Prestige City in Bombay, Prestige City in Hyderabad. We're looking at other cities where there is traction and absorption

and launch Prestige City, which is a sizable residential unintegrated unintended development of ours.
Looking at the financials. This 9 months, the total revenue stands at INR7,192 crores and EBITDA at 43%, PAT at 19%. Quarter-on-quarter, if you look at this quarter, we had to total revenue of INR1,970 crores, slightly down, although we have completed a lot of projects. Revenue is recognized based on the handing over. So handovers have been slightly lesser. And -- but this quart

er, whatever we have completed in the last quarter will get handed over and revenue should be back.
Now we have overall now our sales already made close to INR32,000 crores of revenue that we have not recognized and that will come for recognition over the period of next 3 years, which is assuring INR10,000 crores plus of top line, not considering any new sales that we are going to do every year, year after year.
Overall, debt remained almost at the same level. Debt equity remained at 0.6. Really good quarter, we've got a lot of projects coming up for the launch. And we're also looking at the regions that we have not been present to expand our operations apart from adding new projects in the existing cities.
With this brief, I would like to open the forum for question and answers, please.
Moderator: We have a first question from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: Irfanji and Venkat, congratulations on a decent quarter. So my first question is in the ninth month presales of INR16,000 crores odd, so how much is the contribution of the new launches?
Irfan Razack: How much is the contribution of new launches?
Parikshit Kandpal: Yes, yes.
Irfan Razack: I think as inventory is concerned, there's hardly any inventory in Bangalore, so it came only from new launches. Of course, we do have some inventory in Hyderabad and there's a continuing inventory in Mumbai because that's a big inventory there. So -- but however, a lot of inventory, bulk of it comes from new launches, 80%. That's what Venkat says.
Parikshit Kandpal: So that's the only concern which I have now, sir, because you have grown at such a rapid pace and I mean you will look at all means crossing INR20,000 crores of sales this year. So given the upcoming residential pipeline, barring a couple of large launches, so we don't have enough large launches to support the growth on this INR20,000 crores.
Irfan Razack: We have enough and more. Everything is not seen, but then there is a lot on the plate and in fact, whatever we had probably planned, we would have crossed our target also of this thing, but it doesn't matter. As and we go up for the next financial year, we have a lot, and there's a lot of

discussion happening for pipeline. See, after all, we do understand that we need raw material, which is land. There's enough and more land that has been offered to us. That's a good news. So we are also choosy in what land we pick up. It's not that everything that is offered to us, we just pick it up. And we have got the ability to turn around projects within 6 to -- 6 months to a year. When I say turnaround, it means from the time we acquire land to the time we bring it to the market.
Venkat Narayana: Just to add to what Chairman sir said, now in terms of residential upcoming projects, the total potential that we have is the inventory that we can bring in is around INR4,200 crores, okay? And just because we launched a lot of projects during this year, 80% of the sales have come from new launches. And we also have close to INR16,000 crores of inventory. That inventory plus the upcoming projects put together, we have enough to sell next 2 years. And as sir was mentioning, there is lot of diligence that are happening in different geographies and those also will get added.
Parikshit Kandpal: Okay, sir. Got it. Sir, my second question is on the NCR now. So NCR, we have Noida project, which got slightly delayed, but you have put it out for a launch in FY '25. But any sense on like how the Delhi launch, which we have already have when it can happen. And on Gurgaon side, when will we get our first breakthrough in terms of closure of business development?
Irfan Razack: Yes. I mean that's a good question. You see the first one, which is Sector 150, which has been stuck for a long time, even as early as this morning, we had a conversat

ion. They are hopeful that in the next fortnight or so, we should have the approval in place. Once that happens, we have inventory there. Plus very recently, we have signed up a 63-acre plot in -- closer to Indirapuram.
Now that's where the Prestige City in NCR will come. And that also will be work in progress. It all again depends on how quickly we can get approvals and I mean, do our job in terms of getting the planning and everything else in place. So it's all work in progress. And even in Delhi, there are a couple of projects that we have tied up. One is in KG Marg and the other is Kamla Nagar,

even that also will happen soon.
Parikshit Kandpal: Okay. And sir, Gurgaon?
Irfan Razack: Gurgaon, yes, there is something, but then -- I mean, I don't want to talk about something which has not yet been signed up, but then the rest, whatever I've talked about is all signed up deals. There are 1 or 2 big ones that we are looking at, but the moment it gets signed up, we'll talk about it maybe the next quarter.
Parikshit Kandpal: Okay. And just the last question on the BKC. So we're still not seeing that project move into -- the commercial project move into ongoing, still showing an upcoming. So has the financial closure achieved there? When are we looking to break ground? Has the contractor been appointed? So at what stage of like approvals or progress it is?

Irfan Razack: No, while they've kept it in ongoing in the first place, the contractor has been appointed, that LNP the rehab tower is -- construction is going on and is going on at a fast pace and the only question that you ask is on financial closure, which Venkat will update you.
Venkat Narayana: So this is underway. We should be able to conclude it next 2 to 3 weeks.
Parikshit Kandpal: Okay.
Irfan Razack: But I don't know, maybe it's a lap. It should have been under ongoing because it is actually factually ongoing. Work is going on pretty -- at a good speed. And I don't understand why it's...
Venkat Narayana: Yes, that -- those are all things work in progress that will come.
Moderator: We have a next question from the line of Kunal from Bank of America.
Kunal: Just 2 quick questions from my side. The first one is that a lot of sales in the quarter have come from Prestige City Hyderabad where company's stake is 30%. And yet if we look at what were the bookings at the company level and that attributed to Prestige, both are very similar, INR5,300 crores and INR5,100 crores. So I just wanted to understand why should this be the case if the ownership is 30%. Is it that you have earmarked inventory, which is what is getting sold out?
Irfan Razack: See, It's not like that. You see we bought the whole land is 62 or 63 acres, out of which we bought from that same land, only half of that land. And the other half belongs to our land partner. He did not want to sell the whole land to us, so it's like a joint development or a joint venture, whatever you call it. And in the SPV that we have bought, where the company share is 60%, and the balance is with the other partners.
Venkat Narayana: So then the SPV, half the land is bought, half the land is where we are doing project management funding for which we have fees. But in terms of market planning, it is considered one project. So it got sold in that manner. I think similar structure is also being done somewhere else, wherever we're buying land, the remaining is held by the landowner to do it as a one project so that the efficiency can be better.
Irfan Razack: But one thing that I'd like to add here is the main entity is -- the listed entity will definitely, definitely get the upside in terms of the top line fees which we are getting from our partner as well as the subsidiary, so that there is the overhead and everything else will be picked up as well as there will be a profitability. So there is a benefit in terms o

f that. So it's too early -- we get
benefit twice. So that way, I think there's no loss in terms of profit or anything. That is the listed entity.
Kunal: Right, right. Got it. The other one is second, I think in your opening comments, you were mentioning the price realized per unit is up 19%, 9 months of the year. How does that split between price increase versus a mix improvement for you?
Venkat Narayana: Mixture of both. If you look at existing markets, price increase is around 12% to 14%. And contribution of Mumbai also because the realization per square foot is higher pushes up the

average realization per square foot slightly above. Leaving aside Bombay, if you do the math, it could be around 8,200 or so that gets pushed above.
Irfan Razack: Even Bangalore today is an average of 10,000 plus on sales that are happening. That's how the price has gone up. Because even on the contrary, even our cost of construction as well as land cost also has gone up. So it's not that it's a windfall because it's all fresh inventory and fresh construction that's happening. If you had old inventory and selling at new prices, it's a windfall. But unfortunately, in our company, we don't have any old inventory.
Moderator: We have a next question from the line of Pritesh Sheth from Motilal Oswal.
Pritesh Sheth: Congrats on the strong performance. Firstly, in terms of launches, we have seen some pushout in Bombay, Prestige Nautilus. But otherwise, whatever launches which are planned in Bangalore and Chennai, Pallava Gardens, is on track for launch in Q4?
Irfan Razack: Nautilus will not happen in Q4. It will happen in the first quarter of the next financial year. And

Forest Hills, we are trying hard to see whether we can get some part of it in this quarter that is the Q4 quarter. And Pallava Gardens also the plan has been approved by CMDA, but Chennai moves very, very slow. In fact, I was personally there to push things. But unfortunately, it goes slow. Hopefully, we should be able to launch it in the next quarter.
Pritesh Sheth: Sure. So in that case, how do you think about maintaining this INR5,000 crores kind of a run rate for next quarter? Obviously, there is INR16,000-odd crores of inventory, which we have largely probably would be in Hyderabad. So how do you think about ending this year in terms of presales number?
Irfan Razack: See, we've got one launch in Bangalore that will come up this month and maybe one more. And the rest of it has to be sustenance sales. And we have set a benchmark for us for INR20,000 crores, which I believe we'll cross easily without even getting that INR5,000 crores. But if you do get the INR5,000 crores, it will go to INR21,000 crores or so. But then the following quarter will be a boom quarter for us because there are a number of approvals that will come, a number of launches that will happen.
So it will go into the next financial year. But I think as it is to get to INR20,000 crores or big, so I don't see any stress in that. Yes, one quarter will be more, one quarter will be less. Like in one quarter, we had done INR8,000 crores, another quarter, we did INR3,000 crores. But at the end of the day, we -- according to me, we have to cover INR3,000 crores, INR7,000 crores, which we should cover easily, maybe more than that. That's where we are now.
Pritesh Sheth: Sure. Sure. Got it. And just on business development again. So you laid out a strong pipeline in NCR. But a couple of markets, which I'm probably interested in is Mumbai, where we are almost at the end of launching whatever projects we had once we launch Nautilus and the second phase of Mulund. How is the pipeline looking like in Mumbai? Would you still be now aggressive in acquiring more projects or probably just wait and watch and execute the existing ones and then probably a year down the line, you will start building up that pipelin

e. And specific comments on Pune as well, which is one of the markets we are looking closely from the residential perspective.

Irfan Razack: We have signed a term sheet in Pune. If that happens and certifies, legal due diligence is on. If that happens, we'll have a fairly, fairly large project there. And Mumbai, see, again, it's -- I can't go and buy -- tie up anything and everything that's offered to us. The whole of Mumbai is being offered to us. But we are also doing the touch and feel. We want to make sure that whatever we've tied up first is there like in Mumbai, there's another big one which we are not talking of though it's there in our books is Jijamata Nagar. Now the position is that the vacation has started, the eviction has started there. It's a large piece of land, 17 acres.
And if you look at Mumbai, I think we should look at the outskirts now because the high-priced property, too much of it also will create a glut. So apart from what we have, which is in Central Mumbai, we'll definitely be looking at places like Thane and maybe something more in Mulund or Andheri and other places, which will be at that point more -- the product will be that much more affordable to Mumbai standards.
Pritesh Sheth: Sure. Interesting. And just lastly, while we are planning a whole lot of new project additions, how do you think -- how much do you think the spend would be in terms of new regulations, are all these projects largely outright? Or how is the mix? And what is the planned investment for next year in terms of new project additions.
Venkat Narayana: I mean, whatever the upcoming residential projects that you see close to 53 million square foot that we have put up in the presentation slide #21, mostly paid for. If you ask exactly what is the balance to incur cost in this entire -- the list of the projects close to it would be around INR800 crores to INR1,000 crores. Otherwise, it's paid for fully and good for launches various stages of approval, some of them are in the planning stage.
Whatever is under diligence right now, I mean we are pursuing some land parcels in Bangalore and NCR predominantly, those we need to pay for. We will be able to achieve that through internal accruals.
Pritesh Sheth: Okay. But from a mix perspective, those are like outright or balance tilted towards JVPDs as well. How is the mix?
Venkat Narayana: We would say 60% of them are outright and 40% will be JVPDS.
Pritesh Sheth: So the broad calculation, INR4,000 crores to INR5,000 crores of new -- this land spend would be sufficient to get that much of a pipeline or I'm a bit off on that number?
Venkat Narayana: For the next year, we have adequate pipeline because we also launched a lot of projects during this year. So we have inventories that we can sell from even those projects. And then as I told you, upcoming also, we have enough. This year, broadly business development point of view towards upcoming projects balance INR800 crores, to INR1,000 crores. And maybe additionally, another INR1,500 crores to INR2,000 crores is what we should provide for. So net-

net, INR2,500 crores to INR3,000 crores.
Moderator: We'll take the next question from Kushagra from Old Bridge Asset Management.

Kushagra: Just 3 questions. One, on the -- first on the Ocean Towers. So what's your sense on the response which you have received? Like how much time probably you think it will take to sell up the entire project given 10% or so had got sold out in the launch quarter? So just some qualitative comment over there.
Irfan Razack: Ocean Towers, I think we are pretty happy with the response. Without the CEC being ready, without any advertising, we've sold almost 40% of the stock or more that is the tower that we've launched. There are 2 towers there. The first tower is gone almo

st 40% and without any aggression at some good pricing. And hopefully, I think at the same speed, we should be able to clean it up in the next 3 quarters. And then we've got the second tower, which we'll launch probably another after 6 months or so, 2 more quarters.
Kushagra: All right. And can you give us the launch timelines for 3 particular Bangalore projects, which are Southern Star, the Varthur project, Raintree Park and Falcon City Phase 2?
Irfan Razack: Raintree Park will be the first, which will happen in the next quarter. And then it will be followed by Southern Star and then followed by Falcon City Phase 2.
Kushagra: All in 4Q or the latter 2 we will get postponed to first quarter of FY '25?
Irfan Razack: We've also got another project in Whitefield called Pine Forest. That's fairly largish. Even that also should happen in the next quarter.
Kushagra: All right. And sir, just last question to understand the upcoming and the land parcel, which you have. So you have around 770-odd acres of land parcels, right? And the upcoming pipeline, which you've already spoken about 40 million square feet, INR42,000 crores, how much of this 750-acre land parcel is not getting covered in the upcoming pipeline? And -- I mean, I'm just trying to understand beyond this upcoming of 40 million and in the land, which you have already signed or...
Irfan Razack: Of the 768, one is 224, which is Goa. We already have done the planning, everything else. And hopefully, if everything goes well, it doesn't have a name, but -- in this investor presentation, but the name we've given is Prestige Seascapes. It's got components of villas, plotting and it's got a small component of a little hospitality asset, which is part of the clubhouse. And we also have high-rise apartments.
So this approval should come in the next quarter and moment that comes in with RERA registration, we should be able to launch that. It's a fairly largish development. Similarly, we have got the -- many other like in Rajendra Nagar and Hyderabad, which is Budvel, We have bought that land 24 acres, which will, again, is under planning, which will come up soon. And then, of course, there is something in Bangalore North, which again will come in, which is 48 acres and then we've got the biggest one that is there, which is more or less assembled and sort of aggregated is Bidadi. And with the new Mysore Road happening, it's almost 200 acres of land, so that could be another Prestige city in that part of the city.
So that's how it is. This land bank is not stagnant. There's nothing in this list that is not stagnant. And most of it will definitely come up for development at some point of time or the other. There's

only one land, which we may not develop at all, which is the land in Bangalore because we believe that for us, it will be a defocus. And at some point of time, we may monetize that land, which is 21 acres. And then that will be getting out of our system.
Moderator: We have a next question from the line of Abhinav Sinha from Jefferies India.
Abhinav Sinha: So Venkat, can you give us an idea on the sales breakup for the 9 months between the major cities and resi commercial?
Venkat Narayana: Breakup of what, Abhinav?
Abhinav Sinha: Of the presales in the major cities as well as residential and commercial?
Venkat Narayana: Predominantly, it's only residential. Okay. So breakdown city-wise is not in the presentation, I'll have it sent to you.
Abhinav Sinha: Okay. So I just wanted to check, I mean, how much is Bangalore as a percentage now? And have you sort of achieved the diversification measure there that you wanted to?
Venkat Narayana: The broad numbers I can give you in detail in terms of share. Bombay is around 3,500 to 4,000. Hyderabad is going to be around 3,000, and rest of it predominantly is Bangalore.
Abhinav Sinha: Okay. So Bangalore is trendin

g around 50%, 60% now?
Venkat Narayana: 50%, 60%, yes.
Abhinav Sinha: And are we where we wanted to be in terms of Bangalore contribution? Or are you still saying that this ratio is a little dynamic and Bangalore can go down?
Venkat Narayana: So, see, ratio is the by-product of the work that we do. I mean, to maintain the ratio, we are not acquiring the projects. So there's a business potential in Bangalore, doing well, and we can get the approvals quick and launch, we'll do more projects. And Hyderabad is doing extremely well. Prestige City has got a great response.
As Chairman sir was mentioning, we have got 24 acres of land, which can be a large development 7, 8 million square foot development in that area. So that will be launched. So this mix is also going to be very dynamic. Now NCR projects get launched. Automatically, then that will add to the pie and Bangalore may come down further.
Abhinav Sinha: Got it. And sir, on commercial mix. So earlier, it used to be a meaningful contributor, right, to the top line as well as bottom line. But what is the thought process here? Is it like the cycle is not very conducive for commercial sales, or you would like to see it back up again?
Irfan Razack: No, no, the cycle is extremely conducive for commercial sales. Only we have held back. We want to now not do too much of strata sales. Though we are doing a small part of it, but rest of it is to create assets, build it up, lease it out and then maybe at some point of time, if you have a critical mass, take it to a REIT or something like that because, I mean, it's easy to just develop, sell and move on strata sales. Of course, it's a good number over there. But there is a certain

strategy to get much -- far, far better return in the long term. So we restrict ourselves from selling the strata.
Abhinav Sinha: Okay. Sir, on the current quarter, the land purchase amount was, I think, among the lowest that we have seen recently, sub INR700 crores. So is this the right number to look at now for the next, let's say, 4, 5 quarters? Or...
Venkat Narayana: While answering in the earlier question, that's what I was mentioning, Abhinav, is around INR800 crores to INR850 crores is what we should look at for the quarter. I'm not exactly telling, but the year as a whole, if we look at maybe around INR3,500 crores of spend towards the business development.
Abhinav Sinha: So sort of grow on what we are doing now in sales, right?
Venkat Narayana: Considering the fact that we also do some JVPD.
Moderator: The next question is from the line of Shivam, an individual investor.
Shivam: Yes, sir, as you mentioned that there will be plenty of launches in the next fiscal year. So can you just give us a breakup -- like can you just give us a guidance of the presales number that you are expecting for the next fiscal year?
Venkat Narayana: Right now, we are looking at this quarter, how we are going to end this financial year. The planning for the next fiscal starts as we end this financial year. It's too early to talk about FY '25 guidance. What are the numbers that we're going to reach this year, we'll try and work towards how we can achieve and try and grow on those numbers.
Shivam: And sir, any guidance on how much will be the top line we will be expecting?
Venkat Narayana: No for FY '25. Just no.
Shivam: You won't be able to give?
Venkat Narayana: See, I mean it's not about giving a random number. I mean, the kind of processes that we have, we need to speak with the heads of each of the cities and the verticals, look at their plan for each city and what we have in pipeline and what can get approval, which quarter, what can get launched and also speak with the sales team and how much of existing inventory we can sell off. And it will be a sum of parts of each city, each segment, new launches and completed and ongoing projects, put toget

her, we need to tell you that number. For the next year, we are not doing right now. We are looking at the -- focus is on this year.
Shivam: So the next year, you are immediately focusing that the Q1 will be having the highest number of launches?
Venkat Narayana: Yes. We should be able to get a lot of projects, which are underway for approvals by then. A lot of launches.

Shivam: And any numbers that you can give on the deliveries that we can expect of next fiscal year?
Venkat Narayana: This fiscal year so far, we have delivered around 12 million as of last quarter. And as I mentioned, last week, we had fixed completions. That is also aggregating to -- so overall, I think we'll end this year with 20-plus million square foot of completion.
Moderator: We have a next question from the line of Kunal Lakhan from CLSA.

Kunal Lakhan: So, when I look at our peer group of developers, we are selling more than others, but we have a relatively lower pipeline of projects compared to others. And when I look at some of the peers, despite having a sizable pipeline are raising equity to acquire more land since they are seeing more opportunities, attractive opportunities for acquisitions. Our approach seems to be slightly different. Are we seeing the opportunities differently here? Also, like if you can -- a follow-up on that would be like would you look at raising equity to either fund for business development or CapEx for that matter?

Venkat Narayana: Kunal, if you look at -- that's what I was mentioning in the opening remarks, 180 million square foot of projects done in 30 years. And as we speak just now, we have ongoing and upcoming, ongoing also acquired last couple of years only and under planning itself is 117 million square foot.

I know which competitive developer that you are referring to. I'm not too sure ongoing and upcoming put together if people have got of this size and scale. But having said that, I mean, like, for example, Bombay, if you take. After we did whatever the acquisitions, the first and primary focus was to launch those projects and see the traction, unlock the capital that we have deployed and then churn the same capital to acquire a few more projects. We have now Nautilus to be launched. Otherwise, we've launched all the projects for which we have deployed the capital.

Now once that is done, we will look at next leg of projects in Bombay in different geographies, the different locations than what we are currently present. Same thing applies for each and every city because there's no point in accumulating and buying so much. What we have 53 million square foot is not small, and the value of 53 million square foot is INR42,000 crores and we also have got at least 15 to 20 projects right now, large projects, scale of the projects also has a considerable increase.

If you look at 26 projects, they are 53 million square foot. And on an average, each project is 2 million square foot. So 15 to 20 projects across various geographies, various cities, due diligence also happening. So be rest assured the business development activity, acquisition of projects, either by way of through NCLT, our ARP or acquisition directly from the private landowners is robust, and we have a method to doing that. And that will not let the growth slowdown.

Kunal Lakhan: Sure, sure. I mean I understand and I take your point in terms of the million square foot, but in terms of value terms, right, I mean, INR56,000 crores, INR57,000 crores of pipeline versus what we are selling already INR20,000 crores this year. And of course, that number will go up going ahead. So at no point in time we'll be short of projects, I'm assuming that in terms of pipelines.

Venkat Narayana: So INR42,000 crores of upcoming projects value, plus INR16,000 crores of current i

nventory
out of what we just launched all put together nearing INR60,000 crores. And not that we're not going to sign anything at all in a month on month. So while answering that question, we said we are keeping aside INR3,500 crores of money for the business development. So with that money, a lot of acquisitions also will happen. Chairman was mentioning -- while answering the earlier question, in NCR, we are signing up a large project, Prestige City. The top end of that project would be close to INR8,000, INR10,000 crores.

Kunal Lakhan: Sure, sure. And just on the same question that in terms of like would you look at raising equity for either funding debt or business -- CapEx for business development?

Venkat Narayana: As of now, we don't have any plans as such. We will evaluate at that point in time. Maybe for you to know during this Board meeting, one of the discussion items in terms of monetization of assets was to evaluate now that we've got close to 12 operating hotels, and many keys are under construction in different cities.

Evaluate hospitality portfolio so that is it a right time to look at raising capital for that segment separately monetized in some form or the other. There's a separate committee that's been set up, which will evaluate and based on the input given by that committee, whatever is the outcome, it will be put forth to the Board in the next meeting and accordingly, the decision will be taken.

Kunal Lakhan: Sure. That's helpful. My second question was on our segment-wise metrics that we give. The margins and the ROCEs for the resi business, especially the margins, right, still remain a bit lower than what we would expect at 19%. How should we look at this number going ahead, especially with the new projects coming in?

Venkat Narayana: Driven by the nature of the projects that have come up for the recognition. But as you know, average realizations have considerably grown last year and this year. These projects have not yet come for revenue recognition. So once they start coming in, I think the margins have been sustainable and back on track.

Kunal Lakhan: So on the INR32,000 crores of unrecognized revenues, what kind of margins do you think you can make?

Venkat Narayana: The gross margins will be in the range of around 30%. 30%, 32%.

Kunal Lakhan: Sorry, I didn't get that.
Venkat Narayana: 30% to 32%.
Kunal Lakhan: 30% to 32%. Okay. Got it.
Moderator: We have a question from the line of Pritesh Sheth from Motilal Oswal.
Pritesh Sheth: Two bookkeeping questions. One is debt, which is sitting outside our books on the JV projects, what would that number be?

Venkat Narayana: Between 4 different projects where we have partners, around INR1,900 crores to INR2,000 crores would be not coming for consolidation.
Pritesh Sheth: Okay. And this is our share? I mean this is total. Offset our share would be.
Venkat Narayana: We have to consolidate, our share would be half.
Pritesh Sheth: Yes. Okay. Got it. And secondly, just on other income, which we have seen a very healthy number since last 3, 4 quarters. I understand obviously, some bit of it is due to the REIT holding that we have. But I mean, on a quarter-on-quarter basis, what keeps that number very high at around INR170-odd crores. So what are the components to that?
Amit Mor The major component of other income is the REIT itself. It's around INR90 crores to INR100 crores. And apart from that, we have certain interest income and all that, which we collect on our refundable deposits and ICDs what we have given to JV entities. So basically, these are the components of other income.
Pritesh Sheth: Sir, REIT INR90 crores to INR100 crores would be the revaluation income or the rental income, which is flowing to us.
Irfan Razack: It is basically the REIT units listed. So as per the accounting standard, you have to mark-to-market every quarter

based on the present prices on that date. So INR100 crores including dividend income is -- INR90 crores to INR100 crores is what we have additionally upside during the quarter.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you, sir.
Venkat Narayana: Thank you, everyone, for taking time out to be in this call and for a very interactive session. We are happy to provide further information that you may need to understand the company a lot more. We and the management division and the teams that we have are continuing to work towards how we can grow and create value for all our stakeholders. Thank you and look forward to your continued support.
Irfan Razack: Thank you. Thank you for the participation. We enjoyed the interaction, and I hope we were able to give you clarity. Thank you again.
Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

(no extractable text — likely a scanned image PDF)

Call: May 2024

“Prestige Estates Projects Limited
Q4 & FY '2 4 Earnings Conference Call
May 29, 202 4

MANAGEMENT : MR. IRFAN RAZACK – CHAIRMAN AND MANAGING DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED
MR. AMIT MOR – CHIEF FINANCIAL OFFICER – PRESTIGE ESTATES PROJECTS LIMITED
MR. ZAYD NOAMAN - EXECUTIVE DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED
MR. VVBS. SARMA – EXECUTIVE DIRECTOR - ACCOUNTS - PRESTIGE ESTATES PROJECTS LIMITED

MODERATOR : MR. ASHUTOSH MITTAL – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Prestige Estate Q4 and FY24 Earnings Conference Call hosted by Axis Capital L imited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero o n your touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to the Axis Capital team. Thank you and over to you.
Ashutosh Mittal : Thank you, Steve, and good afternoon, everyone. As always, we have Mr. Irfan Raza ck, Chairman and Managing Director, and Amit Mor, Chief Financial Officer of Prestige Estate.
We're also taking this opportunity to reintroduce Mr. Zayd Noaman. He's an Executive Director with the CMD's office at Prestige Group, active for more than 10 years now. Zayd overlooks a host of functions in Prestige, including sales and marketing, business development, land acquisitions, strategic investments, corporate finance, amongst other things. He's also a President -elect for CREDAI Bangalore Chapter.
From an education perspective, he has a double master's degree from both Columbia University and London Business School. He did work with Capital Land in Singapore for a couple of years before joining Prestige Estates. With this, I would request Mr. Raza ck to take over. Sir.
Irfan Razack: Thank you for the introduction. I have with me, like you said, I have Zayd , I have Amit, I have Mr. Sarma also here at the call and thank you all of you for joining. As usual, this quarter gone by, and the year gone by has been quite historic for Prestige Estates.
I think we've done the highest sales ever in our company, that is INR21,000 plus crores during the financial year 24, and even the quarterly sales for the previous quarter at INR4,700 crores, which is again up 21 % year on year. We had given a guidance of 18,000 or 19,000, but we have crossed 20 and it's now 21,000, which is probably what we were trying to achieve for. And this year, hopefully on this 21,000, we'll again give a fairly decent growth of almost 25 % to 30%. That's what we are hoping for. But the teams I know will surprise me and give me more. Also, we've done the highest ever annual collections and that's all touching almost INR12,000 crores and a quarterly collection of 3,400. And we also sold the hig hest ever area of 20.25 million square feet and in the last quarter, 4.11 square feet. So that is quite a big task and a big achievement. And the number of units sold stood at 10,068 units for the financial year 24, and for the quarter at 1,666.
We have t he average realization since we say 20.25 million and 21,000, an average realization of INR10,000 plus per square foot for the year 24. Yes, the pricing of the product is going up increasingly more and there's acceptance for that price. And we also did, th ough last quarter there were not many launches in the residential segment, we did launches for the office and retail.

And of course, that is not for sale. So without any major launches for the last quarter, we still managed to clean up all the old inventory and that's a good feel. And we have got the launches

during the year, we did 40.19 million square feet, but this 40. 19 square feet includes office, includes retail, includes hospitality.

I think this break up I'll give you how much in that is residential a little later. Of course, the company has delivered more than 300 projects up to now and still counting. And on the financial side, for the year, we did the 9,425 in spite of Ind AS, in spite of the accounting system and all that we've been managing to clock good financial results also

and it's INR9,425 crores and an EBITDA of 4,000 with an EBITDA margin of 40% and a PAT of 17.27.

Our debt is still in control in spite of all the capex that we have. And I'm happy to say we've signed a major deal with ADIA , which is an equity platform, a combination of equity and debt and INR2,000 crores on four specific projects, two in Bangalore and one in Mumbai, one in Delhi. So this is quite a landmark investment because we also, ADIA is the first time ever has come independently and invested any private developer and they are looking at much, much more stuff to happen. So they're exc iting times.

We did tie up a very large parcel of land in NCR that's in Indirapuram of 62 and half acres with the sales potential of 10 million square feet, INR10,000 crores. And this will be launched sometime in August, September. This all depends on the approval process.

The faster the approval comes, the faster we will launch and then faster we'll realize the revenues.

And we launched the Prestige City in Hyderabad. Prestige City Hyderabad again did phenomenally well. I think the largest sales of Hyder abad are now with Prestige, though we have a fairly small player there, but now we've become a large player and Prestige City Hyderabad just in four months of launch has clocked almost INR4,000 crores worth of sales. And all in all, it's been quite excitin g. And the best news is that during the financial year 25, we have INR60,000 crores worth of launches in the pipeline where these are not something where land has to be tied up or designed.

The projects are designed, projects are logged in for approvals i n different stages of the approvals. And if all the approvals come the way we are planning financial year 25 should be a defining year, more so since the market is pretty robust. With this, I'll open the forum for questions.

Before that, I would like Mr. Zayd and Amit to add in a sentence each. So then we'll open it up for questions. Thank you very much for listening on to me.

Amit Mor: As CMD mentioned, ‘25 is an exciting year for us with INR60,000 crores of sales that is lined up for launch. That should give considerable free cash flows to the company and keep the debt levels and give us a significant cash flow for the business development.

Zayd Noaman : And just to add on, for the launches that we did in FY ’24, of the 40 million square feet that we had la unched, 31 million square feet was in residential and office retail hospitality contributed to 8.52. And out of the 20 -odd million square feet of new launches, INR21,000 crores worth of new launches that we sold this financial year, INR15,600 crores was so ld in office new launches and the balance was from the inventory.

Irfan Razack: Okay, now we are open for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Hi, Irfan Ji. Hi, Zaid. My first question is on business development for this year we have spent close to about INR4,800 crores as per the cash flows. So for the year as a whole for FY’25, so with t his INR2,000 crores which we have raised from RDR , so excluding that how much do you think you will spend on land, given that we have very limited inventory now in Hyderabad, which had contributed significantly to sales in FY ’24?

And incremental growth, wh ich we see from 21,000, giving a 25% guidance almost like almost INR5,000 crores -INR6,000 crores. So how do you intend to make it up? So intensity of BD and also like which locations you are looking at, how much will be the total deployment for FY ’25?

Irfan Razack: So the good n ews of Parikshit is that we’ve already got the land now. Even in Hyderabad, we’ ve got two large parcels of land in Budvel , which we bought in an a

uction. And this INR2,000 crores which I told you about earlier, all the money hasn't yet come in. Now that money will come in. It's for acquisition of two more, for two parcels the land has come in. One is for our --

which was for the retirement of debt of Edelweiss in our Prestige Ocean Tower in Mumbai. And there's one more that we did w as for Bangalore. There are two more properties that need to be bought, need to be tied up. And for this, the money is there. So it was just pre -emptive that we got the funding. And that is for Kamla Nagar in Delhi and also for a large tract of land in Goa. So once that is required, that will be utilized. Once that comes in, until then, we have just received as of today, only a sum of INR500 crores out of the 2,000 crores and not more.

And then moving on, you asked me how we are able to reach the INR26,000 crores. As it is, like I told you, we've bought a INR60,000 crores new pipeline plus a INR12,000 crores inventory which is in various cities, all put together INR70,000 crores. With that, I think even if I sell half my stock, it will be INR36,000 crores. I n spite of that, I've just given a guidance of INR26,000 crores to INR27,000 crores , which should be easily achievable. And I think we will surprise the market by doing more.

Parikshit Kandpal: That means that there has to be some heavy lifting. Even from Mumbai, I think Mumbai, FY ’23, we did INR2,700 crores of sales. ‘24, we did INR3,200 crores . So now since we have almost like a lot of premium launches coming up in Mumbai, so how do you think FY ’25 will shape up for Mumbai in terms of sales?

Irfan Razack: See, Mumbai, we have Prestige Forest Hills and Prestige City. We are waiting for the MOEF. Because of elections, the MOEF has got delayed and the meeting which was even fixed for last week got postponed for post the election results. And similarly, Nautil us, even there the MOEF is pending. Now once that gets done, I think both Nautilus in Mumbai as well as the Forest Hills in Mumbai are large number movers.

There ’s a pent -up demand there because Prestige City in Mulund is almost, more, or less, out of the 1,600 units in Bellanza , we have sold 1,300 or 1,400 units. So just about 200 units are left

over in different places. So Forest Hills will be a great number mover. Nautilus, there’ s a huge interest in and the moment we launch it, even that should go. Even the Ocean Towers, one tower which was launched is like almost fully sold out.

Now we are working hard to get the approval for the second tower and even the moment that comes with RERA registered, I think there ’s a lot of interest in that. With this, we wi ll get a lot of numbers for FY ’25 from Mumbai. Similarly, in Bangalore, there ’s a big pipeline. Hyderabad, there ’s a big pipeline. Goa, we have a big pipeline.

And of course, we talked about NCR. Even NCR, there are three large projects which are under approval, one in sector 150, one in Indirapuram and the other is in KG Marg . Once all these three get s done, there ’ll be substantial revenue that will come from these projects also. So we are pretty bullish, we are pretty positive that all this will transfer to sales, and I think it will be easy lifting, not heavy lifting.

Parikshit Kandpal: Okay. So just a last question on the commercial real estate. So we have almost 8 million squar e feet of total ongoing products supply coming up over the FY ’26-FY’27. So if you can give some colour on how much of this is already pre -leased?

Irfan Razack: Yes, see, this is a work in progress. You see, my teams are working hard to even do pre -leasing. Normally, I did this building in Pune, it was a million square feet. When we started it, it was like blank. We didn't know who the tenants will be, how many tenants will come and from where they will come. As we were closer t

o finish, we got this client c alled Bank of New York Mellon and they leased out the entire building.

In fact, what happened was our economic interest was only 69%, 31% was the landowner and the balance 59% was the company's interest. But then what ultimately transpired that we bought out the landowner's interest also, so the entire asset is now in the company's hands, the entire 100% asset and that's a good thing because then we can control the asset in a more proper manner and that is leased out.

Similarly, in Mumbai, there's a lot of interest in BKC, there's a lot of pitch has been made to various clients, very large clients, existing clients in Bangalore and Hyderabad. So that's also happened. Like Cochin, we have done one development that's fully leased out. Even Outer Ring Road , there was a bit of a blip now, stress -- but now everything almost is fully leased out. We have some inventory in Bangalore near the airport, which is a Prestige Tech Cloud , but that's work in progress.

That project is almost ready now and I think even tha t the teams are working hard. And for the under -construction projects also I think there is a lot of interest and as we progress, as we come nearer to completion, the demand will come.

Parikshit Kandpal: Sure sir. Thank you and wish you the best. Thank you.

Moderator: Thank you. The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead. Hello Mr. Pritesh, your line has been unmuted.

Pritesh Sheth: Hello.
Irfan Razack: Yes, P ritesh we can hear you.
Pritesh Sheth: Hello.
Moderator: Mr. Pritesh, your line has been unmuted. Please go ahead with your question. We will move on to the next participant. It's from the line of Kunal Lakhan from CLSA. Please go ahead.
Kunal Lakhan: Hi, good afternoon. So my first question was on when we look at the target that you're setting out yourself for INR26,000 crores, INR27,000 crores. So one needs to also build a pipeline that in the subsequent years to sustain or even grow from here on. So wi th that context just want to understand like we spent about INR4800 crores this year on new land and BD. How should we look at this number in FY25 and going ahead?
Irfan Razack: We do have Kunal we do have a big pipeline. Apart from 25 we have a pipeline w hich should be on upcoming projects and also there's a big land bank. So I believe that it's all work in progress. Everything can't be spelt out there, but then there is a pipeline and we are very conscious about that and all this will all happen as we mov e along and if Amit wants to add up something, Amit wants to say something.
Amit Mor: In terms of outlay for the next year it will be in the similar range of INR3500 to INR4000 crores. So that's what we are budgeting for 24 -25 in terms of business developm ent spent.
Kunal Lakhan: Sure. So INR3500 crores to INR4000 crores for the new land and plus like there'll be some pending payments towards existing land. Is that correct?
Amit Mor: It includes those pending payments. So that's our yearly capex spent is ar ound that INR3,000 crores to INR4000 crores, which is what we anticipate for this financial year also. And Kunal, just to add on there is no dearth of deals in the market. As Mr. Razack has also said before our approach is very simple. We are cherry pickin g what we want to do and conservatively approaching these deals and the market is huge.
If you just look at the Pune and NCR market, it's equal to the Bangalore market or even more. So I think once we get our bearings in these markets the deal flow is just going to ramp up even more and take that sales number even higher. I think your question must have been coming from upcoming we have 75 million square feet and we've showed 60 million square feet are expected to be launched this year. Yes, we'll try to la unch as many of

those as possible. It's very realistic.
We're not just putting a number over there because we've been working on this for quite some time and capital has been invested in the last year in this project. Hopefully, some will carry on to the Q 1 of the next financial year and there'll be more that we'll add on.
Kunal Lakhan: Sure understood. My second question was on the debt side. I think you guys have done a fantastic job of managing your debt levels despite the growth that you're seeing and t he capex that you're seeing. Just on the outlook for FY25 where do you see the debt number settling by March 25?

Irfan Razack: In fact, you'll be surprised. My direction to my team is there's so much of positive cash flow that will come in the following ye ar. The debt level will be below what it is today because that's what my ambition is, and I don't see it going up. I only see it going down. That's the game plan also.
We have a strategy in mind. We've got a lot of where money has been sunk in on land wher e there's not much of spent on construction.
We believe projects like Prestige White Meadows or Prestige Raintree Park where money has gone in for land and even in Prestige White Meadows where construction also has been done substantially. Once these get approved and launched it'll give us a huge amount of cash flow.
Similarly, Indirapuram, similarly now in the Prestige City Hyderabad also in Budvel even there we've got a lot of money spent on land and that will come into positive cash flows.
So we believ e that the debt levels for the end of financial year 2025 of course there'll be blips up and down quarter -on-quarter, but the cash flows will be pretty robust, and we will try and bring down the debt level from what it is today.
Kunal Lakhan: Sure. Just on e clarification on when you say debt levels will come down, you're talking about absolute debt levels or debt to equity?
Irfan Razack: Debt to equity.
Kunal Lakhan: Sure. Understood. And one last question from my side. Any update on the hospitality demerger and this thing that we are planning?
Irfan Razack: Yes, that's a work in progress. That's a good question. That's a work in progress and I believe that that's the way to go. That's where a lot of capex will be required for it. And once we do the demerger and we do an IPO that will give us additional bandwidth to grow the hospitality business because currently the hospitality business is booming and we're getting positive numbers from all the assets, current assets which are trading and we do have a huge pipeline of

new assets which are either under planning or under construction or approval. So all this will definitely require fresh spending and hence an IPO will be the need of the day.
Kunal Lakhan: Sure. Any indication of the timeline this will ha ppen in 2025?
Irfan Razack: Yes, we'll try and finish it in 2025 itself. There's no need to procrastinate. Hopefully, the team will work on it and make sure it happens in the next couple of quarters.
Kunal Lakhan: Great. Thank you so much and all the best.
Irfan Razack: Thank you Kunal.
Moderator: Thank you. The next question is from the line of Abhinav Sinha from Jefferies India. Please go ahead.
Abhinav Sinha: Hi and good to see the strong pipeline that we have put up. Can you give us an idea of how say the first quarter or second quarter is going to look like in terms of new launches?

Irfan Razack: Abhinav actually this quarter, the current quarter, the first quarter will be very soft. The reason is the approvals did not happen because of the election co de of conduct though whatever we've tried, it's quite a tough one. In spite of that whatever inventory we have and we had we are selling and in Bangalore we are in a near sold out position. But we hope th

at some more approvals will come through in this qua rter itself.
And then if we get the RERA, maybe we'll get some good numbers this quarter, but for sure the next and the next quarter will be quite defining. This quarter could be muted, but not so bad, but at the same time because of the election code of c onduct and the process, it has really put us into a bit of a bind.
Abhinav Sinha: Right. Sir, on Bangalore market also, how are we seeing pricing now? Is it stable or still you're seeing double digit growth?
Irfan Razack: Yes. Pricing is something that I w ouldn't want it to go spiral upwards. We do have to have a balancing trick between the selling price, our costs and land price and all of it and still retain our margins and make sure that the company earns decent margins. Because if the price goes up too high, too fast, it's counterproductive. And then the entire customer offtake will be a little slow.
So hence, we are very conscious on how we price our product.
It all depends on our function of how our product is priced, on cost, on the overhead and also land and opportunity cost. And basically, so we're very conscious and we also look at what the market will accept. And I think we balance our pricing. And I think so far, the team has done a good number. Actually, prices have grown. If you look at the ave rage ticket price of this thing is now 10,000 plus.
Moderator: Mr. Abhinav, does that answer your question?
Abhinav Sinha: Yes, I have another question if it is possible to do that.
Irfan Razack: Yes, Abhinav.
Abhinav Sinha: Yes. So on some -- on the longe r term, I just wanted to check on after the CEO's departure, banker's departure, what are your thoughts on having a professional CEO again or on the longer - term succession plan also, if we can have some thoughts there.
Irfan Razack: The thoughts are actual ly contrary to the perception; we have professional CEOs in every segment of the business. For the office, I have Jaggi Marwa, who heads the office business. I have the Mumbai head CEO, Tariq Ahmad, who runs the entire Mumbai operations. I have got Mr. Swa roop Anish, who heads the residential business. And I have Mr. Mohammad Ali, who handles the retail mall business. Similarly, now, among the promoter group, I have got Zayd Noaman, who is now going to take care of investor relations, funding, financing, and all of it. He has been in the business for a pretty long time. And he is pretty well -versed at how things will work. Now, Amit is now really cutting out his teeth and doing his job as a CFO and he is performing well.

Plus, in the NCR region, another pro moter, director that is Sana Rizwan, is going to take care of NCR. Hence -- and in hospitality also, we do have Mr. Suresh Singarvelu, who is quite a senior gentleman and who has been doing the hospitality business for quite a long time , of course, support ed by two promoter directors. One is Mr. Zaid Sadiq and Omar Jung.
So hence, I believe there is a pretty well -rounded team that is there and there is no vacuum of any sort including on the production side. We do have two promoter directors, that is Faiz Rizwan, who has quite a lot of energy and youth and he handles now the purchase and production along with my brother Rizwan. And of course, we have Mr. Gopal, the very senior most gentleman. Of course, in Mumbai also, we have the engineering team. So I beli eve that redundancy is not required. As things go by, we will see.

In case if there is a need, we will definitely fill it up. It is not that we want to run a very shoestring operation if the company needs to be strengthened with some more resources. As ti me goes by, we will strengthen the resources.

Abhinav Sinha: Great. So, thanks and all the best to the team.

Irfan Razack: Thank you.

Moderator: Thank you. The next question is from the line of P

ritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh She th: Yes, thanks for my question. And congrats on some great performance in SR24. Our first question is on the pipeline. So, Bangalore, you keep on adding projects nothing too much to worry on that. But specifically in Hyderabad.

Irfan Razack: No. Hyderabad , I've got a good pipeline. Chennai, I've got a good pipeline. And even now, Mumbai, I have a good pipeline. Plus, now the thing is we've also more or less concluded a large transaction in the Pune market because I believe that's where again there's potent ial. So we are not trying to spread ourselves too thin. But the potential was there, and this will be handled by my western region.

So, I think the pipeline is there. We are conscious that there's no sense in hanging on to a huge amount of so-called land bank and not launching. We do believe we have to be quick we have to have projects we acquire; we need to bring them to the launch pipeline like now Indirapuram, we tied up just about a quarter ago.

Now we want to bring that to the market soon. Now we've got not even KG Marg, we want to bring that to the market soon. So once those get launched in the next pipeline, we'll start this like Zaid very rightly said, every day there's offer for projects but we cherry pick and only select the best of the best. So, I don't think there's any dearth of opportunity. It's only trying to do things properly without spreading yourself too thin.

Moderator: Sorry to interrupt, sir but the current participant has been disconnected. The next question is from the line of Ashutosh Mittal from Axis Capital. Please go ahead.

Ashutosh Mittal: Sir, our pre -sales have been great. We have also capitalized well on the cycle. So in the next two years, can we see yearly sales of INR30,000 crores before the market actually peaks out?

Irfan Razack: Ashutosh, we'll make you INR30,000 crores in FY '25 but I'm not guiding. I'm only saying 26,000 but I'm very sure the team will touch 30.

Ashutosh Mittal: Okay, thank you, sir. And my second question is on closures of deals in Pune and Gu rgaon residential market. So both are big residential markets and we have been trying for some time. So any updates on these 2 markets?

Irfan Razack: Yes. Pune, as I told you, we have closed out one transaction which will get formalized in the next month or so. And that's a large ticket one in the sense it's a joint development, so there's not any major cash outflow. And we do have a local partner who's undertaken to get all the approvals, everything. We just have to give the scheme. So I believe that will be a big number mover for us there again. So I can't reveal more details than this, but it's all work in progress.

Ashutosh Mittal: Okay. And anything on Goa market, sir?

Irfan Razack: Goa, yes. Now we've already bought one piece of land and that's getting r egistered as we speak in Goa. And then we also have – we've got two large piece of tracts of land. One is now the one that in Goa I'm talking about, the seascapes, prestige seascapes. That's a combination of plots, villas, and high -rise apartments. That sh ould get launched if everything goes well by August, September.

Ashutosh Mittal: Okay, thank you, sir.

Moderator: Thank you. The next question is from the line of Pritesh Shah from Motilal Oswal. Please go ahead.

Pritesh Shah: So my question was I wanted a little more on pipeline specifically in Mumbai, Hyderabad , Pune which we were talking about. Hyderabad, you answered in a bit, and I heard that. So just on Mumbai, after these couple of projects launches, right, how do you think the pipeline is coming up in terms of other micro -markets in Mumbai apart from South Central? So just your comment on that and Pune, which you were talking about last quarter, where are we progressing on that front?

Ir

fan Razack: Now, as I told you, Mumbai, we have a good , strong pipeline just now. As I said, we always like to tread softly. Now let these 2 big launches happen. We would like to see the response. There are opportunities, like in central Mumbai, we're also working on the JijaMata Nagar, which is now, I think one-fourth of that slum is now getting cleared. And by August, September, the entire place will become a flat ground.

It's a big responsibility, but we need to do that. And we have to build 4,000 rehab homes, which the team has really worked on, the archi tects are in place. So that's central Mumbai. But now we are also conscious that we need to get in a product which is appealing to the mid -income group. And hence, we are looking at various opportunities in Thane, in Panvel, and other places. But

there are many opportunities, but we don't want to make commitments till the current commitments that are on hand get launched, and we get ourselves a little free.

Pritesh Shah: Sure. That's helpful. Second on the margins, this quarter, specifically on residential segments. So we have a sharp increase at 34%. Anything specific to look at, and what should be the sustainable margins on the sales that the company is right now doing? Should one assume in that sense?

Irfan Razack: Amit will answer this question. Amit.

Amit Mor: Hi, Pritesh. In the current quarter, we had 2, 3 project completions which had higher margins, which has resulted in an increase in margins. Going forward, most of our projects are in the range of 30% -35%. So EBITDA margin should remain at 20% -23%.

Pritesh Shah: Sure. That's where the average for the full year was ?

Amit Mor: Yes.

Pritesh Shah: Okay. And just lastly, I'm not sure if you have answered, but what should be the capex spend this year and next year? If you can guide on that number, so me range on that side.

Amit Mor: This year, we have spent INR2,300 capex, which includes INR1,600 on commercial, retail around INR250 crores, and hospitality, INR450 crores.

Pritesh Shah: I'm asking for FY '25 and '26. What should be the number one should assume?

Amit Mor: In the range of INR2,500 -INR3,000 crores per annum.

Pritesh Shah: Okay. Sure. That's helpful. Thank you. All the best.

Moderator: Thank you. The next question is from the line of Parikshit Kand pal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Thanks for the follow -up, sir. So you've been talking about land acquisitions across India, but one place where we have still not heard anything from you is Gurgaon. So how do you think that market will pan out for us in this year? Are w e looking to break any deals there this year and potentially launching something by the year end?

Zayd Noaman: Hi, Parikshit. This is Zayd . As mentioned earlier, we're in the process of seeing many deals and evaluating them. There is a huge pipeline that w e see of deals, but we're cherry -picking what we like. And more importantly, we want to stabilize and launch our project in Ind irapuram, and then this will follow. So for that region, I think we have our eyes set and focused right now, and then we'll defin itely pick up something in Gurgaon.

Parikshit Kandpal: Okay. And the second thing is on Pune. So the format in Pune will be the prestige city, because I think Irfanji spoke about a large land parcel. So are you looking at doing something like we're doing i n NCR with the prestige city project coming, a format coming here in Pune?

Zayd Noaman: Yes, we will be looking at a format like that, because it's a large township.

Parikshit Kandpal: Okay. And just the last question now, sir, we have two big commercial assets now. I think both the projects and I think both in BKC have now moved into ongoing, so even the Ma halaxm

i is
there.

Do you think that at the right time we look at maybe now we have bought out the partner here ? And we're at 100%. So are we looking t o maybe raise some capital and de -risk this project ? Because these are large layouts with large rental potential. So do you think it'd be appropriate maybe before they're ready ? We look at raising some capital here from private equity, and then maybe in a long time we have plans for a lease, so then monetize it through that.

Irfan Razack: Yes, I mean, there are various ways to do business, and definitely you're saying long -term plan is to maybe once we have a complete scale in both in the retail as well as in the office space, and we've got a target of almost INR4,000 crores top -line rent by 2028 -29, as well as a INR600 crore s top-line rent in retail. And I think that's the time we will plan to do a REIT like how we are now planning to do a hospitality IPO. That's the only way to do it .

Parikshit Kandpal: But sir, no plans to do any, I mean, pre -REIT kind of capital raise, I mean, maybe a stake sale to private equity funds, a couple of assets where we've already like gone up.

Irfan Razack: We've already done the stake sale, so it is not there yet , but the whole idea now, game plan is to create the, like we said, Office 2.0 and Retail 2.0. We will do one of some of the best retail assets and the best office assets, make them mature and at tha t time we'll think of listing them or taking them for a REIT . But it's all work in progress but you never know in life what happens. But as of now, if you're asking me, currently there's no such thoughts.

Parikshit Kandpal: Okay, sir. Thank you, sir.
Moder ator: Thank you. The next question is from the line of Chetan Sharma from Systematix Group . Please go ahead. Hello, Mr. Chetan, your line has been unmuted.
Chetan Sharma: My question is regarding the verticals, sir. Can you please give me guidance regardin g the verticals of office retail and hospitality and services? How do you go about it?
Irfan Razack: Chetan, speak up a little lo uder, please. I can't hear you. I couldn't hear you at all, Chetan.
Chetan Sharma: Yes, my question is regarding the verticals. Can you give any guidance on office retail and hospitality or service residential for FY ’25 and FY’26?
Irfan Razack: No, we've given a guidance. See, I can't give you earl y guidance on office and retail, but we have set a vision for office up to FY ’28, almost INR3,800 crores of top -line rental, and for retail, INR580 crores of top -line rental up to FY ’28. And I think these are pretty realistic numbers and pretty achievable. This is Also, we've given a breakup on how we are going to achieve it, so that's also there in our presentation.
Chetan Sharma: Thank you.

Moderator: Thank you. The next question is from the line of Shivam, an individual investor. Please go ahead.
Shivam: Sir, can you just provide us with some the PAT percentage and the EBITDA perc entage numbers for the pre -sales that you have done, and what will be it in the future?
Irfan Razack: Shivam, the PAT percent age, the EBITDA percentage, as Amit already told you, will be hovering around at 30 %. And PAT, like you've seen now, it's from a si ngle-digit PAT, it's grown to about 13 %, 14%, maybe 17 % as we go along. And I think it remains on the similar lines, unless there's some huge cost overrun in terms of material costs and other things. I think we should be able to retain those for the next t wo years to three years at least.
Shivam: What would be the PAT percentage on the FY ’24 pre -sales that you have done?
Irfan Razack: It's there now. We've been talking about pre -sales. Pre -sales are also similar, Shivam.
Shivam: It will be similar, the 11%.
Irfan Razack: No. PAT percentage, as I told you, between , 15% to 17 % should be the thing. And Ami

t wants
to add something to you.
Amit Mor: It will be in that range, Shivam, around 14 % to 15 % PAT percentage. The overall margins will be, the gross margin will be around 30 % to 35 %, EBITDA margins will be around 23, and after all my overheads and all that, the PAT percentage will be in the range of 14 %, 15% .
Irfan Razack: What we do, Shivam, we p rice our product very sensibly. There's no sense in overpricing the product and having no takers. Hence, we are very conscious that while the company has to earn a decent margin, we don't overprice it and then make it redundant.
Shivam: So 14 % to 15 % of PA T margin you'll be targeting in FY ’25 pre -sales that you're targeting around INR30,000 crores. An d that's what you're targeting?
Amit Mor: Just to add something, if you're looking from the financial year, 24 %. That is not the right benchmark because we are spending quite a bit on overhead sales and marketing which gets debited to P&L. But what gets recognized as revenue is what I did somewhere in 21, 22. So it's not comparable. So once my sales stabilize at 25 ,000, 30,000 levels, my overhead percentage will come down and my margin and my PAT percentage will go up. So on a stabilized basis, you can expect 14 % to 15 %.
Shivam: How much are you willing to target for FY ’25? Like you said INR26,000 crores is your pre - sales guidance for FY ’25. So what PAT percentag e will y ou be targeting conservatively?
Amit Mor: The answer is the same.
Shivam: 14% to 15% , right? Hello?
Irfan Razack: Yes, tell me.
Shivam: Yes, it will be 14 % to 15 %, right?

Irfan Razack: Yes.
Shivam: Okay, thank you.
Moderator: Thank you. The next question is from the line of Yash Gupta from Think Side Advisory. Please go ahead.
Yash Gupta: Sir, my question is on launch pipeline. For FY ’25, we are looking for around INR60,000 crores of GDV. So, sir, this will be the new normal for the company in FY ’26, FY’ 27. Again, we will look to see like launch of INR50,000 crores, INR 60,000 crores on an every year basis or FY ’25 will be a little bit on an exceptional side?
Irfan Razack: This could be exceptional because we've been working on this for some time. And you see, 60,000 is the target. We may do 60, we may do 50, we , may do 55. As I said very clearly from

the beginning, it depends on the approval process and getting that within the timeline. There could always be some gaps. So, if I have to get the numb er that we're looking at, we have to target that type of launch pipeline. Otherwise, we will not get those numbers. So, I believe that the potential is huge, and I think we sh ould always target that year -on-year between , 40,000 to 60,000.

Yash Gupta: Okay, thank you, sir.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for their closing comments.

Irfan Razack: Thank you very much once again for a very insightful co nference. You had a lot of good questions. Thank you for your support and thank you for anything else you need. I think both Amit and Zayd and Mohit are there to answer any doubts that you have. You're most welcome. You get the answer. Once again, thank yo u for the interest shown in the company and the support you've given us. Thanks so much.

Moderator: On behalf of A xis Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

"Prestige Estates Projects Limited
Q1 FY '2 5 Earnings Conference Call
August 01 , 202 4

MANAGEMENT : MR. IRFAN RAZACK – CHAIRMAN AND MANAGING DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED
MR. ZAYD NOAMAN –EXECUTIVE DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED
MR. AMIT MOR – CHIEF FINANCIAL OFFICER – PRESTIGE ESTATES PROJECTS LIMITED

MODERATOR : MR. ASHUTOSH MITTAL – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day and welcom e to the Prestige Estates Q1 FY '25 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal and operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashutosh Mittal from Axis Capital Limited. Thank you and over to you, sir.

Ashutosh Mittal: Thank you, Neha. Good afternoon everyone and welcome to the call. We have the management from Prestige Estates represented by Mr. Irfan Razack, Chairman and Managing Director; Mr. Zayd Noaman, Executive Director; and Mr. Amit Mor, CFO. I now hand over the call to the management for the initial comments. Thank you.

Irfan Razack : Hi, good afternoon, everyone. I'd like Zayd Noaman t o give his opening remarks. As usual we've got a good quarter in sales on the working . There has been too much inventory for us to sell, that's why it looks size of the top line is low. But eventually we'll get there. I want Zayd to say his bit and then I will add up if there's anything to say.

Zayd Noaman : Thank you, sir. A very good afternoon to each and everybody on the call. We are looking forward to eagerly having this call with you all. As Mr. Razack commented the quarter was decent given the events t hat the macroeconomic events that took place in the country namely the elections which we had the Code of Conduct.

So we had a quarterly sales of INR 3,030 crores. Sales were complemented by healthy collections which are very important for us for our operations and we had INR 2,916 crores of collections. We sold 2.86 million square feet of area across 1,364 units with an average realization which increased to INR 11,934 per square foot for apartment, villa s and commercial spaces and INR 7,285 per squar e foot for plots.

We launched two projects this quarter spanning 1.86 million square feet despite the lag in approvals as I mentioned earlier due to the Code of Conduct. The first was Prestige Camden Gardens which is an apartment complex in North Bangalore and Prestige King's County is a plotted development in South Bangalore. We had a strong mix of sales from our key geographies namely Bangalore, Hyderabad and Mumbai. Bangalore at 43%, Hyderabad at 32% of sales and Mumbai contributed to 23% of the sales mix.

We have key launches lined up for the coming quarters notably Prestige Raintree Park, Prestige Falcon City and Prestige Southern Star in Bangalore, Prestige Forest Hills and Nautilus in Mumbai, Prestige City Indirapuram and Prestige Bougainvillea in NCR , Prestige Pallava Gardens in Chennai and Prestige Sea Scapes and Prestige Biosphere in Goa. With this, I complete my opening remarks and we'd like to Mr. Razack would like to add on.

Irfan Razack : Yes. I mean, whatever Zayd has said it's something that there is a lot of inventory to come. As of today, the company has very minimum inventory. And the teams are working very, very hard to see that the approvals come and the RERA clearance is coming. The positive thing is the

market is still pretty s trong. The demand is there a nd as long as I can feed the demand, I think

we will get some great numbers in the next few quarters. With this, we'll open for your questions.
Moderator: Thank you very much. W e will now begin the question and answer session. The first question is from Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal : Congratulations on the launches, but despite you've been able to do sales of INR 3,000 crores. So my next qu

estion is that for the rest of the year line. So now we have a big task of growing 20%, 25% on the base of last year sales. So how do you think the launches will pan out for the next three quarters? And largely in the second half , do you think that presales will see a significant pickup now?
Irfan Razack : Yes, it should and must. As it is see we've already fin ished off in July a nd even in July we've not had any launch, b ut hopefully August and September we should see at least thre e to four launches in Bangalore as well as in Mumbai. And that should prop up the nu mbers. There is a plan, game plan . I only hope the it's all about the regulatory stuff. As long as the regulatory falls in place I think we should have a very strong quarte r, the second quarter.
And the third quarter will be quite big in that sense because we also have NCR kicking in. We'll have some high -end projects in Mumbai as well as in Goa. So there is a lot of inventory that will come. There's a lot of it's not that there's any dearth of raw material. Raw material is there. It's all how it can be churned up, brought to the market. And the good news is t he market is still very strong, still there is demand a nd still there is appetite and there is whatever we've launche d gets consumed.
Like we had talked about Camden Gardens, we launched that in the last quarter. It was like by the time we opened it, it was shut. It was sold and we are like out of inventory . We launched just a part of King's County because we need it. W e said let's phase it out properly. The first phase whatever we launched got sold out on day one and that's how we got the numbers for the June quarter. And let's strategize let's see how things pan out. We are working on it. The teams are working on it. A nd I think we should have a robust '24.
Parikshit Kandpal : Okay. The second question on the fund ratio you have taken enabling evolution for raising funds. So just wanted to get some sense on how are you looking to deploy these funds? And what will be the time period of deployment? Have you already identified some opportunities, growth opportunities where in you can start deploying it within this year? So what kind of growth pipeline do you think you can build with those funds?
Irfan Razack : See, that's a go od question. It's all work in progress. First thing is we definitely have to identify what we're going to do when we're going to raise capital. First, the intend to raise capital is there. The teams are working on how to raise the capital and it's all work in progress like we said. And it will be a mixed bag. It will be probably defi nitely some retirement of debt a nd then also it will also be used for growth capital.
So it will be a mixture of a whole lot of th ings. We can't keep funds idle, b ut whenever th ey do come, whenever that does happen there is a game plan for it. You will come to know as we go along.

Pariksh it Kandpal : Okay. And just the last piece on th e office and the retail quality. So how are you seeing the lease momentum there given that you ha ve a large pipeline you're building out. So if you can also give some sense on how is the exit rental looking for FY '25 and '26? So are you on track to achieve your rental guidance that you have been giving quarterly, so that you are on trend?
Irfan Razack : We will I think now in the last few quarters we've been given segment -wise reporting also. If you look at the overall return on investment and other things if you look at that. I think all segments as of today are performing very well a nd retail you aske d me specifically retail whatever malls we have as of today are all 95% or 97% occupied. Let us say 2%, 3% is basically only to churn some get certain better brands.
And the appetite is there in the retail space where there's good trading that happens. Ou r store in So

uth Bangal ore is trading at more than INR 100 plus crores per month which is a good sign.
And because most of the deals are linked to revenue share and the more the trading that happens, the mo re the revenue that comes to us.
Having said that, if you ask me our game plan to build 10 more mall is already in place. We started construction of 2 and there are many more that need to start construction as and when the approvals fall in place. So these all these as per that 2028 numbe r that we gave, the exit rental we should and we will meet those numbers. There shouldn't be any problem on that.
Parikshit Kandpal : And any outlook on office market, sir? How is the office market looking like?
Irfan Razack : See when COVID happened the off ice market a lso we were a little sceptical, b ut the good part is office is also doing extremely well. The vacancy levels have gone down comfortably. And now it's 90% plus occupancy is there, except for one or two new properties which have just got

ready. T hose are work in progress. But I think in the next two quarters even those should get filled up.

So the vacancies are minimal. And whatever is coming up also there are people who are interested in pre -leasing including see even Delhi, our Aero City propert y by the time next year, we complete it. But we've already signed the lease so that's a good point.

Parikshit Kandpal: Okay. Thank you Irfan sir and wish you all the best. Thank you.

Irfan Razack: Thank you so much.

Moderator: Thank you. The next question is from the line of Pritesh Sheth from Motilal Oswal Financial Services. Please go ahead.

Pritesh Sheth : Thanks for taking my question. So firstly on your hospitality portfolio which now is enhanced by another 1,200, 1,300 odd keys versus what yo u had disclosed last quarter . If you can give us some geographical mix in terms of where are these new keys coming up? And second, how that increases the revenue and prof it potential from that segment b ecause earli er we were expecting around INR 2,600 odd crores of revenue from 3,000 odd keys that we had planned for. Right now how it increases from here on?

Irfan Razack : See like you rightly said we have got operating as of today 1,465 keys and that doesn't change. But under construction what we have is 955 keys a nd then that would be Aero City pr operty as well as we are doing W Hotel in Bangalore North and the Aero City is Delhi a nd upcoming is what you asked for where are these keys coming from? There are 2,942 keys that have been planned.

There are various hotels in different geographies i ncluding Mumbai and Mumbai this just in our BKC is one hotel coming up. And there are many o thers that are in the pipeline, b ut these are upcoming is also where properties an d land which is tied up. It's not something which is not yet tied up. And then there are many things , opportunities that do come by, b ut with this itself our overall top line revenue on this should be just let me give you that exact figure on this INR 4,562 at the end of the day what will be our revenue is already on.

Revenue is INR 2,289 crores, INR 2,300 crores you can say t hat's our share that is Prestige share. It's INR 3,200, but we also have some partners. If you take only our share it's INR 2,300 cr ores per annum, the top line.

Pritesh Sheth : Okay. Got it . That's helpful. Second on the leverage so out of INR 8,200 crores of net debt roughly INR 4,500 crores is in the residential segment. And now with almost a couple of years since we have scaled up m assively in the residential business how do you see this trajectory going ahead? Would we be let us say next 1.5 years we would be at a net cash position in the residential segment while having some bit of debt in the commercial segmen t? How do you look at this debt going down?

Irfan Razack : That's an exc

ellent question. See the thing is, I always say in my residential business I have no business to have debt. Now if I do have debt which is almost now INR 5,000 crores on the residential side. I t's only because in the last few quarters we've picked up a lot of land. We've paid for land unlike doing joint development a nd where we paid for land is in Delhi, it's in Goa, it's in Hyderabad, it's in Mumbai. Now all these projects will come to fruition they will be launched and also in Bangalore.

So now these launches will come in and I like you rightly said in the next 6 quarters I think we should come into a cash surplus situation. And there should be no debt in the residential segment. Yes we do have debt in the hospitality sector, a little less than INR 1,000 crores, about INR 1,000 crores in retail and also INR 1,000 crores in the office segment. These are all lease rental discounting. And this since the asse t is being held by us a nd if you look at the debt to equity ratio there it is very minimal. I believe it's very, very comfortable and even the EMIs can be serviced very easily.

But our endeavour at the management level, company level is always to see that the residential level, the debt will com e down to surplus in the residential side, and we are working towards it. And I don't see any reason why it should not happen because even the markets are good, we are able to get positive cash flows. And unless, we go buy more land, that's a separate stor y. But then that's today's churn. But it's the first-time churn, this money will be, again, used to churn that next year. That's how it will happen.

Pritesh Sheth: Sure. That's helpful. Just on cash flow, since you have not put that slide, but just if you can update us on what was the operating cash flow for the quarter? And how much did you spend on land investments and capex to reconcile the debt movement, if you can help on that?

Irfan Razack: Amit will answer this. Amit?
Amit Mor: Yes. During the quarte r, on the net cash flow from operations resulted at INR 1,175 crores. On the residential, INR 1,000 crores was spent on residential construction costs. On the invest ment activities, we have spent INR 800 crores on the capex construction cost and close to INR 1,500 crores on buying new business development, which includes purchase of land and stake purchase buyback of area.
Pritesh Sheth: INR 1,500 crores.
Amit Mor: From financing was INR 180 crores.
Pritesh Sheth: Sorry, I didn't get the land investment, INR 1,500 crores you mentioned or INR 1,500 crores?
Amit Mor: INR 1,500 crores in the quarter. During the quarter, it was INR 1,500 crores. Basically, we have done some business development. We have purchased some land in Bangalore, then we had one commerc ial property in Pune where we consolidated our stake. It was earlier 65%. We made it 100%. We have put some consideration for that. And then one more land parcel we have purchased in Bangalore for a Phase II project. There w e have paid another INR 430 crores.
Pritesh Sheth: Sure. Sure. And sorry, if I just can push one last. What's the updated capex now to be spent because we have increased the retail pipeline as well retail project portfolio as well to 12 million square feet now. So can you just provide as of June, how much we have to spend on the capex including all office and commercial?
Amit Mor: It will be INR 15,000 crores to INR 16,000 crores, all the three segments together, commercial estate land, hospitality and retail.
Moderator: The next question is from the line of Yash Gupta from Thinksight Advisory. Please go ahead.
Yash Gupta: So first question is on the EBITDA margin. How EBITDA margin for the presales are looking like? We have seen in the last 2, 3 years, prices have gone slightly by more than 20%, 30%, but cost more over like maybe at same lev

el. So how the current EBITDA margin for the presales look like?
Amit Mor: Our gross margins are in the range of 35% and EBITDA margins in the range of 25% to 27%.
Yash Gupta: So after the increase in the prices, then also our EBITDA margin at 25%, 26%?
Amit Mor: Yes. If you see historically, we have been reporting EBITDA margins in the range of 22% to 23%. It has improved slightly to around 25% to 27%.

Yash Gupta: Okay, sir. Sir, second question is on the competition. As of now, we are seeing that some -- competition is gaining some momentum in last 2, 3 quarters. So during the signing of the project, are we facing some competition issues?
Irfan Razack: Which competition is it?
Yash Gupta: Sir, in the residential business during the signing of projects and all.
Irfan Razack: No, no, we don't go, I mean, give deals, which are not just done on spreadsheet. We are conservative and we tie up property and it still can't if things don't come as per what we be lieve should be the right number. We don't do the transaction. There are many transactions that come to our tables, hundreds and hundreds of them. We are very picky. We are very choosy. We choose the best location, best landowner and also to make sure the deal is workable in good times as well as in bad times. Otherwise, if you try to ride the wave and do it on the upper curve and make certain transactions, certainly, the market churn will be caught up with negativity.
Moderator: The next question is from t he line of Puneet from HSBC.
Puneet Gulati: My first question is when should we expect the launch to happen in the NCR market here?
Irfan Razack: Yes, not this quarter, for sure. We do the launch in I think maybe all the projects, two projects at NCR, both should get launched and that where there's a small project in KG Marg, even that also should get launched in the October quarter.
Puneet Gulati: Okay. And when you launch in that market, will you endeavour to sell everything at bunch or will you calibrate the things?
Irfan Razack: We have to create the year depends on how things are. If there is momentum, are always a site in our company is when there's momentum, if things are good, we reap the harvest. Don't get greedy and try to do something for later and then get stuck.
Puneet Gulati : Okay, understood. And sir, one of the very few developers who operate in multiple markets. So between Mumbai, Chennai, Bangalore, Hyderabad, which markets are looking best to you? If it is possible to put it in some sort of pecking order in terms of attractiveness both in terms of opportunity size and also pricing side?
Irfan Razack: Each market has its own nuances. Since we are Bangalore -based, I would still -- my preference would be still Bangalore. But every market has opportunity. Every market is unique in its own way. Mumbai is unique in its own way. Hyderabad is unique in its own way. Chennai is unique in its own way. Of course, we are yet to taste the fruits of NCR. We've tied our plan. We are on the planning, we're waiting approval. When that happens, we'll see.
Of course, now there is also we have been present in Kerala for a long time. That's a small

market. We are there. Our presence is there. We are doing that, and we do recognize that we get small revenues from there. Not so much, but not number movers like we get from the other metro cities. And I believe that once we do well in NCR, there's a lot more that we can do there.

Puneet Gulati : Okay. Okay. Understood. And my just 2 accounting questions. If you look a t the EBITDA margins this time the reported one seems to be quite strong. What's driving that?
Ashutosh Mittal: Sir, can you just repeat the opinion?
Puneet Gulati : The reported EBITDA margin this quarter seems to be quite strong.

What's driving that?
Amit Mor: One major reason is we have booked one mark -to-market gain of close to INR87 crores during the quarter on our Nexus REIT business. So that has contributed to EBITDA margin straight to the 100%. So that has improved our EBITDA margin significantly.
Puneet Gulati : But that would set in other income, right? Even excluding the other income, the margins are quite nice at almost 43%.
Amit Mor: It's basically apart from that, the increase in EBITDA margin is basically on account of the project mix, because i n the current quarter, we had a higher proportion of revenues from certain purchase where the margins are better when we compare with the last quarter. But otherwise, the EBITDA margins have been stable.
Puneet Gulati : Right. And also the interest and fina nce charges have fallen on a Q -on-Q basis.
Irfan Razack: So it's a combination of price increase. It's a combination of the geographies that are coming in, some luxury properties in Mumbai that have added up to the overall thing. But I think Bombay hasn't given us any financial revenue at the moment because of [indiscernible] and condition. So it's basically on the Bangalore and Hyderabad and other cities.
Puneet Gulati : Okay. Understood. And just on the interest and finance charges that also is down Q -on-Q despite rising debt. Anything, how should one read that?
Amit Mor: So that is basically because in the last quarter because it was a year, in many of the experience whether it's a JV partner, this is the cash flows. We had booked interest cost on whatever contributions made by the JV partner as well as the company. That is a mechanism, how good mechanism take-out of money from the project .
Puneet Gulati : Okay. And this quarter, there would be a JV partner share as well? Or is it completely deal number?
Amit Mor: That accounting came for the first time in the last quarter, which because of which the amount was higher. It was good for the quarter and for the entire year. Now on a year on year going forward we will be booked on a quarterly basis.
Moderator: The next question is from the line of Abhinav Sinha from Jefferies India.
Abhinav Sinha: Sir, I just wanted to check, do we still stick to a 25%, 30% growth guidance for the year?
Irfan Razack: Yes, Abhinav, with god will, we will still maybe even exceed that 20%, 25%. So work in progress, but it's inventory that comes in to sell. And I'm very confident once we get the inventory, the sales will be there.

Abhinav Sinha: And sir, which are the 3, 4 launches that we should look f orward to in the second quarter?
Irfan Razack: Yes. This quarter, I think Zayd told us first is Raintree Park. Then you've got Pine Forest and we got White Meadows, these are all 3 in Bangalore. Then we've got Mumbai, which is Forest Hills. These are the 4 , which we can look forward. And there's a plotted development, which is Sunset Park. We are trying hard to bring that also in this quarter. With these, I think there will be quite a lot of inventory.
Abhinav Sinha: Okay. And sir, lastly, on the capex bit. So the increases that we have done in the pipeline on both hotel and retail, I guess, I mean, that was the question earlier as well. But I just wanted to clarify what are the costs for that as such? And do we did we like buy additional land or they're essentially reallocation within our existing projects?
Irfan Razack: No, no, the land is there. I think in our investor presentation, the entire details have been given on the amount of money that needs to be spent for hotel, the amount of money that needs to be spent for target . I think we can share that with you.
Amit Mor: Because of regulatory requirements, those details we have not shared this quarter, okay? But as I mentioned earlier, if you see in the last quarter, it was around INR14,000 crores. W e d

id the
capex we manage to spend Prestige share.
Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Irfan Razack: Thank you, everyone, for your active participation. I hope we've answered all your questions comprehensively and look forward to interact with you in the future. Thank you so much.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnec t your lines. Thank you.

Call: Oct 2024

“Prestige Estates Projects Limited
Q2 FY '25 Earnings Conference Call’
October 30, 2024

MANAGEMENT : MR. IRFAN RAZACK – CHAIRMAN AND MANAGING DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED
MR. AMIT MOR – CHIEF FINANCIAL OFFICER – PRESTIGE ESTATES PROJECTS LIMITED
MR. ZAYD NOAMAN – EXECUTIVE DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED

MODERATOR : MR. PRITESH SHETH – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Prestige Estates Q2 FY '25 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch-tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Pritesh Sheth from Axis Capital Limited. Thank you, and over to you, sir.
Pritesh Sheth: Yes. Thank you, Tanmaya. Good afternoon, everyone, and welcome to the call. We have with us the Management of Prestige Estates represented by Mr. Irfan Razack, Chairman and Managing Director; Mr. Zayd Noaman, Executive Director; and Mr. Amit Mor, who is the Chief Financial Officer. I'll now hand over the call to the management for their initial comments.
Thank you. Over to you, sir.
Irfan Razack: Good afternoon, everyone. Good afternoon, Pritesh, and it's a pleasure for us to be on this call again. We just -- all of you have seen what the performance of the company has been. As usual, with operational results according to me they have been very good under the circumstances that the company did not have too much inventory. In spite of that, they've done a great amount of sales top line.
As far as the financial results are concerned, it's function of how the accounting system we are in that Ind AS and then all our revenues are back-ended as long as when the completions happened. So I think the market is good. There is a demand and the demand continues to be there as long as we have the product and the location, which is the mid income.
And I believe that there is enough and plenty of demand that will keep coming. We, at the company, have a lot of launches in the pipeline for this quarter and the next quarter. And we are working relentlessly to see that we get the approvals and the RERA number for most of the projects that we want to launch in this quarter as well as in the next.
With this, I'll ask Zayd to give his comments and then Amit also and then we'll take question and answer.
Zayd Noaman: Good afternoon, everyone. Thank you for joining us for the Prestige Estates Q2 and first half of FY '25 earnings call. I'll begin by providing an overview of our key performance highlights for the quarter and first half of the fiscal year. First thing first, we are pleased to announce the successive completion of our QIP there in Q2, raising INR5,000 crores. This issuance was met with an overwhelming response and we extend our sincere gratitude to our investors for the confidence you placed in us.
The fund raised will be primarily used -- are allocated to a debt reduction, business expansion and equity investments in our SPVs of these funds, INR872 crores have already been used to pay down debt there in Q2, and INR230 crores have been allocated towards business development and investment in subsidiaries.

On our operational performance, we've achieved a total sales of INR4,226 crores for Q2 FY '25, bringing our first half of FY '25 sales to INR7,052 crores. In terms of sales volumes, we recorded 3 million square feet in Q2 with the half year, total reaching 5.87 million square feet. We sold 1,356 units this quarter, summing up to 2,730 units sold for the first half of FY '25. Geographically, our sales mix for the quarter reflects 51% from Bangalore, 25% from Mumbai and 26% from Hyderabad. Moving to average realization rate. The average realization for apartments, villas and commercial spaces in Q2 FY '25 was INR13,782 per square foot while the half year average was INR13,010 per square foot. On collection, we reported INR2,737 cror

es for Q2 FY '25. And for the first half of fiscal year, collection amounted to INR5,653 crores.

In terms of project launches, I'm happy to say we successfully launched 3 projects covering 8.19 million square feet in Q2 of FY '25. These included Prestige Raintree Park in Bangalore, Prestige Forest Hills Phase 1 in Mumbai and Prestige Pine Forest in Bangalore. For the first half, we launched a total of 10 million square feet across these 5 projects, reinforcing our presence in key markets. The gross development value of these projects launched during the first half stood at INR10,000 crores, of which Q2 launches contributed to INR8,600 crores.

Notably, our recently launched project, the Raintree Park and Forest Hills have performed exceptionally well despite being introduced in the month of September, the last month of Q2 and during the Shradh period. Even with those market conditions, we achieved sales of INR1,600 crores of Raintree Park and INR600 crores in Forest Hills, reflecting strong market acceptance for both the product and the price point.

Additionally, our project completions remain on schedule with 3 million square feet completed in Q2 FY '25, covering developments such as Prestige Primrose Hills Phase 1 and Prestige Waterford in Bangalore. Moving to financial performance. At our first half revenue was INR4,448 crores with an EBITDA of INR 1,709 crores, reflecting an EBITDA margin of 38.43%. PAT for the first half was INR541 crores with a margin of 12.18%. As of September 30, our net debt stood at INR3,592 crores, and our debt-to-equity ratio is down to 0.21.

Our other business segments have shown great progress too, starting with the office portfolio. Leasing activity remains robust with an occupancy rate of 90% across our existing portfolio. As we approach the end of this financial year, the completion of Prestige Lakeshore Drive and DIAL and further leasing our exit rental for office will be at INR720 crores.

Looking further ahead, our exit rental is projected to reach INR3,326 crores by FY '28 once all ongoing and upcoming projects are completed. In terms of ESG, our ongoing achievements like the GRESB Green Star rating, WiredScore Platinum certification, LEED and WELL certifications. We are building spaces that prioritize well-being, digital resilience and sustainable practices.

Turning to our retail segment, we've seen a strong performance in all our malls. Foot traffic during the first half crossed 9 million with a gross turnover, GTO of the retailers in our malls of over INR1,100 crores and an impressive occupancy rate of 99.2%. The current exit rentals for

our retail segment stands at INR217 crores. With 13 additional malls in the pipeline, our exit rental in our retail portfolio is expected to reach nearly INR1,000 crores by FY '29, further bolstering our portfolio value.

On the hospitality front, our operating hotels have delivered revenue of INR415 crores with a gross operating profit margin of 44%. We have a robust pipeline of 14 hotels with 3,000-odd keys projected to drive our revenue to INR2,346 crores in the hospitality segment. We're looking forward to the coming quarter and launches of major upcoming developments, including The Prestige City Indirapuram in NCR, Prestige Southern Star in Bangalore, Pallava Gardens in Chennai, Prestige Spring Heights in Hyderabad and Prestige Beach Gardens in Goa.

Some smaller projects in Bangalore and Hyderabad will also be launched. And our focus remains on disciplined growth and delivering sustained value to our stakeholders as we continue to capitalize on emerging opportunities within the real estate sector. Having said that, there are a lot of business development opportunities, which we are currently working on, which will add into our pipeline. With this, I thank you for your patience in hearing me out, and I'll open the floor to

questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a decent quarter. So my first question is on launches. So I think Zayd did mention 4, 5 launches. So in terms of time lines, so how far is the RERA number away from the launch? Like for Southern Star and Indirapuram, these are 2 large chunky launches. So if you can highlight the next -- in this quarter, which launch looks probable and where -- when is the RERA expected for these?

Irfan Razack: We are working relentlessly very hard to get in Pallava Gardens from Chennai, Indirapuram, that is Prestige City in Noida. We are trying hard to get Southern Star in Bangalore, Sunset Park in Bangalore, all these to be launched in this quarter. Of course, the plans have progressed very well. And we should get all these plans out in the next maximum end date. After which is the RERA and the launch.

And as far as for launch, we are all in the launch readiness. We have all the data, material and everything ready. And we do believe when we launch it, we should be able to sell substantially in the first 2 to 3 weeks. So that's our hope and desire, but that's -- we are working quite focused on this, but this should get launched this quarter.

Parikshit Kandpal: Because of the ask is very high. In the first half, we have done INR7,000 crores of sales. And to meet the guidance of 24,000, 25,000 we need to do 18,000 to 19,000 in the second half in terms of presales. That mean this quarter needs to be really strong, almost close to INR8,000 crores.

Irfan Razack: INR8,000 crores and INR8,000 crores, INR16,000 crores in the next 2 quarters will be there. And I think we will definitely be able to do it because we are working hard on it. The demand is there. There is a requirement and there is a market which for me that I don't have the product and the product is coming in. And of course, Nautilus in Mumbai will not come this quarter, it will come only in the next quarter.

Amit Mor: So Parikshit, just to add on, apart from these projects, Q4 also will be launching few more projects right from Northwest, KG Marg; Sector 150, we have a project in Noida, Rock Cliff, all of this will add up to that number, so these are annual targets. So that way, we are not very concerned. We are pushing very hard. I don't think in the history of any rented company, they have been launching these many projects quarter-on-quarter. Having said that, we're very focused and we're very confident. And in each city, we have a target, and we will achieve those targets in these for this quarter and the next.

Parikshit Kandpal: I just mean, Irfan you said 16,000 or 18,000 for the second half?

Irfan Razack: What happened is since we have already done 8,000, another 16,000 will come in the second half and adds up to the 24,000, which was our guidance. And I think maybe even exceed that guide.

Parikshit Kandpal: Great. So I mean get reassurance on that guidance. given that we have slightly weaker H1. So just to understand the second quarter was weak. Is it because of the approvals we are getting delayed because generally, what we understand from other developers in the market that has been a significant delay in getting approvals even RERA has been extended, which used to come in 10 days, now taking 20, 25 days. So what is the current situation on approvals?

Irfan Razack: It is the same situation and it is actually, we have to really push really hard, even my Chennai project every day, every week, my staff tells me, "Sir the plan is clear. It's getting uploaded." Even this afternoon when I talked to him, he said, it's clear.

I said, "Man, from the last three weeks you are telling me it is clear, but what is the next step? "

So these guys, they -- actuall

y, they've got too many tomorrow. And unfortunately, we have no tomorrow. So there's a mismatch in how the government functions. And it's just not in Bangalore, it's across the country. But we are hopeful that we'll be able to get these approvals, get the RERA number and do the launches.

Parikshit Kandpal: Okay. Just the last question, sir, in this quarter, sometime like you've announced the consolidation of stakes and the related party transactions. So if you can explain us like what is the rationale behind that and how do we see because still some more projects have related party stakes. So -- and how much would the total expenditure would be and whether it has factored in or it will come in Q3?

Irfan Razack: I'll tell you 1 company called Prestige Acres which was 51% PEPL and 49% Pinnacle. Now there are many projects in this company Prestige Acre including Goa and including the Southern Star. So we thought that the best ways for us to dilute Pinnacle fully 51% and make it 100% own subsidiary of the company. And to that extent, we have done a very fair and very reasonable valuation, more in favour of the company, PEPL and that stake has been 100% bought over by PEPL.

Also going forward, we -- what we did is we also diluted out of the 40% stake of Pinnacle and PPPL. We diluted 16% of the stake and the Pinnacle still holds only 24%. These all payments are need to be made if it gets done. And that way what happens is company stake in PPPL goes up by 76%. And of course, the Acres it is 100%. We also took over the K2K, which was

contracting arm of company which was holding 75% and 25% was held by another shareholder, and we bought off that 25% for now. It's 100% owned subsidiary of PEPL.
Similarly there is a company called PGEPL that is Prestige Garden Estates Private Limited. There also, whatever stake of the external shareholder was, we have given some ICD. So what we did is we got back the ICD and we bought our shares and now PEPL is 100% shareholder of PGEPL. Now PGEPL is doing 2 projects in Hyderabad called Tranquility and Beverly Hills and all the cash flows, inflows, everything will accrue to PGEPL.
And the good news is that both these projects, if one project is completed, we just have quite a large number of money to be collected in Tranquility and in Beverly Hills we are also -- the project is almost completed, the OC will be coming in and even that we believe there will be a lot of positive cash flow and there's no debt in that company.
So it's a positive move for the company. Now finally, external shareholder, which is a related party, which you rightly said, will be 24% with the Pinnacle and PPPL, which over maybe a period of time, we may endeavour to even buy that off and close it once and for all, so it will be 100% owned this thing, but it's nothing that's final just now. But so far, we have done this bit of restructuring.
Parikshit Kandpal: So in terms of the -- Amit can come in if you have the number handy or I'll take it offline. So how much was total gross development value was transferred to this estate buyout? And how much would be the pay-out for the same?
Amit Mor: It is Amit. So in PPPL, the Gross Development Value was...
Parikshit Kandpal: Overall consolidated value is going to add, I don't want entity wise, if you can you the entire...
Amit Mor: Between these 2 entities, between PPPL as well as Acres, it was around INR70,000 crores.
Parikshit Kandpal: So INR70,000 crores of GDV has got added to Prestige now?
Amit Mor: No, the total GDV of those entities. So in the Acres, it is 49% what we have acquired. So INR23,000 crores was in Acres, so 50%, we have acquired additionally. So 12,500 in Acres, the total GDV is getting added in the console. And in the PPPL, total GDV was INR47,000 crores, 16% we have acquired. So close to INR6,500 crores is what we have, it will get added.
Par

ikshit Kandpal: And how much are you paying? I think INR1,100 crores is the total. How much is the total payout, sir?
Amit Mor: Total payout is around INR330 crores and INR494 crores. So close to INR820 crores.
Parikshit Kandpal: INR330 crores and INR290 crores?
Amit Mor: INR494. INR330 crores and INR494 crores.
Parikshit Kandpal: INR494 crores. So you are basically adding INR800 crores is the outgo and approximately INR22,000 crores of GDV addition -- INR20,000 crores of GDV addition?

Amit Mor: Yes, yes. And you can fairly assume around 40% EBITDA for these 2 entities, average margin in these 2 entities, EBITDA margins.
Parikshit Kandpal: Got it, sir. So approximately INR8,000 crores. So you're paying out INR824 crores and you are adding INR8,000 crores of EBITDA. And any debt on these entities, which would come to us?
Irfan Razack: That debt is already consolidated, Parikshit. So whatever debt numbers we show is the total debt. So the minority, we don't deduct. So subsidiaries, we take care of 100%. So reported number is 100%. So in the consolidation, whatever happens in the future, additional debt won't come. It is already reported.
Parikshit Kandpal: So INR800 crores versus INR800 crores payout, you are adding almost INR8,000 crores of pretax EBITDA, which can be -- which will take over 4, 5 years to materialize.
Irfan Razack: Yes, yes.
Moderator: The next question is from the line of Yash from Stallion Asset.
Yash: Sir, I just wanted to ask, out of the INR52,000 crores GDV launches that are there in the next 6 months for this financial year, how much would it be in Q3? And how much would it be in Q4?
Amit Mor: Yes. So approximately INR25,000 crores should come in Q3 and the remaining should come in Q4.
Yash: Okay. Got it. So sir, if I assume that about, let's say, 55% to 60% of the launches is presales, then broadly, sir, I just feel that in second half, your presales will be much, much stronger. It will be about around INR25,000 crores of presales just for the 2 quarters. Is my calculation right?
Amit Mor: Yes. That's why Mr. Razack said we will surpass our guidance. But having said that, we are being conservative and we'll make sure that we achieve what we have guided.
Yash: Okay. That's good. So we're expecting a very good presales in the next quarter. And sir, last question is, is there any plans from the management for the IPO of the hospitality business?
Amit Mor: Yes. The work in progress. We will keep you informed as we go along.

Yash: I'm sorry, I'm not able to hear.
Zayd Noaman: Yes. What Mr. Razack said was we are in the midst of working on it, and we will make sure that it happens.
Moderator: The next question is from the line of Kunal Lakhan from CLSA.
Kunal Lakhan: Just firstly on the launches again, like so in October, have we launched anything so far of this list that you have put out?
Zayd Noaman: Not yet, Kunal. This will be closer to the end of maybe mid or end of November and beginning of December, our launches will begin. Prestige White Meadows will be our first launch.

Kunal Lakhan: Okay. And so I'm assuming that since you're giving a guidance of INR25,000 crores GDV for Q3, a fair bit of these launches you should have already applied for RERA approvals. If you can share those launches where you have already applied for RERA approvals, if that helps?
Zayd Noaman: So we'll be applying now. So very soon, we'll be logging in for approval.
Kunal Lakhan: Okay. Sure. And my second question was on besides the 4 transactions that we did and besides PPPL, any more subsidiaries or associates where, say, the promoters have a considerable stake that, again, these entities can come up for a purchase later on?
Zayd Noaman: I think the only one more entity, which Prestige Nautilus, I think where the promoter is hol

ding
39% stake. So that also, as Mr. Razack told in the future, we may look at consolidating and make it 100% -- transfer all the promoter holding to the main entity, but not currently, maybe in next couple of quarters.
Kunal Lakhan: I thought that's PPPL where Nautilus is lying.
Zayd Noaman: Nautilus is a separate entity. It's Prestige Falcon Mumbai. If you see the consolidated list of subsidiaries. It is housed in an SPV called Prestige Falcon Mumbai.
Kunal Lakhan: Okay 39% stake?
Zayd Noaman: Yes, yes.
Kunal Lakhan: Understood. And my third question was on -- if you look at Slide 25, right, the whole commercial buildup. So if you look at '28, '29, I'm assuming these are the BKC and the Mumbai assets commissioning and that's why the sharp jump in rentals. Just wanted to understand like where we are in terms of like execution, firstly, like -- and secondly, in terms of like when do you expect the leasing to start for these assets sir?
Irfan Razack: So yes, thanks, Kunal. On that portfolio, those projects are under construction. As you know, there is a certain period of time that it will take to put those buildings up, which is why the rentals are targeted towards FY '28 and FY '29. Having said that, we're getting a lot of interest from a lot of multinationals and institutions, and we are actively pursuing these. We will talk more about it and maybe finalize these deals later on. I think it's quite premature to pre-lease these. But having said that, we are open to any opportunities. Our focus right now is to complete the construction of all of these assets. Financial closure also has been reached for these assets. And I'm happy to note that the construction of the rehab for the Prestige at Mahalaxmi has been completed, and we should be getting the OC also within, I think, the next month or 1.5 months and start handovers to all the rehab tenants over there.
As well as in BKC 101, the construction of the rehab is also progressing very well. And we're very happy with the kind of product that we're delivering over there. So everything is on track, and we should be able to execute and start leasing the space out also sooner rather than later than FY '28.

Kunal Lakhan: Sure, sure. Just one follow-up on that. So considering the BKC -- the 2 BKC assets, right, considering like the supply itself in BKC remains kind of constrained, would pre-leasing mean like giving at a discount? I mean, considering the...
Irfan Razack: Not at all, not at all, Kunal. I think the rates over there are pretty strong. And we will look at something close to INR400 per square foot, and that's what we will be benchmarking against.
Kunal Lakhan: Sure. And it's safe to say that FY '26 is when you'll probably start this pre-leasing exercise? Or...
Irfan Razack: Yes, that should be around when we look at -- start pushing it more.
Moderator: The next question is from the line of Puneet from HSBC.
Puneet: Congratulations on your fundraise. Is there a time line that you have in mind to deploy all that you've raised?
Irfan Razack: In terms of QIP, whatever proceeds are there, mainly the debt portion maybe by December will be fully deployed, whatever we have earmarked for repayment of debt. Whereas land also by December, March, it should be fully deployed. Only the capex portion may take a little bit longer by June or September is the time line we have in mind.

Puneet: Understood. And on the Mumbai assets for BKC, what is the construction cost? And how much have you spent so far?
Irfan Razack: Can we get back to you on this.
Puneet: Yes. Sure. Just second is you also talked about mega launches, Indirapuram, almost INR10,000 crores of launches in 1 shot. Is that how one should think about these launches? Or will it be in a staggered manner?
Irfan Razack: No. As and when we get the RERA number, we will launch these. We are not going to wait to

stagger any launches as such because each of them are in different geographies and different regions, and there's a huge pent-up demand for each of these projects. So if you look at Indirapuram, yes, as we said, it's about INR10,000 crores GDV, Southern Star guiding about INR6,000 crores. Pallava Gardens around INR3,000 crores. So each of these are, I think, unique and indeed are different. So we'll launch it as and when the RERA numbers come.
Puneet: I understand. What I'm trying to say, for example, Indirapuram, which is 11.5 million square feet developable area and...
Irfan Razack: Sorry, I am unable to hear you.
Puneet: Yes. So I'm saying, for example, Indirapuram, which is 11.5 million square feet developable area and INR10,000 crores worth of GDV, will you open up the entire project for sale at 1 shot? Or will you do it in phases?

Irfan Razack: We have a business plan. We have a business plan. The total realization will be INR10,000 crores. But as and when the sales come in, first in first out. My inventory will be ready. So my approval will be for the full asset. It won't be split.
Puneet: Understood. And lastly, if you can talk a bit about your Q2 construction spend seems to be a little lower than Q1. Anything to read into that in terms of approvals for construction? Or do you think it should pick up from Q3 onwards?
Irfan Razack: It will slightly lower, nothing to that approvals and all that. I think so some last minute certifications of the contractor bills and all that. But I don't think any concern on the construction front yet.
Puneet: So approvals are all because we are very fast-growing organization. So flattish number looks lower, that's right.
Irfan Razack: No, no. Approvals are in place.
Moderator: The next question is from the line of Biplab Debbarma from Antique Stock Broking.
Biplab Debbarma: Sir, my first question is on the approval.
Moderator: Mr. Biplab, may I request you to please speak a little louder and use your handset mode?
Biplab Debbarma: Yes. Am I louder now? I'm actually using handset.
Irfan Razack: Yes, we're able to hear you.
Biplab Debbarma: Yes. So back to approval. Sir, is the -- how do you see the approval-related risk? Is it manageable? By manageable, I mean most of the launches will happen as per our schedule? Or it is a bit kind of uncertain, which means there is a good possibility of delay in launches happening. And why suddenly approval across the market has become an issue? That's my first question.
Irfan Razack: We are trying to. See everything -- all approvals that plans that have been logged in is all as per the law. Sometimes the -- across the country, there will be some election or the other, there will be some distraction or the other and then the officials are assigned to some other duties. But I do believe now that after Maharashtra, which is in November, there should be no problem whatsoever. And everything should start rolling in.
And I don't see any issues. But this has been from the last 1 year, this has been the distraction. But hopefully, it will all fall in place now. Yes, if the approval doesn't come, obviously, we can't launch because if you don't have a RERA number, there's no way that I can launch the project and get revenue. But I think the teams are working hard. And I think all likelihood, they should get the approvals and they should get RERA number and we should launch.
Biplab Debbarma: Okay. That's good to hear. And regarding the status of 3 projects, 3 capex projects, Delhi, Aerocity, Mahalaxmi and BKC projects. Sir, when do we expect them to be fully operational?

Zayd Noaman: Sir, 2028. Mahalaxmi as well as BKC. And as far as the Delhi DIAL, we should be ready in 2025 and operational in the first 2 quarters of 2026.
Moderator: The next question is fr

om the line of Murtuza Arsiwalla from Kotak Securities.
Murtuza Arsiwalla: Just a question, an observation rather, both in terms of the business development that you've shown as well as the launches, there is a fair amount of Hyderabad projects, more so in the new business development. Recent data points that we're getting on Hyderabad is sales are a bit soft or weak to put it politely. Is there a concern? Can you give us some flavour on how activity levels in Hyderabad are in the context of the projects that you've taken up?
Irfan Razack: As far as the company is concerned, Hyderabad is selling, selling well. Yes, for about 2, 3 weeks, there was a blip on some scare about some hydra which was going on for the rumour because that was only pertaining to people who had built on -- built properties without approvals on the lake beds. We have not -- our company has never done anything like that ever. And we have all the approvals in place.
For the customer, there was a bit of scare, but it's back to normal. And all projects, whatever the company is doing, like you see Beverly Hills is almost sold out, 3 lakhs flats there. Tranquility, they have some 3 lakhs flats left. Even Clairemont, which has just come out of the ground and we have come to the only podium parking level, we have almost sold 80% of the inventory.
Even Prestige City, which is a mammoth project, 4,700 units, we've already sold 3,000 units.
And every week, we are selling, I don't see any problem whatsoever. Of course, there are new launches, only 2 big new launches which are planned. One is the Prestige Spring Heights and the other one is the prime area in Banjara Hills, which is the Rock Cliff. Rock Cliff is a premium luxury development, whereas Spring Heights is again targeting the mid-income audience.
So I don't see any problem at all. The traction is good. And yes, Hyderabad, what you're saying is right, where the sales are slow is where somewhere developers in Hyderabad lost sight of the product itself and started building some very, very large units like 5,000 square feet and 10,000 square feet and 8,000 square feet.
Now that ticket size will be pretty huge, quite massive. So those are actually slowed down. And fortunately, for us in the company, we don't have any such ticket size in our -- including our villas. So I don't see any stress for us.
Moderator: The next question is from the line of Pritesh Sheth from Axis Capital.
Pritesh Sheth: Just a couple of questions. Firstly, sir, on the market dynamics, are you seeing any particular pain point for certain ticket size across the markets? And what could be your focus segment from ticket size perspective? Just for example, like you had a launch of Raintree Park this quarter, how happy you were with the response considering it was mostly INR3 crore plus kind of ticket size. How happy you are with that response? And what do you see as an outlook for that kind of category in Bangalore?

Irfan Razack: You see now if you ask particularly pointedly on Raintree Park. Now Raintree Park is a total of 1,368 units. You start only with 3-bedroom, go to 4-bedroom and 4-bedroom large. So these are all ticket sizes INR4 crores and above, okay. INR4 crores, INR4.5 crores, maybe even INR5 crores.
Now what happened was we didn't have a mix of the 2 bedroom units. Now we are doing the next phase at the back, we've got more land that's going to be called Evergreen at Raintree Park, project has already been designed and that will come up with the smaller and medium-sized units.
Now if you ask me how happy I am with the response, I think we're extremely happy because we have almost sold about more than INR 2,000 crores as of today of Raintree Park, and that's about almost 60% of the inventory, -- 50% of the inventory, which is quite large, substantial because these are high ticket value item and high ticke

t always takes a little more time for customers to decide.
But the good news is because the location is good, because the overall design was good, we were able to sell, and we continue to sell. So we don't have any concerns. We have sold 600-plus units as of today as against 1,368, which I thought was a very good score. And I believe that the rest of the units also, because we just launched and I believe that there should be no difficulty.
And when we come in with Evergreen, that should be a sellout immediately as so also is Southern Star, which again is good income.
Pritesh Sheth: Sure. And does that mean that generally, we were used to seeing sellout kind of launches last year. Would you sell out Grove?
Irfan Razack: We did sell out Park Grove, but then we had a single bedroom. It had a 2-bedroom. It had a small 3-bedroom. So now that category was missing in this product. It was a completely premium upmarket, say, premium to luxury product, and it is all a ticket size of INR4 crores above. So hence, the traction will be -- I would say for what size and the ticket size was, the traction has been brilliant, and I don't see any pain points on that.
Pritesh Sheth: Sure, sure. And your focus segment would be 2 BHKs, 3 BHKs or you would still...
Irfan Razack: We have to blend ourselves. This one, because the location was such, we planned it like this.

Now the one right behind that, so I can't do the same -- more of the same. So I have to keep on sort of tweaking the product and making it acceptable. So the next product that will come will be having a blend of 1, 2, 3, all of that.
Pritesh Sheth: Sure. That's perfect. And secondly, since you highlighted about Maharashtra getting into elections in November, do you see any risk of approvals delay in Nautilus or we are fairly in advanced stage and it's just a matter of time? And second...
Irfan Razack: We're not planning it for this current quarter. We are planning that for the following quarter, and I don't see any delay there. We will launch that in the next quarter.

Pritesh Sheth: Yes. And progress on Jijamata Nagar, sir? Should we see launch in FY '26, most likely or it's still...
Irfan Razack: Work-in-progress. First step, let me get the entire place cleaned up. As of today, if you would like to know the progress, we have cleaned up almost 70% plus of the tenements and only about 27%, 28% is left over. And I believe that the rest of it should get cleaned up by latest end of December. We'll have a flat piece of land.
Parallelly, we have started the planning process. Once the planning process -- see, for us, that's a huge, huge responsibility because we have to build 4,000 homes for all those people who have exited. And so that will be the first part. Second part is there are 4 sales units. There will be a retail mall there, there will be hotel as well as residential.
Moderator: The next question is from the line of Abhinav Sinha from Jefferies India.
Abhinav Sinha Sir, just following up on the previous question from Pritesh. In Bangalore, we have seen a sharp jump in pricing and you're also selling units at INR4 crores, INR5 crores. I think this is maybe 3x or 4x of what we used to see a decade back. So from here on, do you think pricing growth will slow down or we should still see double-digit pricing growth? So that's one.
And secondly, similarly, I mean, we have not seen much movement in office rents, but how are they trending in Bangalore now?
Irfan Razack: Abhinav, we don't want the price to jump too fast. It's already jumped up. Now since the market was accepting a certain price, we didn't want to let go of the opportunity. So that's why the Raintree Park has got us an average of around INR14,000 a square foot on super built area, not in carpet area. But of course, the product also will be as good. I don't want the price to go up much more than thi

s. And definitely, all the other launches will be in line with what the market is.
The next big launch will be in Bannerghatta Road -- off Bannerghatta Road, which is Begur, which is Prestige Southern Star. Once the approval and the RERA comes there, we'll launch that.
And we do have the old -- one of our old projects, which had got into some litigation. There's 1 project, which will be launching of Prestige White Meadows. And even that, if everything is in place I should get the RERA number either today with saying which by Monday.
And we'll launch that this quarter. And these are the 2 big launches for Bangalore, apart from a plotted development called Prestige Sunset Park, which is in the IVC road. But pricing, for sure, we are very, very conscious. At the same, while we protect our margins, we don't want those super margins and then shoot ourselves in the feet. We want to definitely see that the consumers also get a fair deal.
Abhinav Sinha And sir, on the office rent in Bangalore, what's the outlook?
Irfan Razack: I think we are pretty much full with whatever they are building. There's no vacancy as such. There is only a project that is coming up, which is the OC has to come and work in progress is

the Lakeshore Drive, which is I think the teams are more or less closing out on some 2, 3 large deals there.
And we have -- I think just this morning, my team was here, and they were talking about saying that they said we've done some 5.2 million square feet of leasing in this calendar year, which is pretty huge. And they say we'll do another 1 million or so square feet by the end of the year, which is quite big.
We do have a product called the Prestige Tech Cloud. We've leased out 1 block and then 3 blocks, we are doing a build-to-suit for a data center. There are some 2 buildings which is already as far as the company is concerned, which is starter sold. So there is -- I mean, if the rent comes also, we will have the arbitrage.
More important is to protect our investors, we have to see that this gets leased out as soon as possible. And I think November will be a defining month where we've got some 1 or 2 large occupants who are seriously considering this park, and that also should get occupied.

Zayd Noaman: Overall, our occupancy is around 90% across the portfolio. That delta is only because SkyTech is -- there's some vacancy and that will also get leased out.
Irfan Razack: Skytech in Hyderabad.
Zayd Noaman: Hyderabad.
Moderator: The current participant has been dropped. The next question is from the line of Yash from Stallion Asset.
Yash: Sir, my question was that out of the INR52,000 crores GDV, the launches that you have, do you have RERA approval for majority of them? Or like what percentage of them have RERA approval already?
Zayd Noaman: No, we're in the midst of...
Irfan Razack: If we had RERA approval, we would have already launched it. Because we don't have it, we are stuck.
Yash: Okay. So all of them have RERA approval basically.
Irfan Razack: RERA approval for even INR1 of the INR52,000 crores.
Yash: Okay. Got it. And sir.
Zayd Noaman: Understand if you should see us launching the projects, we should have RERA for a few of the projects that we mentioned that we'll launch for Q3.
Yash: Right, right. And sir, just I know you've answered the question before, but I just sort of understand it a little bit better. So the INR52,000 crores GDV that we have, I'm assuming that half -- about, let's say, 50% of them are converted from launches to presales. So that will be

about INR25,000 crores. So H2, basically, your presales can be about INR20,000 to INR25,000 crores right, just broad numbers just for the second half?
Irfan Razack: Yes, it could be. It could be.
Zayd Noaman: But our guidance and target remains the

same for the year.
Moderator: The next question is from the line of Rajeev Venkatesh, who is an individual investor.
Rajeev Venkatesh: Sir, I have a couple of questions. Are we building a new portfolio for data center? Because I don't get much of any response on the data center, especially in Bangalore, Mumbai and Chennai locations. Do we -- are any hyperscalers contacting us to build these type of data centers?
Zayd Noaman: Hi Rajeev, we are very agnostic and we are very open to exploring new opportunities. But having said that, we've done a build-to-suit for a company called NTT. And we are building the data center for them where we sold the land and took the contract to build it for them. So with that, we'll build some expertise, but the operations of a data center are completely different, and it's not our expertise. So we're happy to partner and look at opportunities on a case-to-case basis.
Rajeev Venkatesh: Okay. And on the hospitality business demerger, I hope you consider the retail shareholders also and do some sort of I mean to say shareholder quota for considering the retail investor.
Irfan Razack: It is too early right now. We are in the structuring process. In fact, once the structuring is done, after that, we'll take a Board approval and then maybe appoint the bankers and all that. So maybe how much will be the retail quota for the existing shareholders, we'll figure at that point of time once we -- more advanced.
Moderator: The next question is from the line of Aditya Chandrasekar from UBS.
Aditya Chandrasekar Just a very quick question. So there was a project called Prestige Oakville in Bangalore, which was an upcoming project in the Q4, PPT of around 4.8 million square feet. Just wanted to understand what that project is because I can't see it in the latest PPTs? Sorry if you've already mentioned something about this in the previous quarter, I didn't listen, but anything there will be helpful.
Irfan Razack: No, that's a good observation. We have dropped that project.
Aditya Chandrasekar Okay. Did we already have that land or that was just something that was under discussion but never kind of went through?
Irfan Razack: It was supposed to be a JDA, but we dropped that project.
Moderator: The next question is from the line of Vaibhav Saboo from Nippon AIF.
Vaibhav Saboo: Is that fundraise which was previously mentioned. For the Hyderabad market specifically, if I look at it, that for our portfolio that seems to have one of the highest inventories. So whereas versus if you look at other geographies like Bangalore or Mumbai, our sales traction has been

pretty strong. But Hyderabad is something which ranks higher proportionately on the basis of inventory. So any particular reason for that? And what our sales strategies going forward?
Zayd Noaman: So our sales strategy is pretty simple, and we are very positive on the Hyderabad market. Last year, if you look at our overall performance, we did about INR5,000 crores from the Hyderabad

market. And I think there is growth from that number onwards. So based on that, we are also building our opportunities and bringing in a pipeline, because we feel in the next 5 years, there's a huge scope to increase from that number.
So that's how you will see us looking at the Hyderabad market going forward. And our approach to designing the products and specs remains the same. We will cater to a ticket size, which is in the mid-segment and also will give some premium luxury products as well. And we are looking at diversifying into different asset classes in the Hyderabad market as well. So that is our approach towards the market and will remain the same. We are very positive on Hyderabad market.
Vaibhav Saboo: Understood. And just a second question on a broader industry perspective. See, what we are hearing from also other developers like that everyone is havin

g H2 as very launch heavy season,
including, yourself also. So do you feel that we may be in a situation where there is suddenly an oversupply in the market because everyone is -- because as has been mentioned before, the RERA approvals for a lot of projects are set and most are waiting for H2. So just your perspective on that. That's it from my end.
Irfan Razack: So, we feel that the demand will be way more than the amount of supply that we be able to come into the market. In terms of competition, yes, there will be a lot of products in the market, but Prestige product stands out from its peers. So on that way, we are very secure and happy with the kind of offering that we're bringing to the table. And there's a lot of pent-up demand for the projects in each of our locations, and that gives us a lot of confidence on our performance once we are launching.
Yash Gupta: The next question is from the line of Yash Gupta from Thinksight Advisory.
Yash Gupta: Sir, my first question is on Jijamata mixed development. In this quarter, we have given the breakup for the Jijamata. Can you throw some light on it? And what will be the total GDV of this project?
Zayd Noaman: Hi Yash. Yes. So as Mr. Razack mentioned, we are in the phase of acquiring and cleaning up the land and clearing out all the tenements. About 70% has already been cleared and the balance 30% is left, which should be done in the next few months. After that, we will go into project planning and approvals. We have already envisioned it to be a mixed-use asset with the hotel, mall and residential. In terms of GDV for this, Amit will provide some numbers.
Amit Mor: We are expecting we will realize close to INR60,000 per square feet and close to INR20,000-plus crores of revenue in terms of GDV will be realized from the project.

Yash Gupta: Okay. Sir, second question is on the launch of the -- H2 launch that we are looking for. A lot of this project, I think we have taken it from the NCLT, like I think NCR Indirapuram was also from NCLT. So what could be the EBITDA margin for this project?
Irfan Razack: Can you just repeat the question?
Yash Gupta: Sir, my question is on the launch of like INR52,000 crores of launch that we are looking in the H2 of FY '25. Lot of this project, we have taken it from NCLT. So I think the margin would be higher in those projects like Indirapuram is also, I think we have taken it from the NCLT. So overall, I just want to understand what could be the EBITDA margin for this INR52,000 crores of the launch that we are looking for?
Irfan Razack: I don't think, sir, we have taken all these projects from NCLT. Directly from NCLT, we have taken just 1 project, which is the Prestige City, Mumbai. But having said that, the margins will be in the range of 35% for whatever we have given the guidance, INR52,000 crores of launches.
Yash Gupta: This is sir, operating margin?
Irfan Razack: Gross margins, yes.
Zayd Noaman: And EBITDA margins of around 30%.
Moderator: The next question is from the line of Karan Khanna from AMBIT Capital.
Karan Khanna: Firstly, a very happy birthday to you, Mr. Razack, and season greetings to the entire team at Prestige Estates. So my first question is on the residential segment. How are you thinking about business development in the NCR market, considering you have about 3 launches that are planned for second half of this year? What kind of future aspirations do you have in the NCR market?
And as a follow-up, you have about INR52,000 crores sort of launches that are planned in second half of this year and INR16,000 crores of inventory on the balance sheet. Of this, you're expecting about INR23,000 crores, INR24,000 crores kind of presales velocity in second half of this year. So how are you thinking about business development aspirations in FY '26 for the company across markets?
Irfan Razack: Thank you, fir

stly, for your greetings. As far as we are concerned, we are now relentlessly working hard to see whatever projects that are there in all the geographies that we have, the approvals come as soon as possible. As I said earlier, and I'm repeating it again, these all have been drawn up as per the rules of the local bodies of those particular cities. And it's only a function of how quickly we can push these and get them out.

And yes, business development, what we, now since we got this huge amount of inventory sitting there, first focus would be to see that these come to market and they get launched. And once they get launched, there are opportunities. The only thing that we do not want to do is get any development riding in the upper side of the wave and make wrong commitments in terms of commitments for this thing.

Now for instance, in Bangalore itself, even yesterday, we registered 1 particular piece of land in Whitefield, which is again the Phase 3 of my Raintree Park, where I believe the traction will be amazing. So we are very careful on the overall commitments that we make on BD. And anything that comes sensibly, anything that gives us, we believe, will give us correct bottom line as well as we'll be able to give a good offering to the customers.

These are the projects that we are touching with, whether it's NCR, whether it's Mumbai, whether it's Bangalore or Hyderabad. The strategy is the same. And we'll continue to do that. We don't have -- we don't want to do business on a compulsive manner or an impulsive manner. We'll be doing it properly measured, calculatedly.

And if things come our way properly, we will touch it; if it doesn't come our way correctly, we'll leave it. But then there is a pipeline. We are creating pipeline in all cities, including Chennai.

Karan Khanna: Sure. This is useful. Just a follow-up. Sir, you've spoken about markets like Thane and Panvel in the past. So any potential business development that we can see in these markets, because most of the other listed developers and also large unlisted names are operating and perhaps adding projects in this market?

Irfan Razack: Yes, we are. In fact, we are talking about some land in Thane as well as in Dahisar. These are some of the geographies that actively we are negotiating. And if it comes at reasonable and good terms, we'll probably buy these lands, and it's a work in progress.

Karan Khanna: Sure. My second question on the leasing portfolio, you have about 25.5 million square feet of leasing pipeline in Bangalore and Mumbai, that is coming online in next 2 to 3 years. Given that annual leasing in these cities is around 15 million, 16 million square feet, 16 million square feet each, do you anticipate any potential challenges in terms of leasing, especially with some of the competitors also accelerating their expansion in the commercial real estate side?

Irfan Razack: No, not at all. It all depends on location and product. We also have our tenants and our clients who are loyal to us. Of course, as long as I give them a good product within the time and a proper pricing, I think across geographies. See, now if you take the case of Hyderabad, which I talked about, Hyderabad market leasing is very poor. But in spite of that, out of 2.2 million square feet, we have leased up 1.3 million square feet.

When I talk about these numbers, it also includes my landowner share, and we've got a little under 1 million square feet remaining to lease up in Hyderabad. And we are also talking to 2, 3 tenants at the same time. And I think by December, we should almost be near full. So it depends on the product. It depends on the location, price and of course, your relationship with your various customers. And that's what the winning point. And I don't see any stress in leasing up space.

Moderator: The next question is from the line of Shivam Parashar

, who is an individual investor.

Shivam Parashar: I would like to know the PAT margin percentage, you spoke about the EBITDA margin on your INR50,000 crores thing. What is the PAT margin on that?

Zayd Noaman: Can you just repeat, you're not audible Shivam.

Shivam Parashar: Yes. Now I'm audible?

Zayd Noaman: Yes.

Shivam Parashar: Yes. So you spoke about 30%, 35% of the EBITDA margin thing. What would be the PAT margin on that INR50,000 crores GDV?

Zayd Noaman: It will be close to around 15% to 18% on the residential segment. So if you see on the residential segment, we are guiding around 30% EBITDA margin. The final PAT will be around INR15,000 crores to INR18,000 crores.

Moderator: The next question is from the line of Deepak from Delta. The line for the participant has been dropped. So we would now like to hand the conference over to the management for closing comments.

Irfan Razack: Thank you again, once more for all the insightful questions and the active participation. We enjoyed all your questions. If there's anything else that you'd like to know any clarification, we are always available. Zayd and Amit will be there. And of course, now wish all of you a super Diwali and a happy New Year and may the New Year bring in more joy in all of our lives and may we stay better. Thank you so much.

Zayd Noaman: Very happy Diwali.

Moderator: Thank you very much. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

"Prestige Estates Projects Limited
Q3 FY '25 Investors Conference Call
January 31, 2025

MANAGEMENT : MR. IRFAN RAZACK – CHAIRMAN AND MANAGING DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED
MR. ZAYD NOAMAN – EXECUTIVE DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED
MR. AMIT MOR – CHIEF FINANCIAL OFFICER – PRESTIGE ESTATES PROJECTS LIMITED

MODERATOR : MR. PRITESH SHETH – AXIS CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Prestige Estates Q3 FY '25 Investors Conference Call hosted by Axis Capital. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Pritesh Sheth from Axis Capital. Thank you, and over to you, sir.

Pritesh Sheth: Thank you, Zico. Good afternoon, everyone, and welcome to the call. As usual, we have with us the management of Prestige Estates represented by Mr. Irfan Razack, Chairman and Managing Director; Mr. Zayd Noaman, Executive Director; and Mr. Amit Mo r, the Chief Financial Officer.

I'll now hand over the call to the management for their initial comments. Thank you, and over to you, sir.

Zayd Noaman: Very good afternoon. Thank you, Pritesh. This is Zayd Noaman. Thank you for joining today's earnings call, and I wish you all a very Happy New Year. This is the first call of New Year . I'll begin by providing an overview of our key performance highlights for the quarter and t he 9 months of the fiscal year.

For our operational performance, I'll begin with Q3 FY '25 sales. We've achieved the sales of INR3,013 crores with 2.23 million square feet of real estate sold across 888 units. Our sales performance remains well diversified with Bangalore, Mumbai and Hyderabad being key contributors.

Despite no new launches, we have achieved a fairly strong sustenance from our projects like Prestige Raintree Park, Prestige City Hyderabad, Prestige City Mumbai and Prestige White Meadows. Our average realization for the quarter remained strong at INR13,684 per square foot. Collections continued to be healthy, totaling to INR3,257 crores during the quarter.

For the 9 -month period, we recorded a total sales of INR10,065 crores with 8 million square feet sold across 3,618 units. Collections for the 9 months stood at INR8,910 crores, reflecting steady cash flow generation across our projects.

Going on to our financial performance. Revenue for Q3 FY '25 stood at INR1,697 crores. EBITDA for the quarter was at INR633 crores, translating to a margin of 37%. PAT for the quarter stood at INR32 crores, impacted by mark -to-market loss on our REIT holdings given that we have a holding in Nexus REITs.

For the 9 -month period, total revenue reached INR6,146 crores. EBITDA for the 9 months stood at INR2,342 crores with a strong margin of 38% and PAT for the period stood at INR573 crores with a net profit margin of 9.34%. Something interesting that I'll share with you is our segment - wise performance. I'll begin with the office.

Our office segment recorded leasing of 3 million square feet, of which 2.85 million square feet
of fresh leasing. I'd like to put on record that the calendar year was 4.5 million square feet, which
was one of the highest in the market across the country. O ccupancy levels across our portfolio
remained stable at around 90%.
Exit income as of December 2024 stood at INR522 crores for the company, and we will achieve
our target of around INR700-plus crores for March 2025, which we have guided earlier. Retail,
our portfolio continued to perform well with gross purchasing value surpassing INR1,750 crores
during 9 months FY '25. This is the consumption figure across our malls. Footfalls at our malls
remained strong, reaching 14 million visitors, while occupancy levels were at 99.2%.
Our retail segment's exit rental stood at INR217 crores as of December 2024. For our hospitality
portfolio, we maintained steady performance with

an average room rate of INR14,000 and
revenue per available room, which is a RevPAR at INR8,500. Average occupancy stood at over
60% for the 9 -month period, and the segment generated total revenue of INR661 crores with an
NOI of INR238 crores for the 9 -month period.
Looking ahead, we remain focused on executing our strategic priorities and strengthening our
portfolio. We are excited to conduct our maiden residential project handovers in Mumbai in the
coming months, which is Prestige Siesta and The Prestige City Mulund and Prestige Jasdan
Classic.
On our annuity assets in Mumbai, the rehab building has been completed at the Prestige and the
OC has been received. At BKC, the rehab construction is underway and should be completed in
the next few quarters. We are preparing, as you would all be eagerly awaiting the launch, to
launch a robust pipeline of projects across all our ke y geographies, Bangalore, Hyderabad,
Mumbai, Chennai and NCR in the next few weeks.
These high -velocity projects located across prime geographies should drive significant sales
volume and help us regain sales momentum. The projects that we will be launching is our
Prestige Southern Star in Bangalore, which should be around INR3,500 crores of GDV.
Prestige City Indirapuram in NCR, INR11,500 crores of GDV, which is we've revised our
guidance slightly upwards as the realizations have improved in the western region. And Prestige
Pallava Gardens in Chennai at INR3,000 crores. Prestige Spring Heights, INR3,400 crores in
Hyderabad and Prestige Nautilus in Mumbai at INR8,600 crores.
This is a total of INR30,000 crores worth of inventory, which we will definitely bring in this
quarter. We are saying this with utmost confidence as most of these projects have been logged
in for RERA and should be launched in the next few weeks.
Now I'll hand it over to Mr. Razack for any comments.
Irfan Razack: Hi, everyone. I think Zayd has very, very nicely presented a full overview. And I think he's
covered all the points, and if Amit wants to add on, we'll ask him. Otherwise, we are open for
Q&A.

Amit Mor: We'll open for Q&A.
Irfan Razack: We'll open for Q&A. Amit says, Zay d has been very clear.
Moderator: Thank you very much. We will now begin the question and answer session. The first question
comes from the line of Parikshit Kandpal with HDFC Securities.
Parikshit Kandpal: So Mr. Razack, so my first question is, sir, how many of -- you have -- I think Zayd spoke about
INR30,000 crores of projects which will get launched. So how much -- many of these projects,
so which are the projects which have already been logged in for RERA?
Irfan Razack: See -- and Zayd has given you the list. As of now, Prestige Southern Star has got approved. And
I think -- and then this Prestige Suncrest, which is missed out here, even that is also logged in
for RERA. Pallava Gardens, plans are approved. We have to get it in hand for us to log it in
RERA. And Prestige Nautilus, we just got the ch ange of name just an hour back.
So that is also there. The plans are approved and the change of name from the previous promoter
has been done. We just have to fill in the new plans that have been done and that have been
approved. And the next one is the Spring Heights, the approval shoul d come in our hands today,
or maximum tomorrow, aft er which we'll log in for RERA.
So all these are like happening, including Prestige City Indirapuram in NCR, we've logged in
for RERA and it's work in progress. We have some clarifications which we are thinking, which
we will give and we will satisfy them.
Parikshit Kandpal: But especially Indirapuram is the large project, sir. So do you think in first half of February,
you'll be in a position to launch it because we have been hearing for now many weeks that queries
have been coming back and forth, but w

e've still not been abl e to get approval ? So what is the
issue there and...

Irfan Razack: We have authority that probably is overstepping, but we can't say that in so many words now. We have to -- they want us to -- or we've got a co -promoter in our previous landowner and they indeed very clearly said, apart from the consideration, we also give a percentage, but they want us to do a JDA. So we are trying to do that and satisfy them, there's no other choice. It's -- according to me, it's not, but then I can't fight. I have to just comply.

Parikshit Kandpal: Okay, sure. Now just last question on the guidance, sir. So I think you have done INR100 crores in 9 months and now to meet that guidance INR23,000 crores or INR24,000 crores -- I mean near about INR23,000 crores, INR24,000 crores...

Irfan Razack: If the inventory is available, it is possible because whenever we do a launch, we sell about 30% to 35% or 40% of the inventory. So I've got INR30,000 crores worth of inventory that can come into the market and 40% of that is INR12,000 crores and plus I've got existing inv entory. So it's not impossible.

Now it all depends on how soon the RERA numbers come. Like you rightly said, we are in end of Jan. So it's just 8 weeks remaining, out of which February is a short month. Our team's all

geared up. And the best part is the customers are waiting. It's not as though there's n o interest or there's no buyer.

We keep getting a lot of inquiries. But the thing is we have to follow the regulatory, we have to follow the law. And if it -- by chance, it doesn't happen in this quarter, it will just flow to the following quarter. But according to me, in all probability , we will pull it off. I don't see any reason or any doubts into this.

Parikshit Kandpal: And I mean, this project has been widely advertised on social media, especially the Indirapuram. So -- and what we have been hearing there is a good undercurrent on demand side. So looking at EOI and the numbers which you highlighted across all these proje cts, do you think EOIs will catch up to that 30%, 40% kind of demand, which you earlier spoke about in the call...?

Irfan Razack: Okay, I'll tell you, see Southern Star, like once we launch it, it's like we'll be able to sell off almost half of it or more than that. And even we've got what is called the other project in Bangalore, which is Suncrest, even that also will be -- it's INR800 crores. But between Southern Star and Suncrest it's INR4,300 crores, we should be able to get about INR2,500 crores from there.

And similarly, Nautilus is INR8,665 crores, but my team in Mumbai has promised me that this quarter, since we are all set, there is a lot of interest on that. We should get another INR2,000 crores there. And what remains is Pallava and Spring Heights is Chennai Hyderabad. Now Indir apuram, the plans are approved.

I just -- if I get my RERA number today, I'm ready to go because even my CEC is almost ready, but then it's -- what to do. We thought we'll actually launch it in the previous quarter. It's not happened. I only hope and pray we don't miss this quarter.

Parikshit Kandpal: Indirapuram could be INR5,000 crores, INR6,000 crores if you are able to launch it, I mean almost INR12,000 crores...

Irfan Razack: Easily. But the thing is I should get it. There's always that miss, but we see, and I don't want it to linger too much. In fact, I personally went to Lucknow myself to convince the Chairman. The Chairman is receptive, but it's -- let us see what happens.

Moderator: The next question comes from the line of Puneet from HSBC.

Puneet: Sir, if you can also talk about while you'll have INR20,000 crores worth of inventory potentially spilling over to FY '26, if you can briefly outline what is the plan for '26 in terms of launches?

Zayd Noaman: Puneet, this is Zayd. Yes, while we

have about INR22,000 crores highlighted from that INR60,000 -odd crores, I think we'll give you a better clarity by the end of this quarter because whatever we didn't launch this fiscal year will flow into the next financial year, nex t quarter and quarter that way.

And also there's some new BD that we have done, business development, which will happen. For example, we'll be launching our projects in Goa as well, which is slated for the next quarter as well as many launches in Bangalore.

Puneet: Okay. And secondly, any thoughts on why do we need to hold on to Nexus shares? I mean I presume there will be other places where you can deploy for higher IRRs.

Irfan Razack: See, it's a sentimental thing, it's some 4.5% of it. There's no debt also on the Nexus shares. We have kept it, any time I want to liquidate, I can. Now at the wrong moment, even if I want to sell, if I wanted to, probably I would have sold it when it was on a peak, that's almost INR1,000 crores. We'll see.

It's more sentiment than anything else. I think in the larger scheme of things that we do, I believe that 4.5% of the REIT is not something that I should be really worried about. And in case there is need of cash and then we want to reduce debt, we can straight away liquidate that and have -- it's like a liquid asset.
Zayd Noaman: We already have a lot of funds available in the company, Puneet. So right now, we are not looking at liquidating the REIT units. Whenever a good opportunity is there, which we can bank on, at that point of time, we'll be evaluating -- liquidating the REIT units.
Puneet: No, very clear on this. Thirdly, on the land acquisition part. This time, there were a lot of stake buybacks, etc. How is the plan going ahead? Are there more stake buybacks that you're looking at? Or are you going to go for land acquisition route? Or coul d you still prefer a JV kind of model which you've always done historically?
Zayd Noaman: So here, we remain agnostic. It depends on the opportunity that we are presented with. And based on that, we'll either do a JV or JV for our residential or an outright buy for our annuity projects.
Puneet: Any more stake buybacks still remaining?
Zayd Noaman: I don't think anything planned for this quarter or whatever we have done with -- whatever we have done apart from that, we don't have any other plans which we...
Puneet: Okay. Lastly, if you can also give some sense of collections run rate and construction run rate. So collection run rates without any launches are very nicely settled at INR3,000 -plus crores. Should we assume that, that's the bare minimum that you will continue to run with? And on the construction cost as well, the spend has pretty much doubled compared to previous quarter. Will that be a new run rate? Or is the expectation o f further growth from these levels?
Zayd Noaman: So I will come on the construction spend. I think so in the earlier quarters, an average run rate of INR1,300 crores to INR1,400 crores was what we were spending per quarter on the residential construction. In the current quarter, we have spent close to INR2,100 crores. That is mainly because of 2 reasons.

One, we have spent significant amount on approvals for our upcoming launches. That amount is close to INR350 crores, INR400 crores. We have spent INR150 crores -plus on the Indirapuram, around INR150 crores, INR180 crores on the Nautilus project itself. Apart from that, we have a few projects which are nearing completions being your BKC Sarjapur.
Then we have some projects in Mumbai, that is basically our Jasdan Classic and Siesta and one project in Hyderabad region, which is the Beverly Hills. At the final stages, the construction spend is generally a little higher. But on a, I would say, longer p eriod, we

can say that around
INR1,500 crores to INR1,600 crores will be the average construction spend per quarter.
In terms of collections, the collections have been on a steady state for the last 3, 4 quarters -- last 3 quarters because the sales have not come down. Whatever the big launches we were planning have not hit the market. Once the launches are achieved, I t hink so the collection should grow from currently INR12,000 crores to INR13,000 crores levels to INR16,000 crores to INR18,000 crores levels per year.
Puneet: Sir, how much from?
Zayd Noaman: Right now, my residential collection is around INR12,000 crores to INR13,000 crores, around INR13,000 crores. It should grow to INR16,000 crores this year once all the 4, 5 launches what we have spoken about a few minutes back, those are able to hit the market. And then from there the normal whatever sales growth is these, we'll be able to grow on -- collection from there as well.
Moderator: The next question is from the line of Eesha from Axis Securities.
Eesha: Most of my questions have been answered. I just wanted to understand a kind of growth guidance for launches for FY '26 as well. Say, for example, all the launches that we mentioned in FY '25, most of them may or may not happen this -- in the quarter 4. Do we have any guidance for FY '26 for launches and for presales as well?
Zayd Noaman: This is Zayd. We'll guide on this in the end of this quarter.
Eesha: Yes. No, I just wanted to understand, so FY '26 launches you'll be guiding post quarter 4 is my question.
Irfan Razack: No, I said, see, first, let's finish this quarter, then we'll evaluate after the dust settles. We have a big strong pipeline. We've got another INR30,000 crores worth of projects that are under approval and all that. So we'll evaluate once this quarter gets done, and we'll see whe re we've reached on our target.
And then based on that, we -- and based on what inventory we have, we will inform you in probably the next quarter. It's too early for us to talk about the next quarter just now. There is -- the teams are working with a big pipeline, and I think there's no dearth of inven tory or pipeline that can come.

It's all about how quickly we can get the regulatory stuff and bring the product to the market. Like I said, the market is there. The customer is there. Only thing is we need help from the powers that big thing.
Eesha: Okay. And any -- nothing on presales guidance as well going forward?
Irfan Razack: I didn't hear you, not clear.
Eesha: Anything -- nothing on presales guidance as well for FY '26?
Irfan Razack: No, FY '26, as I said, I can't give you guidance just now. Let's finish FY '25 and then we'll go to '26.
Moderator: The next question is from the line of Yash Gupta from Ashit Koteja Family House .
Yash Gupta: Sir, my first question is on what revenue number are we looking for in FY '26 with the project completion method? And what could be the EBITDA of those projects?
Irfan Razack: Amit will answer this. We would definitely like to like in -- I believe in Maharashtra, our auditors told us they are doing a percentage completion method. Now they are now still doing 100% completed method. So it has a big bearing on the financial results . And obviously, all expenses are getting debated upfront, whereas my revenue comes much, much later.
So we are having a chat with the auditors if they're doing it in a different territory in the country on a percentage completion method, why 2 different rules, 2 different rules for 2 different -- for the same industry. So it's a discussion that's going on . Supposing we all revert to either percentage completed or it should be 100% completed method. I believe otherwise, you can't even make out what is happening, especially for analysts like you, it will be very difficult. Amit?
Amit Mor: In terms

of the expected revenue for FY '26, we will have some large launches -- I mean, projects getting completed in the next financial year, which includes the Prestige Sarjapur. So , BKC Sarjapur, in terms of revenue, it would be in the -- close of INR10,000 crores to INR12,000 crores, what we can expect next financial year.
Yash Gupta: And sir, what could be the EBITDA margin for those projects ?
Amit Mor: 30% you can expect the EBITDA margin on these projects.
Yash Gupta: Okay, sir. Sir, my second question is on -- in the Slide number 20, we are showing that free cash flow from the residential business is around -- to be INR50,000 -odd crores in next 4 to 5 year approximately. So approximately, we are getting INR10,000 crores every year. So how they are rewarding our shareholders going forward?
Zayd Noaman: See, our strategy has always been -- whatever the free cash flows that we generate from the residential segment, we would like to redeploy a portion of it for business development to grow the residential segment and deploy the balance for my annuity busine ss. So that the reliance on debt is reduced.

Yash Gupta: Okay, sir. But is there any policy -- dividend policy we are looking for, any specific thing?
Zayd Noaman: No, currently, what we will look at is completing our annuity portfolio, okay, because there's a significant amount which we need to spend before we start yielding. And at that point of time, we can have a reevaluation of how the dividend policy or the sha reholder, how we can reward them at this point of time.
Moderator: The next question comes from the line of Pritesh Sheth with Axis Capital.
Pritesh Sheth: Just a couple of questions. First, on -- in general, the approval process, are you seeing any improvement now versus where we were like 2, 3 months ago, I mean let's keep Ghaziabad aside for now. But in general, for your core markets like Hyderabad, Bangal ore, Mumbai, how would you rate the current approval process in terms of time lines?
Irfan Razack: See, the rules are the same, fixed. There's no leeway in how they -- but it's only a question of distraction. And in the last 3 quarters, what happened is each state went into election and they had general elections. That's why this year, we had this huge lag. And now that's behind us.
The only thing is we just discovered that every state, the RERA interpretation is very different and the method they give on that, giving a RERA actually, the thing is we have to just log in online and given all the documents and get a RERA number registra tion number. But then everybody has interpretations differently. So it takes its own time, and we have to probably comply with what they want us to do.
Pritesh Sheth: Got it. And just second question on the retail revenue, which was down this quarter by 4% Y -o-Y, we have seen other players doing well in terms of retail segment growth. Any specific things you want to highlight for what happened for us this quarter?
Irfan Razack: Retail revenue is not down. In fact, our malls have traded the best in this quarter, and we've had the best revenue. Right now, we are operating 2 large malls and then 2 small ones. And we've

got almost 100% occupancy in the retail. And I think December wa s the best month whe re we got the maximum turnover.
So I don't see any concern there. I don't understand which retail revenue you're talking about.
But as far as I'm concerned, it's 99.2% occupancy, and there's no dip in any revenue. Unless we are talking about in excess REIT, which we have written off, that could have brought down the profits beca use that mark -to-market, that's something to do with the stock market and nothing to do with the business.
Pritesh Sheth: Sir, I'm specifically talking about the disclosures that you've given in presentation, but I'll connect offline for this. That's it

from my side.
Irfan Razack: First clear on what you're asking.
Pritesh Sheth: Yes, we can move on to the next question, I'm done.
Moderator: The next question comes from the line of Abhinav Sinha from Jefferies India.

Abhinav Sinha: Sir, on the upcoming launches, just wanted to check what are the project ticket sizes that we are looking at in terms of unit per crore s, particularly for Nautilus and Southern Star?
Zayd Noaman: See, Nautilus is a luxury project. It will be average...
Irfan Razack: No, I think he is asking for the ticket size, ticket size will be roughly about INR25 crores upwards.
Abhinav Sinha: INR35 crores , is that right?
Irfan Razack: Upwards. That's the minimum because there are different sizes. So it is a luxury project and it's the most premium that we can get in the company. It can go much, much higher even INR70 crores, INR80 crores.
Abhinav Sinha: Okay. And you are expecting around INR2,000 crores of sales at launch, right? So roughly 50 units to be sold approximately, is that right?
Irfan Razack: That's correct. You can interpret it whichever way. The only proof of the pudding is in the eating. Once we launch it, there is a good traction. There's a good inquiry and all, like the Prestige Ocean Towers, we may also surprise that we sold 104 units and we've got about 60 -odd units per crore s.
Abhinav Sinha: And similarly for Southern Star, what is that product?
Irfan Razack: Southern Star is a mid -income product. And I believe that's probably around INR1.5 crores to about INR3 crores. So that will be the ticket size, and that's a different thing. Southern Star, Spring Heights in Hyderabad as well as Pallava Gardens in Chennai. This is the mid -income products. And of course, Indirapuram in NCR are all mid -income products.
Abhinav Sinha: Okay. Sir, you've also added a new project in Mumbai this time. So can you describe where it is located? And what are the expectations from that?
Irfan Razack: This is Dahisar Mira Road. We bought the land, and it has about roughly a little less than 1 million square feet. About 1 million square feet of saleable area. We have finalized and closed out on the plan. Actually, sort of design part is over. Now it's going for approvals. Let's see, we're trying hard to see and how soon we can bring it to the market. There the selli ng price, again, it's a quick seller because the overall ticket size will be much less and your selling price itself on carpet w ill be around that INR18,000.
Abhinav Sinha: Okay. And sir, finally, on the gearing ratio, what should we expect in the next few quarters? Is this now the level that we will maintain or it will possibly go up a little more?
Irfan Razack: No, I think it shouldn't go more at all. Actually, as I see, maybe 1 or 2 quarter it may spike up, but the amount of inventory that is coming in, the sales that we are looking at, we should have enough of cash flow. Whatever cash flow was tied up and whate ver debt was tied up for all these projects, it will come back, and we'll be quite flush with additional cash flows. That will help us for our capex projects also.
Abhinav Sinha: So ideally 0.5 to 0.75 for the next maybe 1 or 2 years?

Zayd Noaman: Our endeavor is to keep it below 0.5.
Abhinav Sinha: Okay.
Irfan Razack: That's our wish. And I think we will do it. We'll pull it off. I don't think there should be any problem on that because there is a lot of positive cash flows that are going to come in.
Moderator: The next question comes from the line of Biplab Debbarma with Antique Stock Broking .
Biplab Debbarma: Sir, my first question is, is the overenthusiasm by the regulators, if I may use the euphemism, restricted to the Indirapuram project? Or does it extend across projects? Are you

seeing this kind
of overenthusiasm b y regulators across projects...

Irfan Razack: I can't hear you properly. I can't hear you properly.
Biplab Debbarma: Sir, I'm just trying to understand, is this -- approval challenge is restricted to Indirapuram p roject or it is across projects?
Irfan Razack: No. See, each state has their own way of functioning. And we have to learn that. You see this is the first time we've gone to UP and now we are learning. And probably the next time we would have learned by then. See, in other states, we are already there f or many years. So we've understood how they operate, and we have to play to the galleries.
Biplab Debbarma: So that means in other states or other projects you are not seeing this kind of...
Irfan Razack: No, not at all.
Biplab Debbarma: Okay. That's a good news. And second is regarding Nautilus Worli, Worli already has significant supply in the same category, INR20 crores , INR30 crores category and more to come from other developers, major developers, reputed developers. So how confident are you in the response? Because I believe a lot to sell INR7,000 crores of GDV. So are you seeing a kind of oversupply in the market? Or you believe that there is enough demand to absorb all the supply that would be coming in, in the next 1 year or so?
Irfan Razack: Yes. You see, what happens is real estate is all about location. This location, some people fancy. And my staff at the ground level are very, very confident. They already have primed up the customers, and they are confident that once we launch, we'll get significant numbers from this project.
Now like I said, proof of the pudding is in the eating. And if I -- once I launch it and I don't get the numbers, then it will be proved that there is no demand. As of today, there is demand. As of today, there is attraction. And we believe -- and even I h ave to yet to see it like people -- my staff was not very confident on the Ocean Towers when we launched it, and they couldn' t believe that it went so fast.
Similarly, here also, we are not in such a great hurry to sell it because this product is very good. This location is the best of the best in what is available in those micro markets. And yes, more

and more supply comes in, there will be a stress. And we believe that only the best can survive. So -- and according to me, our project is the best.
Biplab Debbarma: Fair enough. And my final question is, could you please update us on the progress of your key commercial projects, BKC, Racecourse and Delhi Aerocity. When do you expect this to be completed? Because I see some -- visually whenever I go in that area, see s ignificant progress in BKC and Racecourse. But if you could give more insight on what kind of progress? And by when do you expect this to be operationalized?
Irfan Razack: See, the good news is that Mahalakshmi, my rehab tower, which -- I mean it's not rehab, rehab, it is a beautiful office tower, which is the Prestige Turf Tower is ready. We've got the occupancy, like Zayd said in his opening remarks. And we've started hand ing over the units to the Turf Estate and the Evergreen Est ate occupants to move in there.
And once they move in, we will demolish these thing -- this thing. But in the meanwhile, the tall towers are already under construction and our targeted year of completion is 2028. Similarly, BKC is also moving very, very fast. We -- fortunately, we are ou t of the ground. Even there, we have a rehab tower, which by June we'll be completing about 700 apartments, which we are handing over to the EWS, to the authorities.
And at the same time, both BKC 101 X and Y are coming well. And the good news there is we have done some -- quite a lot of substantial prelease. I can't reveal the number, now can I reveal the name because these are both strict under confidence. But I

can tell you quite a substantial
amount of area has been pre -committed and are big names. So that's giving us that much more confidence. And also, we are building an edition hotel there, which you've seen in our investor presentation.
Biplab Debbarma: What about that Delhi Aerocity project?
Irfan Razack: What about?
Biplab Debbarma: Delhi Aerocity project, sir?
Irfan Razack: Yes, sir. Now for instance, we are doing this massive hotel in Aerocity in Delhi. That is the St. Regis and the, what's called the Marriott Marquis. The structure for the hotel portion is ready and the glazing and the windows and the other job is going on, including the finishes. And the office portion also is coming up very fast.
And the good news is that entire office portion is pre -leased. And we've got some good marquee clients even there. And because of confidentiality, I can't tell you the name. But there, the entire office is preleased. It's 100% leased out.
Biplab Debbarma: And when do you think BKC and Aerocity project would be completed by when?
Irfan Razack: BKC 2028, Aerocity by 2025 end. Hotel will -- the -- because it's such a large asset, it will start trading in 2026 beginning, but the asset itself will be ready by '25 end. But that means I've got

12 calendar months, out of which 1 month is gone. It's 11 months, of course, in case there are more stoppages like GRAP 4 in Delhi, we may have suffered some delays.
Moderator: The next question comes from the line of Vaibhav Saboo with Nippon AIF.
Vaibhav Saboo: A couple of questions from my side. Sir, one thing, while even you have explained that UP geography was new for you. But if I look at it, even within like our co re geographies of Bangalore, et c., there seems to be delay in approvals. So just wanted to understand the reason for that?
Is it because we have filed for the approvals late or -- because even in the last conference call, you had stated that we would be launching INR50,000 crores of projects just in H2. So just want to understand why there is approval delay for -- especially for our core geographies?
Irfan Razack: No, there is no delay in the other geographies. It's only -- as I told you, there was this huge distraction for general elections and the state election, and all that is behind us. Either Hyderabad went for election or Bangalore went for election or the co untry went for election , that all distraction is over.
And I think all the officials -- what happens in elections, all the officials are assigned to different states, different cities for the election duty. So when they are not available, nothing works in the system. Now I think that's behind us, and I don't s ee any further delays. And I believe that if we really focus and we can get all our projects which we were planning on into the approved and get the RERAs done and then launch these projects.
Vaibhav Saboo: So sir, just in continuation to this, out of the INR57,000 crores, which we have stated during the PPT that's the JDA of upcoming launches, how -- like how much of this has been already filed in RERA approval?
Irfan Razack: I think Zayd in his opening remarks told you about INR30,000 crores worth of projects are almost applied for RERA or the approval has come. We just have to file for RERA. I think all these will come. Like you see NCR is INR11,500 crores, I told you. Bangalore will be about INR4,300 crores. Chennai will be INR3,000 crores. Hyderabad will be INR3,000 crores . So it's coming one after another. Mumbai is another INR8,000 crores .
Vaibhav Saboo: And sir, just one last thing. On the Hyderabad market itself, we seem to have quite an inventory there, which has been there for quite some time. So how are we looking at that market particularly? Because there seems to be a lot of supply, but not enough t raction if I look at the demand vers

us supply, that seems to be quite severe for Hyd erabad versus our other markets?
Irfan Razack: See, now if you're talking about office market, I agree, Hyderabad market, office is saturated. There is oversupply. Fortunately, we built 2.2 million square feet in Hyderabad in office. We are left with 700,000 more square feet to lease. We are talking to 2, 3 large clients, and my team is hopeful that in the next 2, 3 quarters, they'll make it 100% filled up.
With that, we are probably fortunate because we did a good product and our location is good. It's already almost consumed. On the residential market, the good news is we did this Prestige

City, Hyderabad, which has 4,700 apartments. Out of 4,700 apartments where we are just getting out of the foundation, the company have sold more than 3,300 apartments in a period of just about less than a year.
I think that's no mean achievement. And I think the rest of the 1,000 -odd, in fact, I've told my team to go slow and not to sell it off fast because we need to also get some appreciation on the price. Similarly, we completed a project in Hyderabad and Koka pet called Prestige Tranq uil, fully sold out, completed.
We have completed just now in February 11, so inaugurating a project called Prestige Beverly Hills, fully sold out, completed. And now the other one that is ongoing is Prestige Clairemont, there we sold almost 70% of the inventory and the pricing has gone up. So I think we are pretty confident on the Hyderabad market. It depends on your location, depends on your brand messaging and of course, the proper pricing it will sell.
Moderator: The next question is from the line of DSP Mutual Fund.
Vivek : This is Vivek here. Just a continuation of the previous question, actually. And this is virtually actually the last slide of your presentation. If I see the inventory, the stock drop, it was 12 million square feet in the last quarter, it's come down to 10 million square feet. At the price hikes that you're seeing, do you see any difficulties in liquidating the inventory? And would this 2 million per square feet be the rough run rate going forward as well? That's my only question.
Irfan Razack: Vivek, which is this slide you're talking about page number?
Vivek : Page 47, 48.

Irfan Razack: 47 is exit rentals, retail and then we've got residential projects free cash flow. Is that right?
Vivek : That's the one. The project free cash flows, where you see the stock, it shows 12 million square feet, in the previous quarter it shows 10 million square feet …
Irfan Razack: 10.05.
Vivek : That's right.
Irfan Razack: And the value is INR13,682 crores. This is across all geographi es, all projects put together.
Vivek : That's right.
Irfan Razack: So what is your question?
Vivek : Yes. Sir, the question is, is this -- so essentially, the last quarter, yo u've sold 2 million square feet? And is that the run rate that you see because you said you were holding off for price hikes and so on. And at the current price hikes, would you be able to clear off this at the same run rate?

Irfan Razack: You see now 2 million square feet on a sustenance basis, I am selling, I will sell because I don't want to sort of give schemes like other people are doing and try to sell. There's no desperation to sell. So we are doing what we are doing in a proper manne r so that the bottom line of the company doesn't get affected and actually gets boosted in the other way around.
So if you look at it, rightly pointed out by you, to the volume of work that we are doing out of 91 million, if I've got 10 million stock, that shows just about 10% of the stock that we are holding, which is very, very minimal. And it's going to 2 million in a quarter.
Zayd Noaman: 2 million would be on a lowe

r side because we didn't have any launches...
Irfan Razack: No, no, he's talking about this inventory.
Zayd Noaman: This would be 2 million, okay.
Irfan Razack: Because inventory you add up will go up further. This inventory, I think on a sustenance basis, it should go. What is the inventory we have is basically, we've got Prestige City Hyderabad, Prestige City Mulund and a little bit in Bangalore.
Moderator: The next question comes from the line of Yash Gupta from Ashit Koteja Family House .
Yash Gupta: Sir, just to confirm the launch number. We have INR56,000 crores of launch pipeline, out of that INR32,000 crores we are expecting to launch this quarter. And in the morning in the TV interview, you have mentioned that another further INR50,000 crores of projects are under design stage. So is that correct understanding?
Irfan Razack: Yes, yes, there is -- the pipeline is there no? So this is what we have told INR56,000 crores is what is ready, which is under approval. There's another INR50,000 crores where we have got different, different land where we'll -- which will come as we go along. That is the future.
Yash Gupta: Okay, sir. And sir, just last question on -- can you throw some light on the Jijamata because I think in this PPT -- this time in the PPT, you have mentioned that 2.1 million square feet of mall and around 7 million square feet of service apartments plus h otel?
Irfan Razack: Yes. See, Jijamata, very correct. There is residential, there is hotels and there is retail. And we are trying to see whether we can fit in service apartments also. We have appointed SOM as an architect and they have given a preliminary design. And the -- in fact, even just the other day, my partner sent me a mail say ing that IoD has been approved.
We need to pay certain fees. So it's all work in progress. We have to still freeze a lot of planning there. I think it will start coming as soon as we can as that gets approved. For now our focus in Mumbai is Nautilus and Dahisar that is Mira Road.
Yash Gupta: Okay. Sir, just last one. Recently, we have done some new launch of hotel near airport in Mumbai. So is that understanding correct, but I think we hav e not mentioned that in the PPT?
Irfan Razack: No, which is that? Which is that you said?

Yash Gupta: In Mumbai, near airport, international airport, you have done some launch, something kind of for the hot el, 5 acres, 5.5 acres of hotel?
Irfan Razack: No, no, no. There's no hotel near the international airport in Mumbai. Whereas and as you are saying there's a large piece of land, which we are in discussion. We may do office over there, but still it's work in progress. Nothing has been formalized.
Moderator: The next question comes from the line of Parikshit Kandpal with HDFC Securities.
Parikshit Kandpal: My question is on BKC, you said that you have preleased some area. So what kind of rental rates you've been able to achieve there?
Irfan Razack: No, no, that is what I said. Neither can I tell you the rate nor can I tell you the customer. It is a little -- we have this confidentiality which we find with the customers. But I can tell you we have leased out approximately over 500,000 square feet.

Parikshit Kandpal: And I think our budgeted rate earlier was INR320 per square feet. So is it better than that? Or like how should -- I mean...
Irfan Razack: INR320 is what? No, INR320, where is this INR320?
Parikshit Kandpal: In your earlier presentations, you used to disclose rental potential from the Mahalakshmi and the...
Irfan Razack: It's there, but I believe it can't go below. But at the same time, honestly, I cannot tell you specifically how much we have done the transaction for. Obviously, when I've given you an indication that that's our expectation. Obviously, it has to be better than expectation, not below.
Parikshit Ka

ndpal: So it may be better than expectation you are saying, so, okay.
Irfan Razack: Yes, please.
Parikshit Kandpal: Okay, sir. And sir, just one more question on business development now. So you have now raised money, you have capital with you, cash flows will start coming in as the launches happen. So how do we read now into business development in the year -- in the q uarters coming in? So how is the pipeline looking there? And what kind of land bank additions one should be factoring in assumptions for next year?
Irfan Razack: No. Business development is work in progress. Like what happens after our QIP, we have bought land in Mumbai, we bought land in Goa. We've invested in Bangalore, almost INR1,700 crores, INR1,800 crores has gone into land. And obviously, that will come back once the approvals come in, it will come into the company in terms of additional cash flows.
Parikshit Kandpal: Okay. And in NCR, sir, especially on the Gurgaon side, anything you were able to freeze there in terms of business development? Because I think there has been a lot of work in progress going on there, and you've been talking about that something will -- good news will come in soon. So any progress on the Gurgaon side?

Irfan Razack: No, there's enough and more opportunities. There's enough and more land that is offered to us on a daily basis. We have to evaluate that. Our focus now today will be to see that what we've invested in, that we are able to launch and cash out that will give us the confidence to do more. There's no sense in pouring more and more money into a regio n, which i s sort of where we get blocked.
So we don't want to get blocked. We definitely want to see that the liquidity comes in. That's how we would like to churn capital. So offers are there, plenty of opportunity is there, and it has to be the right opportunity, right price, and we always have an open mind.
Parikshit Kandpal: Okay. And just last question on the trade center. I think DB Aerocity, you said that entire office has been now pre -leased. So is it like the area will be -- your share will be about 0.4, right? 0.8 is total and your share is 50% it will be 0.4 million square feet?
Irfan Razack: 0.8 million -- 0.6 million accord ing to me. And whatever it is an SPV. So Prestige is 50%, DB is 50%. So that's how it is.
Parikshit Kandpal: And what would be -- if you can give the rates here because you said it's entirely leased out so. Can you give lease rental rates which you have locked in here because you told that it's entirely leased out now?
Irfan Razack: That's leased out that's why I said I can't tell you the client's name or the rent. It will come out, it will come out very soon. But it's a very decent rental.
Moderator: The next question comes from the line of Jeet Shah from Pinpoint.
Jeet Shah: Congratulations on the quarter. Just a request, could you please repeat what's been the latest update of the Indirapuram project you had mentioned in the beginning about the regulatory...
Zayd Noaman: I will give you the update, on the Indirapuram project, we've applied for RERA. And it's -- I think there is -- it's a work in progress. So I think within a month's time, the next 3 to 4 weeks, we should have a launch.
Jeet Shah: Okay. So you're still fairly confident it comes through in this quarter, right?
Zayd Noaman: I'm not able to hear you. You're not audible at all.
Jeet Shah: Hello.
Zayd Noaman: Yes, I can hear you say hello.
Moderator: Yes. Please go ahead, sir.
Jeet Shah: Yes, just wanted to reaffirm, like wanted to ask if you're fairly confident that comes through this quarter?
Zayd Noaman: Yes, we will launch this quarter.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the

participants, I now
hand the conference to the management for closing comments.
Zayd Noaman: Thank you very much for all the feedback and questions. We understand that you are eagerly anticipating our financial year and launches to go as per plan, and we also are mightily confident that we will make it happen. We've never disappointed and we'll no t disappoint. So we wish you all the best, and thank you for participating in today's call.
Irfan Razack: Thank you for all participating. Let's hope the next 2 months go well, and we are able to launch the way we have planned. But I believe demand is there, company is quite robust in their activities and the whole team is really putting extra effort to see th at we succeed. And time will tell. Thank you.
Moderator: Thank you. On behalf of Axis Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

"Prestige Estates Projects Limited
Q4 FY '25 Earnings Conference Call '
May 30, 202 5

MANAGEMENT : MR. IRFAN RAZACK – CHAIRMAN AND MANAGING DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED
MR. AMIT MOR – CHIEF FINANCIAL OFFICER – PRESTIGE ESTATES PROJECTS LIMITED
MR. ZAYD NOAMAN – EXECUTIVE DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED

MODERATOR : MR. PRITESH SHETH – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Prestige Estates Q4 FY '25 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pritesh Sheth from Axis Capital Limited. Thank you, and over to you, sir.

Pritesh Sheth: Thank you, Rituja. Good afternoon, everyone. Apologies for the delay, but welcome to the call. We have with us the management of Prestige Estates represented by Mr. Irfan Razack, Chairman and Managing Director; Mr. Zayd Noaman, Executive Director; and Mr. Amit Mor, the Chief Financial Officer.

I'll now hand over the call to the management for their initial comments. Thank you, and over to you, sir.

Irfan Razack: Good afternoon, everyone. Like I said, Amit and Zayd and Mr. Nay ak are with me. So I'd like Zayd to do with the opening call and opening comments, and then we'll take question and answers. Zayd?

Zayd Noaman: Thank you, sir. A very good afternoon, everybody, and thank you for joining us today. FY '25 was a year that tested us, but it reaffirmed the strength in our fundamentals. While we faced a few external headwinds, particularly around approvals, we are pleas ed to share that we closed the year with a strong fourth quarter, delivering a meaningful recovery across several metrics.

In Q4, we recorded new sales of INR6,957 crores, which is a 48% year -on-year growth on the back of a robust launch pipeline and solid customer response, especially to our premium offerings. We sold 4.49 million square feet across 2,301 units during the quarter. It's also worth highlighting that in this quarter, our sales in Mumbai overtook Bangalore, a significant milestone that underlines the success of our geographic diversification strategy and the growing contribution of non -South markets to our top li ne.

For the full year, we clocked INR17,023 crores of sales. This is 19% lower than last year, largely due to the deferred launches. However, this was offset by strong pricing power, average realization for residential apartments, villas and commercial products rose 36% year -on-year to INR14,113 per square foot, while plotted development saw a 50% year -on-year increase.

Our performance was underpinned by a balanced geographic mix. Bangalore contributed 45%, Mumbai, 30%; Hyderabad, 23% and other cities made up the rest. There's a clear shift, as you can see from our earlier years and reflects our successful expansion acros s our home markets.

Collections remained steady at INR12,084 crores for the year, up slightly from FY '24 and launch momentum picked up sharply in Q4 with 14 million square feet launched across 4 cities.

For FY '25, total launches stood at 25.63 million square feet with a GDV of INR26,223 crores.

Our nonresidential segments continued to perform well. Gross leasing in our office portfolio was

4.1 million square feet with occupancy holding firmly above 90%. In retail, we saw INR2,264 gross turnover across our malls with a strong 99% occupancy and 18 million footfalls.
From a financial perspective, we reported revenues of INR7,735 crores for this financial year, impacted by slightly lower handovers during the year. EBITDA stood at nearly INR3,000 crores, while profit after tax was INR617 crores. Our EBITDA and PAT margins remained healthy at 38% and 8%, respectively, reflecting robust operational efficiencies.
Looking ahead, we are entering FY '26 with renewed momentum. Q1 has already seen a strong start with

the launch of The Prestige City Indirapuram, a marquee township development in NCR with a GDV of INR9,000 crores, of which we have already sold over INR6,500 crores.
We also marked our maiden inaugurations in Mumbai with handover The Prestige Jasdan Classic, Siesta at The Prestige City Mulund and Prestige Turf Tower at Mahalaxmi, backed by a robust pipeline of projects with an overall GDV potential of approximately INR42,000 crores across geographies such as Bangalore, Mumbai, Hyderabad, Chennai, Goa and NCR. We are pleased to say that we are well positioned to scale to new heights in the coming year. I thank you for being patient, and I look forward to addressing your questions.
Moderator: The first question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: Congratulations on a decent quarter. So my first question is, what is the guidance of -- presales guidance for FY '26 now?
Irfan Razack: You came straight to the target. We are -- see, now what has happened is we had kept a target of INR24,000 crores for fiscal '25, which, of course, we fell short of and this thing. But I think this first quarter itself will give us some INR12 crores to INR13 crores. So I believe that we should cross INR25,000 crores, maybe INR27,000 crores should be the -- if not more. But I think let's take INR27,000 crores and go along for the year.
Parikshit Kandpal: Do you think first quarter you will do only INR12,000 crores to INR13,000 crores?
Irfan Razack: Yes, please.
Parikshit Kandpal: So now second question comes as the velocity is so high, and we only have this in the slide, I can only see INR42,000 crores of gross development value left to be launched. So how are you thinking about new business development? And how do you see this pipeline growing? What is the business development done in FY '25? And what is your target for FY '26?
Zayd Noaman: Thanks, Parikshit. Yes, we have moderated our GDV pipeline, the slide that you saw to INR42,000 crores, but this is not only what we are going to launch. This is something with absolute certainty, which we can say that will come in this year.
Of course, apart from this, you can see that we have plenty of other projects, which if we feel will fall short, we will bring that also to the market because this is something with certainty we can say that we can launch. So we have the INR42,000 crores worth of pipeline for the year,

plus we have another INR10,000 crores INR15,000 crores, which if we can push hard, we can launch it within this year at the end of the year. We have a stock of INR20,000 crores already.
Parikshit Kandpal: So I can see that you have spent close to about INR5,680 -odd crores on land and other TDR. So what was the pure land spend in this? And what was the business development done in terms of GDV addition for FY '25?
Amit Mor: Out of the INR5,500 crores what we have spent on the business development, close to INR1,500 crores was on stake acquisitions. We had done a couple of stake acquisitions in Q3 and Q4, including PPPL acres, PGEPL and Franklin Mumbai. So that contributed close to INR1,400 crores.
Apart from that, we have done acquisitions, including in Bangalore region, we had acquired Phase 3 of Raintree Park. There we have spent close to INR400 crores. And then -- and in the current quarter, other miscellaneous included, we have spent on Southern Star, some amount we have spent on approvals. And on Indirapuram, we have made some land approval payments.
Parikshit Kandpal: So Amit, all this put together, how much would be the land addition in terms of GDV addition? So this INR1,500 crores, the stake acquisition, so how much was that in terms of value of business development?
Amit Mor: INR1,500 crores was -- we have acquired the balance stake. And in most of them, we have made it 100%. And in PPPL, we have incr

eased our stake from 60% to 74%.
Parikshit Kandpal: So how much did that bring the value of GDV?
Amit Mor: Additionally, it would have contributed close to INR20,000 -odd crores.
Parikshit Kandpal: So for INR1,500 crores, you have added INR20,000 crores of GDV?
Amit Mor: Yes, total because if you see in these projects, especially in PPPL, we have launched a couple of them, like Indirapuram itself was INR11,000 crores. And apart from that, we have other

projects as well. We have Falcon City Luxe in that, okay? Then we had TPC Hyderabad. Then in Nautilus, we had acquired 40% stake. So these are some large acquisitions we have done.

Parikshit Kandpal: So just as you've been cleaning the structure, so is there anything else pending to be cleaned or now almost everything like falls into the listed entity or anything else is still pending? And if it is pending, how much would be incremental spend to acquir e that?

Amit Mor: Now what is pending is only in PPPL, what the promoters are currently holding 24%, okay? But I don't think so in the near future, we intend to acquire that 24%. So in the current financial year, I don't -- we don't foresee any further spend on -- further s take acquisition.

Parikshit Kandpal: Okay. Just last question to Irfanji sir. So now in NCR, we have already clocked INR6,500 crores, which I think Zayd told. So how do we see this market now incrementally in terms of growth? What are our plans for business development? And over the next 2, 3 years, how do you think this market will build up and even how Gurgaon will play o ut here?

Irfan Razack: Actually, that's why we were trying to test out this market and the market has really welcomed us that shows there's a huge amount of potential here. We are currently, concurrently evaluating a lot of deals that have come to us. And very soon, we should be able to lock in a few deals, a sensible ones.

Of course, we don't want to go the berserk on this. And I think if things work out, we should be having some land in NCR some more so that the pipeline keeps maintaining. We do have one land in -- a small piece of land in KG Marg which again, which will come out to the market very soon.

But then we are looking at scale. So in that scale, we have identified a few lands, both in Noida, Gurgaon, all of these places. But once it's done, we'll keep you informed. I think it's a good market. It's a good test for us, and I believe that there's enough potential. We always knew there was potential. It's onl y a question of we had to break the ice there, and I think we have done it and done it in style.

Moderator: The next question is from the line of Puneet Gulati from HSBC.

Puneet Gulati: Congratulations on a good start. My first question is, can you also talk a bit about the rest of the INR6,500 crores that you think you will sell in 1Q? What are those projects?

Irfan Razack: No, we have ongoing projects, in Bangalore, in Mumbai, we are going to launch Chennai in June. We've got the approvals, and we are waiting for RERA to come, which should come in the first week of June. So if you really ask me giving you a breakup, I think you can -- you have already done the total. It will be quite -- in some of the existing projects plus one launch.

We also did a launch in Bangalore or the Gardenia Estate, which is opened and it's like open and shut. That itself gave us about INR1,000 crores of revenue or INR800 crores of revenue. So I believe onwards, in existing stock, new launches in different geographies will give us that number.

Puneet Gulati: Understood. That's helpful. And secondly, when I look at on a quarterly basis, the construction spend seems to have fallen a bit on a Q -on-Q basis. How should one read that? And what would be your sense for next year?

Amit Mor: The quarterly spend last quarter was a little high because we had spent

a significant amount on government approvals, especially on Nautilus as well as on TPC Indirapuram. So on an average, quarterly spend only on the construction -- on the residential seg ment should be in the range of INR1,600 crores to INR1,800 crores per quarter.

Puneet Gulati: And that is not going up because your sales momentum has gone up. So will that also go up?

Amit Mor: No. Right now, it covers all the ongoing projects. Incrementally, whatever we bring, that maybe slightly it will go up. But then whatever we launch in the financial year '26, the major construction spend will happen in '27. So it won't significantly add in '26.

Puneet Gulati: Understood. That is clear. The second question is on your -- the cash flow profile that you shared, which is free cash flow from residential project, INR19,740 crores and INR24,000 crores. If I look at the disclosures for Q3, the number seems to have been gone down decently. What should one attribute that to?

Amit Mor: Basically, if I'm not wrong, last time, it was 48. Now it is close to 44, 45. Now that is basically because of we had a couple of launches, okay? So there has been a shift from the upcoming to ongoing.

So if you see the breakup, the upcoming has come down and the ongoing cash flows have gone up, okay, but the overall basis also, we have done collections during the quarter. And again, most of the projects in the upcoming category are on the design phase. So we will keep revising the

construction cost estimates as and when the designs are getting finalized. So it will vary maybe by 3%, 4% once the designs are finalized.
Puneet Gulati: Because cumulatively, it is down INR5,500 crores. So just trying to understand, is that just cost changes? Or is there...
Amit Mor: No, no. Business collections also has happened. We have collected during the quarter, around INR3,000 crores to INR3,500 crores. That collection has reduced apart from that.
Puneet Gulati: This is net number, right? So collections minus construction spend, which is still a slower number, INR2,000 -odd crores from a quarter perspective.
Amit Mor: That's why I'm saying it's a combination of collections plus revision in our estimates for our upcoming projects. It's a combination of both. And areas also because we would have allocated something for the residential portion, maybe during the design phas e, if we decide, okay, we have to include a portion of retail and all that. So those changes happen and that impacts the cash flow profile.
Puneet Gulati: Okay. Got it. Lastly, Amit also alluded that there is still some stake of promoters, 24% PPPL. How do you take this call of what remains with promoters and how -- what eventually gets bought by the company? What is the deciding criteria, if you can give so me color, it would be very helpful.
Amit Mor: See, again, last year, after the QIP, I think during the road shows, some of the investors have suggested that to keep the entire, I would say, the structure clean and whatever is held by the promoters, we should acquire it. In that process, we have done t he acquisitions post the QIP and acquired the promoter stake in most of the entities. And as I mentioned earlier, we have already spent close to INR1,200 crores to INR1,300 crores only on the promoter stake.
Now acquiring the balance 24% also will require significant sum of outflows, which will put pressure on our cash flows and impact even our debt profile. So considering the cash outflow impact on the stake acquisitions, I don't think so in the current year, we are planning any further acquisitions.

Puneet Gulati: And would you be able to give any estimated value of this number that you would have to spend if you were to acquire.
Amit Mor: See, for acquiring 16%, we had paid close to INR500 crores

. Okay. Post that, some of the projects have already launched in that entity in PPPL. So if you see Spring Heights have got launched, okay? And similarly, Indirapuram has got launched. So if you take benchmark of INR500 crores, it will be Nautilus and other projects. So these projects have got launched. So what discount factor we had given for launched, that no longer applies, okay? So the valuation, if we take INR500 crores as a basis, today, the 24% will be valued at INR800 crores. Removing the discount factor, it will be higher. I don't think so I will be able to comment what will be that number, but it will be upwards of INR800 crores.
Puneet Gulati: Understood. And lastly, on the market side, if you can comment on the pricing environment that you're seeing and the competitive intensity on business development.
Zayd Noaman: We believe that the pricing environment is good. Though prices have gone up, absorption has been very, very strong, be it in Bangalore, Mumbai, Hyderabad or, in fact, Indirapuram, now that we've launched, we can comment on that. And at the same time, we ha ve a very balanced approach at looking at new acquisitions, where we believe that the project should fund itself. So we are not very aggressive in the way we price our acquisitions. So over there, we look at an EBITDA margin of 30% to 35%, and based on this, we look at acquiring these assets. So even though realizations have gone up on the customer side, we are conser vative when we look at new acquisitions.
Moderator: The next question is from the line of Yash Gupta from Asit Koticha Family Office.
Yash Gupta: Sir, in Slide #24, GDV of the projects that expected to complete in FY '26 is around INR17,000 -odd crores. Is it fair to assume that we will book this revenue of INR17,000 crores in FY '26 with an EBITDA margin of 30%, 35%?
Amit Mor: It will depend on at what point in which quarter it gets completed. So the revenue recognition happens on 2 fronts. One, the project should have got completed. And second, the handover should have happened. So INR17,000 crores may be the GDV. But handovers also, we have to factor.
So for example, if a project is getting completed in Q4, we may not have enough time to complete the handover. So INR17,000 crores, maybe we can apply a percentage, maybe 70% to 80% of that, we should be able to hand over.
Yash Gupta: And anything on EBITDA margin?
Amit Mor: EBITDA margin will be in that range, yes. It will be in the range of 25%, 30%.
Yash Gupta: Okay. Sir, second question on Hyderabad market. How the Hyderabad market is moving forward? We have a good inventory of INR5,200 crores there. And we don't have any major

launch in Hyderabad in FY '26, sir?

Zayd Noaman: So for Hyderabad, we do have some projects which are upcoming and under planning. That is Prestige Rock Cliff and Prestige Imperial Park. This we'll try to bring in, in this financial year.
Irfan Razack: Plus, we are also acquiring land for plotted development. And we've also tied up a deal for about 9 million square feet of residential, which is again a great location. So all this is work in progress, but these 2 are the major launches that are going to c ome.
Yash Gupta: Okay, sir. Sir, any thoughts on completion of Aerocity and the launch of Jijamata in Mumbai? Is there any delay into projects?
Irfan Razack: No, no, there's no delay at all. In fact, Aerocity is on track. In fact, the office component of 600,000 is already committed and leased off. The hotel, obviously, it will be ready by this year - end or early next year, but then it takes about 4 to 5 months of simulation. So it will -- we are planning to see that it starts trading in the month of July next year. But the office itself per se, we will do the handover by the end of the year.
Yash Gupta: And anything on Jijamata, Mumbai?
Irfan Razack: Yes. Jijam

ata's also, it's -- all the planning is getting done aggressively. Now we've named the project, The Prestige Place, created a new brand identity called The Prestige Place. It's a mixed - use development. It has hotels. It has office, it has branded residences, shopping center and residences for sale. We've appointed SOM as the architects and they are on the job. We've already paid some premiums for getting securing the FAR and other things.
And it's work in progress. It will certainly hit the market soon. But the question is how soon is to be evaluated. We don't want to hurry this up. We want to do it well. We want the planning to come out really, really well. And we are planning to -- the ho tel brand we are planning to do is a Waldorf Astoria, with Waldorf Astoria branded residence.
Yash Gupta: Okay, sir. Sir, just last question on the Mahalaxmi Tower. We have completed this tower and recently, you have also announced it. So how is the demand going on and what rate we are leasing?
Irfan Razack: No, no, that tower is not for sale. That's actually -- that Mahalaxmi, that's called The Prestige Turf Tower. It's only to rehabilitate the turf estate tenants who are there in the property, and they will move. Evergreen also will move there. I think betwe en the 2 of them, they go into this building and the company may not have anything left over as such unless we bought a few units here and there. But then the whole thing is to rehabilitate them so we can complete our -- the most iconic devel opment for the Mumbai City, which is The Prestige.
Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.
Parvez Qazi: Sir, I wanted to get your views on the approval side. In FY '25, approval were an issue for the industry. But now with the launches picking up, do we see that approval situation has now stabilized? And I mean, I wanted to get a status on some of our major projects, which are planned for launch in FY '26, like Raintree Park, Fal con City, Noida, Pallavaram, et cetera.

Zayd Noaman: Thanks, Parvez. Yes, I think we've got a grip on our approvals, and they have started falling in place. What we have said earlier also when we give the launches planned in the GDV slide, most of these projects are in the final or penultimate stage of their approval.
And since we operate in various geographies, the nuances are slightly different and each project will have its own nuances. But having said that, we're very confident that we'll pull this off.
Evergreen at Prestige Raintree Park and Falcon City Luxe, they should also happen in the next 2 or 3 quarters.
Parvez Qazi: Sure. And Pallavaram, Chennai ?
Zayd Noaman: It will happen this quarter. Chennai will happen this quarter.
Moderator: The next question is from the line of Kunal Lakhan from CLSA.
Kunal Lakhan: Firstly, on the launch -- on the sales guidance, right, if we are guiding for INR12,000 crores to INR13,000 crores of sales in Q1 itself and considering incremental INR40,000 crores of launches, excluding Pallava Gardens. Just trying to understand because if you look at last year, right, I mean, whatever you have launched, you have sold like 50%, 55% of the launched inventory.
So how should we look at -- if you're able to get these INR40,000 crores worth of GDV launched, how should we look at this guidance of INR27,000 crores since you've already INR12,000 crores to INR13,000 crores in Q1 itself?
Irfan Razack: No, this time, we want to be conservative. We've got also INR20,000 crores worth of inventory. So the strategy is I'd rather under -promise and over -deliver.

Kunal Lakhan: Sure, sure. Okay. Also in terms of -- sorry, I don't know whether I missed this number, but in terms of our new acquisition target for this year in terms of land spend as well as GDV that we plan to acquire for '27, any targets you have kept?
Za

yd Noaman: Our land spend on business development should be in the range of INR4,000 crores to INR4,500 crores, which should translate into a GDV of close to INR30,000 crores to INR40,000 crores.
Kunal Lakhan: Understood. Understood. And also lastly, like on Southern Star, we had reported numbers in the March quarter. I mean we had launched that in the last week of March. Any incremental data you can share in terms of like how the sales have panned out in that project in April and May?
Irfan Razack: Yes, it's work in progress. It's done very well. And I think when we come to June numbers, we'll be pretty happy because, again, it's normally like you yourself said, we sell 60% to 70% of the inventory in the launch itself. So that's going to happen.
Moderator: The next question is from the line of Pritesh Sheth from Axis Capital.
Pritesh Sheth: First is on collections, which was flat this year. And I can see while presales scaled up for us in Q4, it didn't result in too much pickup in terms of collections. So how do you see the collections growing next year?

Zayd Noaman: Yes. Pritesh, despite if you see last year, we did INR21,000 crores of sales and did a collection of close to INR13,000 crores. This year, it was flat despite our sales falling to INR17,000 crores. In Q4, again, the collections -- though the sales numbers were higher, the collections remained flat because you see most of the project got launched in the back end of March.
So 2 of the projects, Southern Star as well as the Spring Heights got launched just 2 days and 7 days before March 31st. So those collection numbers didn't flow in the financials in FY '25, but then all those numbers should flow in FY '26. So you will see a healthy pickup in collections during FY '26.
Pritesh Sheth: Sure. So just to clarify, we didn't collect anything apart from the usual booking in Southern Star and Spring Heights, right?
Zayd Noaman: No, no, we did collect more than the nominal amount that you're talking about. But given that it happened at the back end of the quarter, it will all reflect in the Q1 of this year with respect to those projects and those collections remain very healthy as per our normal benchmarks -- was saying was since a lot of completions will come in, in this financial year, you see amount of collections coming in, in this financial year.
Pritesh Sheth: Okay. That's helpful. And just last on Noida, any breakthrough expected this year for the launch of Bougainvillea Gardens?
Irfan Razack: That's a government issue, first, I don't know when because we are also now very tied date. So we are looking for other lands. We got completely sort of set back because we were depending on that for a long time. And thankfully, we would do this Indirapura m. So we're looking for new lands. And whenever the Noida happens, we'll take it as it comes. Because right now, it's an issue not only for us, it's a global issue for everybody.
Pritesh Sheth: Sure. So in NCR now will contribute us equal to what we are doing in Bangalore, right? So it's a very large market for us now. And we don't have a volume, a mass market product there right now. So any big acquisitions expected either in Ghaziabad or any ot her Tier 2 markets within NCR or Gurgaon, Noida can drive that much sales going ahead for us?
Irfan Razack: Yes, it's all work in progress. I think by the end of this quarter, next quarter, we'll discuss it. Right now, it's all work in progress. Moment we tie it up, automatically we'll come to know.
Moderator: The next question is from the line of Akash Gupta from Nomura.
Akash Gupta: Congratulations on a decent quarter. Sir, my question with respect to your FY '26 presales growth guidance -- presales number at 250 billion to 270 billion , just wanted to understand, is there any downside risk to this number from a demand perspective or app

rovals not coming in
perspective? Like how confident are we on this number?
Zayd Noaman: So there's always risk associated with, especially in our business. But I think we're confident that things are looking on the positive side. And -- that we'll be able to achieve this guidance that we have a lot of GDV coming in '26 launches that we earmarked for the year.

Akash Gupta: And sir, like are you seeing any red flags with respect to the demand in the sense, any changes in footfalls or conversions, anything like that?
Management: Absolutely not. Absolutely not. If the product is good, I think it will keep doing it, if the product is wrong, there's stress. As long as the product is to the right target audience, I believe this is

doing business as usual.
Moderator: The next question is from the line of Puneet Gulati from HSBC.
Puneet Gulati: If you could also give some color on how do you intend to lease both the Prestige and BKC projects? Is there -- have you leased some part already? Or do you intend to lease it closer to completion?
Irfan Razack: No, no, the teams are working very hard on this. I'm happy to say leasing -- pre-leasing is happening. But at the moment, I can't either tell you the quantum or the company because we signed a lot of confidentiality with them. But it's very, very, very pos itive. And that's why we are quite bullish on both these properties -- construction is also going on at full speed. So even with completion also, we can start looking at it in the year '28 for BKC and year '29 for Prestige.
Puneet Gulati: '28, when you say, it's calendar '28 or fiscal '28?
Irfan Razack: Yes, fiscal '28 for BKC for sure and maybe calendar '29 for The Prestige because it's high -rise.
Moderator: The next question is from the line of Biplab Debbarma from Antique Stock Broking.
Biplab Debbarma: My first question is on the status of Jijamata Nagar project. So is the SRA work done and entire project cleaned up? I mean what is the status of the project? All SRA -related work done?
Zayd Noaman: So bulk of it has been done. We've already started constructing the transit camps, everything over there. And I think there's a small, I think, 20% -odd left to clear up over there, which is in process and will happen.
Biplab Debbarma: So 20% around ?
Zayd Noaman: Yes, around that much.
Biplab Debbarma: Okay. Okay. So 20% more to be cleaned up after that and the rest of the...
Zayd Noaman: 10%. About 10%.
Biplab Debbarma: Okay. So that would be around 5, 6 months, sir, for that site to be cleaned up?
Irfan Razack: Earlier than 5, 6 months.
Biplab Debbarma: Okay. Okay, sir. Now my second question is on the capex project, your BKC and Mahalaxmi and Delhi Aerocity. How much more capex to be incurred, including approvals, construction costs and all the other costs in these 3 projects?

Zayd Noaman: Just give me a moment, I'll take up those numbers. Yes. The total capex spend on all these 3 projects will be in the range of INR7,000 crores to INR8,000 crores.
Biplab Debbarma: Okay. Okay. And my final question is we recently did the site visit of the 3 projects in NM Marg that you have delivered, the rehab tower in Mahalaxmi, Jasdan and the Siesta in Mulund. The delivery time line seems to be like 3, 3.5 years, if I'm not mistak en. For Mumbai, many of us have seen time taking for delivery 5 years, 6 years, whereas you have delivered 3.5 years. Is it the norm? Would it be the norm like you would be delivering 3.5, 4 years? Or this is just -- these 3 projects are j ust an outlier?
Zayd Noaman: So it generally takes about 4 years or 48 months to do any real estate project. But depending on the nature of the project and scale, sometimes it could go up by a year or 2 over there because what happens is if there's a

-- if there's a lot of basements, highrise, substructure work and if it's like maybe 100 acres in size or whatever, it could take some time based on the scale and all of this is factored in. We generally take the amount of time it technically takes to do the work. Sometimes we even deliver faster. That is the USP of Prestige.
Management: And of course …
Biplab Debbarma: That's really commendable …
Management: So things will happen…
Moderator: The next question is from the line of Kunal Lakhan from CLSA.
Kunal Lakhan: Just on the recent acquisition of the project or the stake in -- 50% stake in that project with Valor Estate. So we paid INR500 crores for 50% stake. If you can give us a broader economics of like how much incremental cost will be incurred in terms of FSI premiums and construction cost and how much will be our stake?
Irfan Razack: Yes. I see this whole project will be 1.5 million square feet of office. It's already been designed. And very soon, we can lock it in for approval. Obviously, we have to get through the whole gamut of things. So our contribution, company's contribution to get 50% equity in that company is in that SPV is INR504 crores. Then the rest of it will be a contribution of equity from the -- both the partners or debt. So that decision will take as we go along.
And this money is not something that the company has to invest upfront today. We'll have to invest it over the life of the project. And so only when that INR504 crores gets exhausted, do I have to contribute together or take -- I mean and get into debt as far as we are concerned, I think the rest of it will come in the form of debt. And if you're asking me what is the cost of the overall project, the numbers a re not readily on hand with me, but I think Amit can share it with you later.
Kunal Lakhan: Sure, sure. And in terms of time lines, when do you expect this to be ready and completed?

Irfan Razack: Yes. I think again, it's like we said, it's 4 basements. So it's -- excavation can start almost immediately. So -- and it's not a high -rise building. It's only 11 floors. We should be able to finish this in 3 to 3.5 years because we want to go it on a fast track.
Kunal Lakhan: Sure, sure. And just clarifying the INR500 crores that we paid stays in the company. It was not a cash out by the earlier...
Irfan Razack: No, no, no. Nothing is a cash out. Yes, having said that, there is a small component with the other partner will do a small takeout, but then they have to bring it back in. And that's only to make that SPV debt free. There's some INR50 crores, INR60 crores debt there is so which we are now paying it now, and then that will come back to top up to that INR504 crores. There's no takeout from either party.
Moderator: The next question is from the line of Yash Gupta from Asit Koticha Family Office.
Yash Gupta: Sir, my question is on commercial side. If you look at the exit rental of the commercial business, we have taken BKC and Mahalaxmi at around INR375 per square feet. But current rates are very much higher than what we are expecting. So do we need to take any uptick in the FY '28, '29 exit rental?
Irfan Razack: As we go along, I think that itself is a great number. Even as we get a better rent, it's great. But as of today, we believe it's a fair number to sort of work with. And sometimes if you do some preleasing, that's how -- and this is we are talking not on capex , we are talking on super built area, the 350, 375 super built area, not on capex . capex will be 500 plus.
Yash Gupta: Okay, sir. And sir, next question on this Mumbai Prestige Horizon Heights. This is the Mira Road project that we have taken last quarter.
Irfan Razack: Yes.
Yash Gupta: And this will be launched in FY '26 only?
Irfan Razack: Yes, yes, yes. We are trying hard to bring it to Board to come earlier. The

re, again, unfortunately,
the MOEF committee has been disbanded in Maharashtra. So the moment the environment committee comes in and we get the clearance, it's a matter of time to get the approval and launch it. So we are also waiting very impatiently for that to happen.
Yash Gupta: Sir, the last thing on the dividend policy. This year -- this time, we have paid INR1.8 as a dividend. So is this dividend will be the continuing one or it will be like a one -off special dividend?
Irfan Razack: No, no. The last year also, we did that same INR1.8. So this year, also the Board felt because in the previous year, it was INR1.5. And this year it's INR1.8. And of course, if the company does have additional cash flow, it depends on the Board maybe later on they will treat it as interim and then do more. That depends on how generous the Board is.

Yash Gupta: This question was main pertaining to because next year, we will be going to expect like a bigger completion in terms of residential and we are looking for INR13,000 crores, INR14,000 crores of booking revenue in residential. That was?
Irfan Razack: No, no. The thing is if there is surplus cash flow, see, always, it's a balance. If we -- too much of dividend is paid out, we don't want it to happen that, again, we have to look for funding and cash flow. So the best is to be conservative. And if things have to happen, I mean, if there's a lot of more cash flow available at the company, we will definitely declare more.
Moderator: The next question is from the line of Abhishek Lodhiya from Motilal Oswal Financial Services.
Abhishek Lodhiya: Just want to have one question. For retail capex , right, balance spend has increased by roughly INR1,100 crores. So what is it attributed to?
Zayd Noaman: So this is -- if you see the breakup, mainly attributable to the upcoming projects where we were just based on the design specification, we had relooked at the costs. So it is mainly attributable to upcoming projects.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.
Irfan Razack: Thank you so much, everybody, for the insightful questions. We had a lovely conversation, and we do hope you understood what the company is up to. More than feel free to ask any questions offline. Zayd and Khizra and Amit are more than happy to answer. And it's wonderful interacting with you as always. Zayd, do you want to add up?
Zayd Noaman: Thank you so much, everybody. We remain focused and driven to improve our results year -on-year, and we remain committed to delivering shareholder value.
Moderator: Thank you very much. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

(no extractable text — likely a scanned image PDF)

Call: Nov 2025

“Prestige Estates Projects Limited
Q2 FY26 Earnings Conference Call ’
November 13 , 202 5

MANAGEMENT : MR. IRFAN RAZACK – CHAIRMAN AND MANAGING DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED
MR. AMIT MOR – CHIEF FINANCIAL OFFICER – PRESTIGE ESTATES PROJECTS LIMITED
MR. ZAYD NOAMAN – EXECUTIVE DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED

MODERATOR : MR. PRITESH SHETH – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Prestige Estates Q2 FY26 Earnings Conference Call, hosted by Axis Capital. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pr itesh Sheth from Axis Capital. Thank you, and over to you, sir.

Pritesh Sheth: Thank you, Muskan. Good afternoon, everyone. On behalf of Axis Capital, I welcome the management and participants to the call. From the management of Prestige Estates, we have Mr. Irfan Razack, Chairman and Managing Director; Mr. Za yd Noaman, Executive Director; and Mr. Amit Mor, the Chief Financial Officer.

I'll now hand over the call to the management for their initial remarks, and then we can open the floor for question and answer. Over to you.

Management: Hi, eve rybody. Actually, I'll ask Zayd to give his opening remarks. After that, we'll take Q&A.

Zayd Noaman : Good afternoon, everyone, and than k you for joining us today. FY 26 has begun on a very strong note for us. Building on the momentum of the last 2 years, we have delivered yet another strong performance this quarter, both operationally and financially. Riding on the sustained demand across our key markets and a healthy pipeline of launches, we achieved a record -breaking sales of INR18,143 crores in the first half of this financial year. That's a 157% year -on-year gr owth, surpassing our entire FY 25 full -year sales in just 6 months.

In Q2 alone, we clocked sales of INR6,017 crores, up 50% year -on-year, with 4.42 million square feet sold across 2,069 units. Average realizations continue to strengthen with apartment prices rising 8% year -on-year to nearly INR15,000 per square foot and plot realizations increasing 43% to INR9,500 per square foot.

Collections also remained very healthy at INR4,213 crores in Q2, marking a 54% increase year - on-year, taking our half yearly collections to INR8,735 crores, a 55% growth compared to last year. Our performance continues to reflect a balanced geographic mix, with Bangalore, NCR and Mumbai leading the way, together accounting for over 80% of sales this quarter. It's also worth noting that our NCR portfolio contributed a significant 45% of the half yearly sales, reaffirming our success in scaling up outside ou r home markets.

On the development front, we launched 3.87 million square feet in Q2 with a GDV of nearly INR4,000 crores, taking our half yearly launch to 18.81 million square feet with a GDV of INR17,500 crores. Some of the key launches included Mayflower at the Prestige City Indirapuram, that NCR, plotted developments such as Autumn Leaves, Greenbrook and Crystal Lawns in Bangalore.

We also achieved completions of almost 8 million square feet in the first half, including large - format residential projects like as Aspen Greens and Avalon Park at the Prestige City Bangalore.

This quarter also was a very special one for us as we crossed the milestone of 200 million square

feet of completed development since inception. This is a very proud moment that reflects the scale, the consistency and the legacy of our growth journey.
On the business development side, we continue to build a strong pipeline for our future growth. During the quarter, we added five new residential projects, translating to a GDV of about INR12,600 crores. This takes our total business development for the half year to around INR33,000 crores across Bangalore, Hyderabad, Mumbai and Chennai, reinforcing the momentum of our expansion a

cross our key micro markets.
We also entered into a leasehold agreement with BIAL, that's the Bangalore International Airport, for 14.2 acres of prime land for development of world -class convention center with a luxury hotel, along with retail and office space near the airport. Turning our financial performance -- turning to our financial performance, in Q2, our revenue stood at INR2,698 crores, up 11% year -on-year.
EBITDA grew 57% to INR1,176 crores with margins expanding to 43.6%. PAT nearly doubled, growing 95% year -on-year to INR458 crores with margins at around 17%. For the first half of the year, revenue was INR5,166 crores, up 16%, and EBITDA rose 31% to INR2,231 crores. PAT for the first half came in at INR769 crores, up 42% year -on-year. Across our annuity portfolio, performance was steady.
In offices, we saw gross leasing at 2.3 million square feet during Q2 with portfolio occupancy at 93%. FY '26 exit rent is projected at INR820 crores. In retail, our malls recorded a 10% increase in GPO, touching INR623 crores, with footfalls of 4.8 million during the quarter and occupancy at a high 99%. Exit rentals for FY '26 are expected at around INR275 crores.
Overall, it's been a period of strong growth, geographic diversification and operational discipline. We continue to focus on executing well across our existing projects while preparing for a robust pipeline in the coming quarters. With this, I open the floor to your questions and suggestions.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Akash Gupta form Nomura.
Akash Gupta: Congrats on excellent performance. My first question, is that is there any update on the Prestige Hospitality IPO? What's the status there?
Management: It's work in progress, Akash. We are working with the bankers, and we are trying to see that the book is fully done. And hopefully, it should happen soon.
Akash Gupta: Okay. And my second question is on your presales guidance. We have already achieved 70% of our guidance in the first half. And if I understand, your sustenance sales are already running at INR30 billion to INR35 billion per quarter. So just on sustenance sales, we'll achieve the guidance for this year. So is there any upside risk to the guidance? Like how are you thinking about FY '26 presales?

Management: Yes. I mean we'll take it as it comes. We only answered it that my first tenant sales will give me another INR6,500 crores for the next 2 quarters. So you've done the math. And then if you have some few launches which we are planning, it will obviously pick up the whole thing. Let's see how it goes. I don't want to either decrease or increase any guidance, which I 've given you earlier.
Akash Gupta: Okay. And sir, like we have GDV of new launches in our PPT that we have disclosed that it's roughly at INR273 billion. Like how much of these launches are we planning in the second half? Are we planning this entire launch pipeline in the second half? Or we are pl anning some percentage of this o r like what are key launches in the third quarter or fourth quarter?
Management: This is a function of getting the approvals and getting the RERA. Like I believe that 4 projects can get launched this quarter itself, which is the Marigold Phase 2, and then we've got Prestige City Fernvale as well as the Eaton Park, both in Prestige City Sarjapur. And then we have got in Raintree Park, the Evergreen component. So it will be Evergreen at Prestige Raintree Park. That's also a fairly large GDV.
So these tree residential high rise. And Marigold, of course, is a plotted development. I think this 3 plus 1, 4 should be able to get launched in this quarter itself. There could be a slip, in case there's any delay in approval. But all things are pointing out that we should be abl

e to pull this
off.
And then we do have in Hyderabad, we have the Golden Grove in Tellapur, which is a fairly large development. It is about 9 million square feet. But then that's a function of approval. If it doesn't happen this quarter, it will certainly happen the followin g. And then we have also the Banjara Hills property. Finally, I think we'll get the approval around in a couple of days. And if

I'm able to get RERA, maybe we can launch that itself. That is called Prestige Rock Cliff. But we spruce up that whole place an d get our team, it's all work in progress.

Akash Gupta: Got it. And my final question, sir, is on the BKC and Mahalakshmi assets. An y update on the leasing demand o r how is that panning out?

Management: The leasing demand is actually very encouraging. In BKC, we have pre -leased over 1.6 million square feet. And so also in Mahalakshmi, there's quite a good demand. Now I have asked my team to go slow and not to commit any more because let the assets get rea dy. Otherwise, it will be a whole lot of pressure.

Of course, we like the pressure. I think BKC should be ready for customers, to the occupiers to start fit -out in the calendar year '27. '26, the project should get ready. And in '27 calendar year, we should be able to give it for fit -outs. And similarly, for the Mahalakshmi, we should be able to get the project up and running in the calendar year in '28 or '29 beginning because that's a high rise, whereas BKC is not high rise, it's only 19 floors. And we are out of the ground fully, and I think work is goi ng at a graceful pace.

Moderator: The next question is from the line of Saurabh from JM Financial.

Saurabh: Congrats on a very good set of numbers. I just wanted to check a couple of things. Firstly, on the lease agreement that you have done with the Bangalore Authority, if you can share more

details in terms of specifications for the development potential there, that would be helpful. And secondly, the Bangalore -- the lease agreement with Bangalore that we have done during the quarter ?

Management: It's a mixed development, Saurabh. You have any other question or you are finished?

Saurabh: Yes. Secondly, again, on the Hyderabad auction land, while you have outlined the residential portion in that project, how should one think about the development potential for retail and office?

Management: Yes. Now the first on buyer, that's going to be a mixed use. We've done that in a hospitality vertical because that will be more of hospitality, convention and performance, art and culture. So it's going to have a contiguous hotel. It's going to have a Marriott marquis , a big, huge convention center as well as support retail in terms of food and beverage and a bit of luxury retail. And leftover FSI will obviously be office.

So that's how the overall master planning is in progress. We've got foreign architect called SOM that is doing the design. So once the designs are ready, we'll be submitting for approval. Then the -- you talked about Hyderabad, which we just recently purchased. Hyderabad, I think the development potential there is about 3 million -plus square feet.

Out of that, 1 mi llion will be residential – one-third of it will be residential, that is the entire of the total development. And the balance 2 million will be office. Of course, again, the same thing, we'll have some support retail in terms of food, beverage and some support retail will be the part of the whole thing. And there will be some other stuff like city club and other things. So that's also under -- work under progress for design. We've got OMA as the architect, and we are pushing them hard to ge t us the design.

Saurabh: Sure. And just last one more bit. Of the 24 million square feet ongoing commercial project that we have, although we have done quite a good progress on leasin

g, just wanted to check, how much of this 24 million square feet is pre -leased so far?

Management: So it's all work in progress. I think finally, by the time the product gets ready, we will be leased out. In fact, we are not leasing out everything in one go because then it will be quite a lot. So see, we are on the job, and I believe that there is a goo d traction, good demand. And once the product is ready, it will be leased.

Moderator: The next question is from the line of Parvez from Nuvama Group.

Parvez: Congratulations for a great set of numbers. A couple of questions from my side. First, I mean, you mentioned about the 4 project launches that we expect to happen in Q3. Would be great to hear your views on some of the project launches that we're targeting for Q4. And also, what is the status of approvals on those products?

Management: So Parvez, I just mentioned that we are going to launch the Prestige Raintree Park Evergreen component and Prestige Fernvale as well as Eaton Park both in the Prestige City and Prestige Marigold plotted development. All of these will happen in this quarter . And the following quarter

will be the Golden Grove. And we'll also h ave the Rock Cliff in Hyderabad. So this is a work in progress. This is how it will pan out. If 1 or 2 other approvals do come, we'll also put that in.

Parvez: Sure. Secondly, our business development has been very strong in H1. I think we have already

added projects with a GDV of about INR33,000 -odd crores. So what kind of -- I mean what's our philosophy in terms of quantum of BD you want to target? Is that -- is there a fixed number that we want to achieve for FY '26, '27? Just want to get your views on that?
Management: See, we want to definitely build up a robust pipeline. At the same time, we are not going to picking up something which doesn't make business sense. It has to be viable, it has to appeal to the market as well as it should also protect the bottom line of th e company. You've seen our bottom line now of late.
So we are very conscious that while we are doing what we are doing, it should also benefit the company. We are not looking -- not only looking at cash flows or top line, we are looking at the bottom line, too. And I think, to that extent, whatever BD that is done, we shall protect not only our landowner's or joint developers' interest, but we will also protect the company's interest. And yes, whenever a good opportunity does come, we will always explore it.
Parvez: And lastly, your views on Jijamata project, and what's the status there? And whe n can we see maybe some first....
Management: That's nice. Actually, Jijamata is work in progress. See now, all these days, we were saying work in progress to clean up the land. Now fortunately, the land is totally clean. Now my first focus is to build EWS that we have to build almost 4,041 homes. And those will be the first focus. But however, once that -- while that is going on, we have engaged SOM as architects for this. They have come up with several iterations. We've gone through many, many iterations on the overall business plan. And we -- I think within maximum a month or so, we would have closed out the entire planning. And after that, it's just which process that happens, getting in the plans approved and everything else. I think even there, we should be able to go to market in about 3 to 4 quarters.
Moderator: The next question is from the line of Puneet Gulati from HSBC.
Puneet Gulati: Congratulations on great performance. On the leasing side in Mumbai, can you talk about what kind of rentals are you seeing currently for the area that you've leased?
Management: It's all upwards of INR400, Puneet.
Puneet Gulati: Okay. Secondly, on the construction side, the spend has gone down a bit on a quarter -to-quarter basis. How should one think about t

he second half of the spend?
Management: No, it's all work in progress. Sometimes you have a slightly -- the graph goes up, sometimes it is -- the things stabilize. But I think it's a steady spend that will happen.

Zayd Noaman : Just to add, Puneet, in the first half, during the March quarter, most of the contractors, they raised their bills, which gets paid off in the Q1. After that, it tapers down. So for the entire year, we are estimating close to INR7,500 crores to INR8,000 crores on the residential business.
Puneet Gulati : Understood. That's very helpful. On the price growth side, are you still seeing price growth in the market? Or do you see price growth slowing down a bit and the focus will be more to sell volumes than value?
Management: No, no, there is value, of course. But the thing is that price can't go on infinitely higher. We've reached certain peaks. And I believe while my whole endeavour will be to make sure that the price doesn't go up more than this because then it's counterproductive.
As long as the company's bottom line is properly protected, I wouldn't want the price to go up because then we are only shooting ourselves in the feet. The thing is the demand will just drop and affordability basically drops, and we can't afford that.
Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: Congratulations on a good quarter and half year. So my first question, I need some data points. So out of the total INR17,500 crores of new launches in first half, so what was the contribution to the presales?
Management: See, the thing is while Amit gets the numbers, what happens is we are very low on the old inventory. So whatever we've launched only is what has given us the numbers. So it is basically all new launches only that has brought us the numbers.
Amit Mor : Around INR11,000 crores.
Parikshit Kandpal : Around INR11,000 crores. So sustenance is running. On average, it is about INR3,500 crores, INR4,000 crores. I think Irfan earlier told that INR6,500 crores is what you're looking at in H2 without any major new launches. So is my understanding correct, like INR6,500 crores is what I think Irfan told earlier?
Management: That's where the inventory is. Whether I do a launch or not, that's what Inventory is. So all the launches will be multiplier, which will be the plus, plus.
Parikshit Kandpal : So I think, sir, the launches which you highlighted, I think GDV, I calculated, is around 10,000. So if we sell, whatever percentage of that, that adds to that guidance of INR25,000 crores, which takes you to a number of INR30,000 crores plus on presales. Is it the right assumption?
Management: I'm not giving any guidance on that.

Parikshit Kandpal : Okay. Sir, the question is not that. The main question is that this year, we had sales of INR8,300 crores coming in from NCR, which is largely our Indirapuram project. So this doesn't seem to be -- I mean, you don't have any major land banks for the next year to make up for this big boost we got this year.

So how are you thinking on the business development side, especially on NCR, given that Noida has given such phenomenal numbers and we don't have any major land bank beyond the two projects? So do you think that over the course of next 12 months, we can add up new projects, new land bank there and maybe supplement this sales which we had seen in this year?
Management: No, no. See, it is work in progress. There are too many offers coming from all over the place. So I can't tell you on the call what are the things that are happening. But if we do close up, we have some very, very hot prospects, and those are closed out -- because basically, we are looking at not at deals, but we are also looking at wh

at makes financial sense. I can't tie up property at optimistic levels and then market changes, we are caught in the wrong side.
So I think -- but there is a huge -- I mean, huge opportunities that are there. And I believe NCR also, Noida, Gurgaon, all these are presenting us with many opportunities. And I'm very, very sure in the next two quarters, there will be a lot more things that will be tied up, and that will come in for the next financial year.
Parikshit Kandpal : Sure. Just last question is the same thing for MMR. So MMR has given -- I mean, I think the bold decision which you took during COVID and with the major expansion in Mumbai, which helped us a lot. Now on the revenue side, we have significantly run down our inventory, except Jijamata. So all the projects have done relatively better than the market.
So now on the business development side, how does one look at MMR beyond Jijamata Nagar project? What are the other projects or any other -- I mean, what are the -- directionally how the business development one should look at here to supplement the sales we have seen in the last two, three years for Mumbai region?
Management: Yes, Mumbai region, it has to be work in progress, and I'm very happy to say that we are almost on the verge of closing up something big in Thane. And then we are looking at other new Mumbai also, Navi Mumbai. And obviously, we've got, within town itself, many opportunities. But those are high -priced properties. But this will not give me volumes. They'll give me huge value. But then it is there. The opportunities are there.
Parikshit Kandpal : And last -- and the data centers, with the announcement which we have done with the Maharashtra government, what exactly are we trying to do? Are we going to build data centers, invest in data centers? So what exactly will be the business model here?
Management: See, we -- our thing is land is now available. We've got the expertise to build the data center. And we would like to partner with someone who will be able to run the data center also. It's a great business. We are looking at it very seriously, and I belie ve it's a big opportunity that we are sitting on.
Parikshit Kandpal : So this will be on a capex model?
Management: It will be capex only. Ultimately, we see now today, whatever we are doing, whether on retail malls, on office or data centers; it will be more on capex and then taking it to a REIT in terms of exit.

Moderator: The next question is from the line of Biplab Debbarma from Antique Stock Broking .
Biplab Debbarma : Congratulations on the excellent performance. My first question is on the presales. I won't be asking guidance. But sir, just wondering, would you consider holding back some launches once you cross, say, INR25,000 crores, INR26,000 crores increases and roll these new launches over to the next year?
Management: No, I think that will not be really necessary . See we believe in churning cash flows. And when the market is good, we would also like to see that the product comes in. And that will also give us the opportunity to do more in the next year and the next year. So it's not -- it's counter productive for me if I've got the approval, if I've got all of it, not to launch.
If I believe market is not good, then we have to wait and watch. But today, the market is good, everything is going well. So why not -- why hold back? I don't think we'll ever -- we never held back. And here also, we won't hold back.
Biplab Debbarma : Okay. That's great to know. And sir, just that you have a capex to be incurred of around INR14,000 crores in commercial and retail. And I'm just wondering how to see it because in the event of a slowdown in the residential cycle, which doesn't look likely, but suppose it happens, how would this impact your capex spend s? I mean, how do you intend to fund this

INR14,000
crores over the next three, four years? And what kind of pressure it would have on your balance sheet? So just if you could give us...

Management: Wherever capex projects we are handling, we've done financial closures across the board. So I don't see any sort of, what's called, pressure on us. But -- and our overall thought process is to get these projects ready, lease them out and finally do a REIT for both resid ential -- sorry, retail as for office.

So I think it will be churn. Like even a hospitality IPO is on the annual. So that -- even the hospitality will go off into a separate company, will have its own separate balance sheet. So there's a proper plan for all this. And then finally, what will be left over will be the residential component, and that will be churning all the time. And if there is a slowdown in the residential, obviously, we'll have to also play it that way.

Biplab Debbarma : So sir, in the near term, then where do you see -- till this REIT happens or till the big projects come for leasing operation, where do you see, say, next two, three years, this net debt? Because it continues to go up. I know debt equity ratio is at a comfortable level. Still, net debt going up. So where do you see net debt can go up in the next, say, 2 years or so?

Management: Amit, do you want to answer that?

Amit Mor : Biplab, currently, our net debt is at 0. 45. And I think so it will remain within 0.5 levels because in the next couple of quarters, I think so, we will get our hospitality IPO done. And once that is done, as per the BRS what we have filed, the debt will be retired. So I would say, in the next two, three years, the debt levels will be within 0.5 levels.

Biplab Debbarma : In maximum terms?

Amit Mor : In maximum terms, we have not guided anything, but it should be around -- net debt should be less than INR12,000 crores – around INR7,300

Management: I'm quite positive on this. There's no sort of scare there.

Biplab Debbarma : All the best. I'm sure you will cross INR30,000 crores in presales in this financial year.

Management: I don't know , pray for it. .

Moderator: The next question is from the line of Pritesh Sheth from Axis Capital.

Pritesh Sheth : Just a couple of questions on the residential side. So we already have acquired INR33,000 crores of GDV this year, and it's all sitting in the land bank right now. How much time it will take for us to bring that into the upcoming or forthcoming pipeline?

And apart from this 250 acres, there is another 750 acres of land sitting in our balance sheet since quite some time. By what time -- by when can we start launching these projects? Just trying to get clarity on our pipeline beyond INR57,000 crores, which you have already disclosed as the upcoming pipeline.

Management: Yes. So I think I'll break up your question into three parts. One aspect is you spoke about the GDV of upcoming launches. Then you spoke about the land bank, when is that going to turn into projects? And the other one is the recent GDV of new acquisitions.

So I think each -- I think it's on a case -by-case basis because it's multiple projects. But our whole intent is to convert them into projects as soon as possible. Each of them are in various stages. And we'll bring these quarter -on-quarter. I think some wi ll shift into upcoming. Upcoming will become ongoing, and the land bank will become upcoming.

So I think within a period of 12 to 18 months, you'll see a lot of changes in the land bank, especially. And of course, the upcoming launches, that will reduce by quite a lot because right now, if you see Mr. Razack has already mentioned, outlined that Eve rgreen, Eaton Park, Marigold, Fernvale, Rock Cliff, all will get launched.

Of course, we have Goa project, which is Prestige Sea Scapes, which is already highlighted, should get launched

, if not this quarter, the next quarter. Garden Trails in Mumbai has already been launched very recently, which is the current quarter.

So these upcoming launches will shrink, and you will have new project coming in from the land bank and the new acquisition. So it's a continuous process. Tellapur also, which is highlighted in the GDV of new acquisitions , this also Mr. Razack spoke about. This is a project called Prestige Golden Grove, and this will also be launched in this over the next quarter.

Management: So it's all work in progress.

Pritesh Sheth: Got it. Just to simply put it, I mean, whatever we have acquired at least this year, monetizable within a year or so or some might take a little longer?

Management: The target is to do it within 12 months.

Pritesh Sheth: Okay. That's helpful. And second on the...

Management: As far as we are concerned as a company, we like to turn land, which is raw material into projects as quickly as possible. We don't like to sit on it. If I'm sitting on land, there will be some trouble in that land or there will be some litigation on that land, which I need to sort out.
But if it's clean and clear, the churn becomes almost immediately. So there's no sort of lag from the time we buy a land to bring it to the market. It's only a question of doing the design and then go into approvals.
Pritesh Sheth: Got it. Got it. And second, on the residential margins, I think I noted like since last 5, 6 quarters, our residential margins are ranging at 25% to 30% on the reported basis. We had earlier guided for around 23% to 25%. Is there upside risk to that guidance or is it just the timing issue of certain high -margin projects getting recognized now and hence, it's looking temporarily higher and this might not be the trend going ahead?
Zayd Noaman: So, going ahead also, Pritesh, our margins, because earlier the margins were a little subdued because we were incurring all the corporate overhead in the P&L. But because of completed contract, the revenues were not flowing in.
Now especially this financial year, the revenues have started flowing in for projects what we have launched in '22. So you will see a margin what we have declared to continue in the future as well. So on a sustainable basis, I would say 28% to 30% you can expect margins on the residential segment.
Pritesh Sheth: Perfect. That's pretty helpful. That's it from my side and all the best.
Zayd Noaman: Thank you.
Moderator: Thank you. T he next question is from the line of Kunal Lakhan from CLSA. Please go ahead.
Kunal Lakhan: Yes, hi. Good evening. Thanks for taking my question. Irfan sir, I just wanted to understand like , you know, if the impact of, say, these global layoffs or announcements trickling down on, say, our core markets like Bangalore and also maybe Hyderabad, both in terms of, say, leasing inquiries for office space or demand for that matter as well as on the residential si de, footfalls and inquiry . Have you seen any change in the trend in the leasing in the recent months or recent quarters?
Management: In fact, on the other side, things are still pretty robust, even including leasing. Now for instance, our Prestige Sky Tech in the financial district, which is a 2.3 million square foot asset, now that's almost fully leased. We've got about 300,000 or less than 300,000 square feet left over to lease.
So and that -- even that, there's a line of sight for leasing the balance also.
So, I mean, people said there was oversupply. But I think a good asset, good location somehow gets taken up. So it's -- we have to wait and watch. But I think as of today, there's nothing for us

to really get concerned about or bother about at the moment. On ground, things seem to be quite good.
Kunal Lak

han: Sure. But would you say that for the industry also or just for your assets?
Management: See, if the industry is doing well, we do well. It's just not that we are only doing well and the industry will not do well. That's not the way. It is okay, if the industry does well, we do better because we have a slightly cutting edge over the others. Bu t then we hope and pray that the atmosphere is good and the economy is good and things are robust. That's the only way. We have to hope for the best for everybody.
Kunal Lakhan: Sure. Thanks. And my second question is on the unrecognized revenue of, say, INR60,000 crores odd. What are the gross margins or EBITDA margins that we expect to clock?
Zayd Noaman: That's what I was mentioning that it would be in the range of 28% to 30% of whatever unrecognized revenue, we should have a margin.
Kunal Lakhan: Okay. 28% on the -- roughly about like 30% of this should come as EBITDA in our P&L in the next 2 to 3 years?
Zayd Noaman: 60 will be over a period of 4 to 5 years.
Kunal Lakhan: 4 to 5?
Zayd Noaman: Yes, yes.
Kunal Lakhan: Understood. All right. Thank you so much.
Moderator: Thank you. The next question is from the line of Yash Gupta from Asit Kot echa Family. Please go ahead.
Yash Gupta: Good afternoon, sir. Sir, in the Q1 con call, we have discussed the revenue recognition will be around INR15,000 crores to INR16,000 crores from the residential side of the business on the completion project basis. So , what's our current expectation from the H2?
Zayd Noaman: In H2, we have some major completion, especially in TPC Sarjapur. So you would see a pickup happen ing. Already we have reported INR5,000 crores in the first half on the residential segment. And in the second half, it should be better. I think, so for the entire financial year, should be around INR11,000 to INR12,000 crores, which is what the thesis we did in FY '22.
Yash Gupta: So any particular reason for like INR15,000 crores to INR16,000 crores or we should look at

from the point of view of whatever presales we have done 4 years ago, that will be the revenue recognition?
Zayd Noaman: It will be broadly what we did 4 years back, should be the revenue recognition currently. Plus, only difference will be plotted development. Wherever we have plotted development, we can say that the revenue recognition for that will happen.

Management: Then the thing is we have about INR60,000 crores worth of unrecognized revenue in the books. Unless we revert back to the percentage completion method, this INR60,000 crores will get recognized only when the product gets ready.
Yash Gupta: Sir, my next question was the same, like some of the listed companies in India are doing -- like they are going back to this partial revenue recognition method. So any thoughts on that?
Management: No. See, it all depends on the auditors because it's a question of -- they say in Maharashtra RERA, the RERA doesn't allow a customer to cancel. So they say if you were doing work on Maharashtra, they would have reverted back to the percentage completion m ethod and you are doing some work in Maharashtra, some work in all other states.
So they -- in fact, they recommended that we sensitize our states also to amend it based on the Maharashtra because the Maharashtra RERA is based on the Central Act. Let's say, in our Karnataka, there is a flaw that allows the customer to walk out if he wi shes to. Whereas in the Maharashtra RERA, the customer is not allowed to walk out.
Once he gets into the contract, he have to go through with it fully. So it's a question of how you view it. But in fact, the auditors have even said in case, believe that you've got a lot of numbers coming in from Maharashtra, we will do 2 sets of accounting, but that's too confusing. So we'll wait and watch. Let's see how it goes.
Ya

sh Gupta: And sir, how is the demand going? How is the luxury demand going? And a lot of the project we have added in Q1 and Q2, much like from the mid segment, so what's your view on the demand side from the mid segment or the luxury?
Management: Demand so far for all segments is good. Now the question is how long will this demand sustain? How long will -- how much more of these sort of high -priced product will have to sort of demand. It needs to be seen because according to me, we -- I believe tha t the high -priced luxury product, which is above that INR50 crores, INR75 crores, there's only one small amount of people that can afford it. So let us see. I mean I wouldn't like to go too much on that huge luxury side. But then wherever there is a demand, we'll take it as it comes. So far, we've been very successful. And so far, we are very happy that we've been able to do it.
Yash Gupta: Okay. Sir, last question. On the Slide #26, GDV of the new acquisition is only including residential projects. And any further detail on this business day number?
Management: Actually, we all forgot about business day. If business day does come in, that will be a fully for sale commercial, but that will happen in the last quarter, I presume.
Yash Gupta: But which project? Can you just throw some light on that?
Management: That's in Bandra. That's called the LIG and that is offices for sale and that is probably one of the office buildings which the company would like to sell and not keep it for REIT. And that also will give us a fairly decent revenue, but that's kept for the last quarter of the year.
Yash Gupta: And it' s a partner with someone or it's our outlet towers?

Management: Sir, it's a redevelo pment project. It's called LIG Housing . I have to do some redevelopment housing. So after we do the redevelopment of the housing, our share, the for sale area, instead of doing residential again and flooding the market, we are doing the offices, Gala that you call it, for sale because it's just next to the High Court, that new High Court that's going to get built, where the government has already got the plans, everything done. And I believe there's a huge potential for that.
Moderator: The next question is from the line of Shubham Dhasmana from Asit Koticha Family Office .
Shubham Dhasmana : How much revenue have you got from Aspen Green and Avalon Park in Bangalore?
Management How much revenu e we have locked in from Avalon Bangalore?
Shubham Dhasmana : On Aspen Green for Q2 FY '26?
Management: Amit?
Amit Mor: We have -- for the entire half year we have recognized the revenue close to INR1,000 crore s for Avalon Park as well as Aspen Green .
Shubham Dhasmana: Okay.
Moderator: As that was the last question for the day, I would now hand the conference over to the management for the closing comments. Over to you, sir.

Management: Thank you, everybody for most insightful and most participative interaction. We've got a lot of good questions. I hope we've answered them all. However, Zayd, Amit, Khizra and Naik are available any time to clarify any further doubts that are there. The company is -- and the team is all committed to outperform themselves and they'll keep doing things which will obviously protect the cash flows as well as the bottom line of the company as we go along.

Moderator: Thank you. On behalf of Axis Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2026

“Prestige Estates Projects Limited
Q3 & 9M FY '26 Earnings Conference Call
January 30 , 202 6

MANAGEMENT : MR. IRFAN RAZACK – CHAIRMAN AND MANAGING DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED
MR. ZAYD NOAMAN – EXECUTIVE DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED
MR. AMIT MOR – CHIEF FINANCIAL OFFICER – PRESTIGE ESTATES PROJECTS LIMITED

MODERATOR : MR. PRITESH SHETH – AXIS CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Prestige Estates Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Pritesh Sheth. Thank you, and over to you, sir.
Pritesh Sheth : Yes. Thank you. Good afternoon, everyone. Apologies for the delay. On behalf of Axis Capital, I welcome everyone to the call. From the management of Prestige Estates, we have Mr. Irfan Razack, Chairman and Managing Director; Mr. Zayd Noaman, Executive Director; and Mr. Amit Mor, the Chief Financial Officer.
I'll now hand over the call to management for their initial remarks, and then we can open the floor for question and answer. Thank you. Over to you.
Irfan Razack : Good afternoon, everyone. I'll ask Zayd to give his opening remarks, and then we'll continue with questions.
Zayd Noaman : Thank you. Good afternoon, everybody, and thank you for joining us on today's earnings call for the third quarter and 9 months ending FY '26. I'll begin with a brief overview of our operational and financial performance, followed by updates across our resi dential, office, retail and ESG platforms, after which we will open the floor for questions.
Q3 and the first 9 months of this financial year have been defining periods for the company, marked by strong execution, healthy demand visibility and continued diversification across geographies and asset classes. Starting with our residential business, w e recorded presales of INR4,184 crores during Q3, reflecting a 39% year -on-year growth. For the 9 -month period, presales stood at INR22,327 crores . This is a growth of 122% year -on-year.
Importantly, this is the highest sales ever achieved by the company and exceeds our previous full year peak sales, all within just 9 months. This year, the performance indicates strong resilience of our portfolio across markets and depth of demand for well -located high -quality developments.
Sales volumes for the quarter stood at 2.99 million square feet, taking cumulative sales for the 9 months to 16.95 million square feet with over 8,500 units sold year -to-date. Our geographic mix remains well diversified, led by Mumbai, Bangalore, Hyderabad and NCR, providing resilience across market cycles.
Average realizations improved to INR14,459 a square foot, up 6% year -on-year, while our plotted developments continue to see strong traction with realizations increasing by over 30%.
Collections remained robust, reflecting the quality of sales and disciplined cash flow. We achieved collectio ns of INR4,548 crores in Q3 and INR13,283 crores over the 9 -month period, the highest collections recorded by the company and higher than full year totals in the past.
On the supply side, during Q3, we launched 5.02 million square feet, taking total launches for the 9 months to 23.83 million square feet with a residential GDV of over INR19,600 crores .

Completion during the quarter stood at 4.72 million square feet and 12.71 million square feet for the 9 -month period, reflecting steady progress and disciplined execution across projects.
Moving to our commercial office portfolio. Leasing during Q3 stood at 0.56 million square feet with occupancy across the operating portfolio remaining strong at over 95%. Exit rentals from the office portfolio for FY '26 are expected to be approximately INR829 crores . With completion of our ongoing pipeline, office annuity income is projected to scale to around INR4,000 crores by FY '30

.
We also recently completed Prestige Lakeshore Drive, Prestige Tech Hub and Prestige Capital Square in Bangalore, premium office developments totaling 3.7 million square feet, which will shortly begin contributing meaningfully to our annuity income.
Our portfolio continues to perform consistently well. During Q3, mall footfall stood at 5.2 million and gross turnover grew 14% year -on-year to INR702 crores . Occupancy across malls remains exceptionally strong at over 99%. Exit rentals for FY '26 are expected to be around INR275 crores and with 14 malls in the pipeline, retail annuity income is projected to scale to approximately INR1,175 crores by FY '30.
Turning to the financial performance. Revenues for Q3 stood at INR3,886 crores , up 128% year -on-year with EBITDA at INR873 crores and PAT at INR245 crores . EBITDA margin for the quarter stood at 22.5%. For the 9 -month period, revenues were INR9,052 crores , EBITDA at INR3,104 crores and PAT at INR1,015 crores , reflecting healthy profitability and operating leverage.
EBITDA margins for the 9 months stood at 34.3%. It's also pertinent to note that our unrecognized revenue as of December 31, 2025, stood at INR61,922 crores , providing strong visibility for revenue recognition over the coming few years.
Finally, on ESG, we continue to make steady progress across environmental, social and governance parameters. Key highlights include India's first net zero energy operational mall at Forum South Bangalore, multiple LEED IGBC and WELL certifications across o ur portfolio, progress under our Prestige Green Promise with a commitment of 1 million saplings and plantations underway and several national safety awards across residential, commercial and retail projects.
Overall, our performance in Q3 and the first 9 months of FY '26 reflects the strength of our diversified platform, disciplined capital allocation and focus on execution. We remain confident about sustaining momentum while continuing to scale our annuity po rtfolio and delivering long -term value to all stakeholders.
With that, I will now open the floor to questions.
Irfan Razack : Thank you, Zayd. Well, done.
Moderator: The first question is from the line of Akash Gupta f rom Nomura.

Akash Gupta : Congratulations on a good performance. My first question is on the margins for this quarter at roughly 22%. What was the reason behind that? And second is also on the cash flows, I think the investment in land, the outflow of cash this year was -- this qua rter was also on the higher side at INR27 billion. What was the reason behind that? That's my first question.
Amit Mor : Yes. The margin reduction was mainly because of the product mix. If you see last quarter, we had a couple of projects where the margin was slightly higher. In the current quarter, there were a couple of projects where the margins were in the single digit.
Basically, if you see, we completed one project during the year called Prestige Siesta, wherein there were legacy customers whom we have sold at -- it's an NCLT takeover, so it was a old rate.
So, the margin in that block was lower. So that has resulted in a lower margin for the quarter.
Akash Gupta : Okay. And the outflow of cash this quarter on the investment in land at roughly INR27 billion, that was also on the higher side. So what was the reason behind that?
Amit Mor : Yes. So basically, this quarter, we had a couple of good opportunities, especially on the bidding and some corporate deals. So one land parcel we had tied up in Hyderabad called the Knowledge Park. There we have invested close to INR1,000 crores , okay? And then in the Chennai market, we have picked up one land for INR800 crores . So these two are the major contributors. But otherwise, the total deployment was close to INR2,700 crores .
Akash Gupta : Understood. My second question is on th

e launch pipeline for fourth quarter. And how should
we think about your presales number in FY '27? So it's fairly certain, I think that we will achieve our FY '26 guidance. How are we thinking about demand and launch es, the big launches in FY

'27?
Irfan Razack : Now this current quarter, we've got three launches coming in Bangalore. One we've already done, which is Evergreen at the Prestige Raintree Park. In the pipeline is Eaton Park and Fernvale in the Prestige City, two more components, where the approval will come in hand in a couple of days, and then we'll get RERA and will get launched this quarter.
We also have a plotted development called the Prestige Marigold in Bangalore. And then Hyderabad, we are very confident of launching two developments. One is the Rock Cliff and which is in Banjara Hills. And the second is the Golden Grove. Golden Grove, again, that is in Tellapur.
It's a very large development. And there, again, we believe we'll be able to launch this quarter.
So all in all, we should cross top line sales in this quarter of about INR8,000 crores , which will take us through to INR30,000 crores for the year, if not more.
Akash Gupta : Understood, sir. And how should we think about FY '27 and your thoughts on the real estate demand, please?
Irfan Razack : The demand continues. For FY '27, it's all work -in-progress. We have a pipeline. I think it's too early for us just now to spell out the -- all the projects that are there, which -- of course, the list

is there, but it's all work -in-progress in the sense which project in this quarter. And I believe that once the product comes to the market, it will definitely be sold.
Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal : Congratulations on a good quarter. Sir, if I look at your numbers for FY '26, you will cross or reach INR30,000 crores . But a large component, almost one third is coming from NCR, so which is INR9,000 crores , which was a hit product this year.
But we start FY '27 at least a shortfall of INR9,000 crores and to reach or achieve or exceed INR30,000 crores , some other products have to contribute. So how does one think in FY '27, how do you intend to make up because NCR, we don't have much of a pipeline as of now?
Irfan Razack : No, no, there is a pipeline. The teams are working on it. There is a strategy, and we have tied up some land in NCR also. We can't be just one product vendor in the NCR. We have tied up two large tracks in the Gurgaon region, which will spell out as we go along.
Parikshit Kandpal : In terms of -- so I don't see that in the business development pipeline, GDV addition. So how much will be the value of the GDV added in these two projects?
Zayd Noaman : So, if you just look at the Slide number 26 in our investor presentation, that tells you the GDV of new acquisitions. That's totaling to around INR40,000 crores . And if you look at existing pipeline that we already have where approvals are nearly finalized and planned for upcoming quarters, we have about 16 projects there, of which 1, 2, 3, 4, 5, 6 projects should get launched this quarter. That balance is around about -- how much, Amit?
Amit Mor : Around INR15,000 crores ...
Zayd Noaman : About INR15,000 crores will be there over there as well. So INR15,000 crores plus we have INR40,000 crores .
Parikshit Kandpal : That I was referring more from the NCR, which you finally touched upon that you have tied up some land parcels. So...
Irfan Razack : NCR, we already have Sector 150, which the legal issue, which was there, has been cleared and the plan should get approved in a couple of months. And that will come for the next financial year. That's why we haven't planned it for this quarter. But for sur e, in the next quarter, that will come.
We've got -- I can't spell out the oth

er two sectors in Gurgaon, which we have finalized. We have a term sheet. We are working on the legal due diligence, and that will surely hit in the next financial year. They are something that at the appropriate time, it will be announced.
Parikshit Kandpal : But in terms of GDV, sir, how much will be the value of these two projects in Gurgaon?
Irfan Razack : If you take that, it will be again a bigger, if not as big as what we've already done in Indirapuram. So the deal will be more than INR10,000, all three put together.

Parikshit Kandpal : Okay. All put together. All put together will be about INR10,000 crores .
Irfan Razack : More than INR10,000 crores .
Parikshit Kandpal : Okay. Secondly, on commercial, I think you have on the television spoken about the commercial assets earlier a few days back. Just wanted an update on the BKC and the Mahalaxmi assets. So how has been the lease traction in these two assets? So, what kind of preleasing we have already achieved into these two assets?
Irfan Razack : Yes. So, what happens is now in BKC, the good news is the construction is underway at a pretty

fast pace, and we should top out the X tower in BKC by April, May of this year. And we should top out the Ys tower by August, September in this particular calendar year. And similarly, for the Turf Tower, which is the Mahalaxmi, which is called the Prestige, both the towers should get topped out by the end of the year, that is December.
So we are -- things are moving at a very, very healthy pace. And then, of course, after we top off, there will be a lot of work in terms of finishing, which will take another year. But having said all that, if you ask me on preleasing, I think the teams ha ve worked really well. And in BKC, we have commitments, firm commitments with deposit for about 1.4 million square feet of office leasing.
Similarly, in the Turf Tower, we would have around 400,000 square feet of pre -leased commitments. That is for property that is under construction, which I would say is a great achievement. Once it's ready, the demand will be much more because the type of p roducts that we're going to deliver will be not seen...
Parikshit Kandpal : Okay. And just lastly on the data center, I think you signed some MOU with the Maharashtra government. Any update on that? So what are you exactly planning to do there? And what kind of investments you should look into the data center ground?
Zayd Noaman : Yes. So that's a work -in-progress. The land will be allocated to us. So we're just waiting for that to be done. Hopefully, at the end of this quarter, we should have a further update on that.
Parikshit Kandpal : Okay. But we are looking to do build -to-suit or will it be....
Zayd Noaman : It will be a combination because it's close to 100 acres. So it will be a complete build -out and it will be completely master plan. So we'll be open to doing either or...
Parikshit Kandpal : Just lastly, if I may squeeze in. So next year, FY '27, I mean, I think in your media interview today, you said that we intend to better off FY '27. So -- but are we looking at any growth? Or you think that INR30,000 crores will be kind of a peak number at least for the near to midterm in terms of presales?
Irfan Razack : For FY '27, see, obviously arrive at our number for FY '26. We hopefully, we are, I think, more or less sure to cross that INR30,000 crores mark. We will take stock. We'll take fresh start. And I think once you are at the peak, I think we need to evaluate, do all our homework and work out from which market, what -- like you yourself asked about the NCR market.

So we are looking at seeing which markets, how much can come from. But I believe the INR30,000 crores mark itself, what we're going to reach is going to be pretty high. We'll give a

guidance when we come to April in the next quarter when we have our conference, maybe we'll have our guidance also ready. As of today, it's too early for me to say anything.
Moderator: The next question is from the line of Karan Khanna from Ambit Capital.
Karan Khanna : Just a couple of questions from my side. Firstly, Mr. Razack, you spoke about INR30,000 crores of presales for FY '26, which effectively means about INR7,000 crores , INR7,500 crores in the fourth quarter. If I look at the launch pipeline, so largely all the 4 projects are in Bangalore. And if I look at the quarterly sustenance sales of about INR3,200 crores , INR3,300 crores , effectively, you're looking at a 50%, 60% kind of a sale on the launch of these projects. So if you can provide some color on the health of the Bangalore real estate market, what's the sales that you're getting on ground in terms of footfalls and convers ions that should take you comfortably to the INR30,000 crores mark?
Irfan Razack : That's the reason why I said we will cross it quite comfortably. We just launched in this month, the Evergreen at Prestige Raintree Park, which is a INR5,000 crores GDV, out of which it has met with a really, really good response. In the first 2 weeks itself, we have done fairly good sales, I think almost about INR1,500 crores to INR2,000 crores , of course, will total up as that sales stabilize.
And I think this quarter on that particular project should do very well. Now we also have the Prestige City 2 components, Eaton Park and Fernvale. Even those, we believe that once the approval comes in hand, which is likely to happen this week or early -- I mean, early next week and the RERA, we should be able to get a fairly decent sellout, like you said, 50%, 60%.
And we have a large development in Hyderabad, which again is going to contribute very big, which is the Golden Grove in Tellapur. So all this put together, we should cross the line very, very comfortably. There won't be any struggles.
Management: Palm Court in Chennai.
Irfan Razack : Palm Court in Chennai. Palm Court also just got approved in Chennai. But Chennai market -- see, now looking at markets, I'll tell you, Bangalore is still pretty busy, it's very good. It's fast. Hyderabad is also fairly decent. Chennai is steady, very steady, and it will not give me instant results, but depends on which micro market, the demand is still there because of the brand itself.
Karan Khanna : Sure. This is helpful. Secondly, on new BD, can you provide some color on what IRRs are you penciling in while signing up new business development? And for the INR40,000 crores , which

was signed so far in 9 months FY '26, what does the margin look like? And in the last call, you mentioned you're looking to sign one large BD in Mumbai. So if you can provide an update on that?

Irfan Razack : I think I'll ask Amit to answer this.

Amit Mor : The IRR, what we are expecting on our recently signed projects is in the range of around 20% to 30%. So most of the projects are in that range itself. So if you see a blended rate for our upcoming and our ongoing projects also, it's in that range. So it wi ll be -- we'll be maintaining that margin levels.

Karan Khanna : And the BD that you're looking at in Mumbai, if there's any update that you are seeing here?

Irfan Razack : See, BD is a work -in-progress. Every day, there's something new that's happened. Now see, the biggest BD in Mumbai is we already have the land, which is the -- and we cleaned it up. And very hopefully, in the next financial year, we launch, which is the Pr estige Place, which is Jijamata. The entire 4,000 homes, which were there, have been cleaned up.

First is our responsibility to build 4,041 homes. Second is as soon as the plans and the concepts are almost getting finalized, where we are going to have a hotel, we are having

office, we are

having a retail mall plus 2.5 million square feet of residentia l.

And I believe that should be a big number mover. And that also will happen in the next financial year. We are also having a large office development, which we are going to sell in Bandra that is called the LIG, which we call it the Business Bay. Even that approval will come in the first quarter of next year in Mumbai. So the BD is -- many things are happening.

Everything can't be spelled out, but there is a lot of traction and there is a lot of opportunity. We -- like you see now you saw Hyderabad, we bought that 11 -acre land in HITEC City, out of which 3 million square feet will be built, 2 million will be offi ce, 1 million will be residential. The residential tower will give us at least INR2,500 crores GDV, and I believe that will be a luxury tower and that there is a vacuum for that type of a product. I think that will also meet with a good response.

Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.

Parvez Qazi : So, my first question is on the DIAL project at the Delhi Airport. It would be great to get some status update about that.

Irfan Razack : Yes. What about the DIAL project?

Parvez Qazi : I mean time lines and how is the...

Irfan Razack : Okay. Now that's good news is that the teams are really putting a lot of focus. First is the 600,000 square feet of office that we have, has been almost all fully leased out and the customers are waiting to move in for their results. And the project itself , I would say the completion of the hotel block will be by July of this year. And of course, there will -- since it's a very large hotel and a lot of rooms, there will be some simulation times 4 to 5 months.

We've already appointed the general managers for both the hotels that is the St. Regis and Marriott Marquis, the huge convention. So I believe the hotel per se should start trading at a soft launch end of this calendar year. And the office component, we sh ould be able to hand it over to the tenants in April as soon as we get the occupancy certificate.

Parvez Qazi : Sure. And second, on the housing side, I mean, you did give a color about the various markets like Bangalore is still good, Chennai, exceeding. I wanted to get your views on price increase. I mean is there a scope for further price increases? Or do you thi nk we are more or less near the top?

Irfan Razack : No, I think we've topped up on the price. We should not allow the price you see. Now what's happened is what components go into price? It is, a, the raw material, which is land; b, it is the cost of construction; and c, the approval cost, these three , like it varies from city to city.

Mumbai, more than the land cost, which is the approval cost because the premiums and the TDRs and the other components are pretty huge. Like in Hyderabad and Bangalore, the approval cost is not that high. But then we have to be very, very careful on what w e commit and we don't overcommit, overpay and overprice the land .

Once you pay too higher price of land, then in case the market corrects itself or there's no demand at a certain level, there is going to be pain. But as of now, at the level that we reached, I think we -- according to me, more or less peaked out, we shoul d not allow prices to rise more than this.

Parvez Qazi : Sure. And one last question for Amit. For the BD deals that we have already entered, what is the pending land capex that needs to...

Irfan Razack : Amit?
Amit Mor : Yes. Just give me a moment. It's close to INR1,800 crores .
Moderator: The next question is from the line of Tarang Agarwal from Old Bridge.
Tarang Agrawal : A couple of questions from our end. One, sir, just to get a sense how conservative or aggressive are we when it comes to calibrating our upcoming GDVs and costs associated with it? Typicall

y,
what are the moving parts which costs are most vulnerable to? An d similarly, when it comes to the GDV?
Irfan Razack : No, no. I think we can't get too aggressive and too optimistic. Whenever we calculate anything, whenever we tie up a deal, we are very conservative. We take the worst -case scenario and make any commitment for any land. And in case we believe that it's just not possible, we just let it go. There's no ego in doing business as long as it makes sense to the company, as long as there is a confirmed bottom line and as long as we believe that there's going to be success, we touch it. Otherwise, it's best thing is to just move away and then live to fight another day.
Tarang Agrawal : Okay. And historically, you've seen an up move in most of your projects where the GDV that you had penciled in at the time of conceiving the project versus the GDV that you actually realized? Is that how the trend been?
Irfan Razack : No, no, that has happened. You see now when we launched Indirapuram before when we tied up the transaction, we thought we'll get a GDV of about INR8,500 crores to INR9,000 crores . Today, we are getting INR12,000 -plus crores .

Of course, on the other side, flip side, even construction cost also has gone up. So if we hadn't got that plus, obviously, we would have got hit on our bottom line if the construction cost went up. So there's an insurance. So that's why we are very conser vative. That's why I meant we are conservative.
We have to be careful and conservative. We can't throw caution to the wind and look only at the volumes. We have to look at the bottom line.
Tarang Agrawal : Got it. Sir, second, just to get a sense on your cash deployment going forward, given your capex commitment of about INR15,000 crores between your commercial and retail business and given the reasonable visibility that you have on your resi cash flows, obviously, it's split in 3 buckets, sold, unsold and upcoming and unsold and upcoming will have certain risks associated with it. But basically -- and the fact that your commercial portfolio in itself will start generating anywhere between INR3,500 crores to INR4,000 crores of free cash. So how should we see cash deployment going forward? Because both office as well as retail seem to be at a point where there'll be self -sustaining a reasonable amount of cash flow generation from the resi business. So how should we see you de ploying this cash going forward? And this is not from a year or 2 perspective, from a slightly longer -term hori zon?
Amit Mor : Right now, as you mentioned, we have close to INR15,000 crores of capex to be spent, okay, of which what we are envisaging close to 40% will be from debt and 60% from our internal accruals, basically residential and whatever surplus cash flows from our annuity business. So that should -- this is how we should be allocating our capital broadly, if you see whatever we are allocating around 70% will be on the residential segment and 30% will be on the capex annuity business.
Tarang Agrawal : Got it. But I mean, if I just put the entire business together, resi and commercial together and just look at the consolidated entity and the underlying characteristics of the resi business, there will be a sizable free cash that could -- that is likely to get generated. So is there a potential for you to have an alternate line of business? I mean, data center is something that's been spoken of. So is there that we could see? Or is something else -- that's basically what I wanted to...
Zayd Noaman : So your question towards what we'll do with the free cash flow is very simple. I think each line of the business is giving us quite good return on capital. So we'll continue to deploy it accordingly. And also, yes, to answer your question, data centers as well is something we are looking at.
But of course, I

think it's very nascent right now. And so we have also looked at acquiring these large parcels of land where the requisite power can also be provided to. And based on demand, we can also ramp up the supply. But yes, we are very agnostic in how we look at things. And if there are some new alternatives also, we're happy to look at it. But as of now, in these 4 to 5 business lines is where we would feel we can deploy most of our capital.
Tarang Agrawal : Got it. Last question. Just an update on Pallavaram, Chennai because that seems to be moving a bit slow. And similarly, Nautilus, I think about INR7,500 crores sold part of the GDV at the time

of launch of about INR87 crores . So how are you looking at Nautilus and an update on Pallavaram?
Irfan Razack : No, no, Pallavaram has, according to me, done -- performed quite well. They've done more than INR1,000 crores worth of sales there. We are just doing excavation and maybe just foundations are going on. Like I said, like in Bangalore, I can't compare a Chennai to a Bangalore, Bangalore or to a Hyderabad or Hyderabad to a Bombay, all have done in their different sp aces. You asked something about Nautilus, what was that?
Tarang Agrawal : So Nautilus, I think absorption till date has been in the ballpark of about INR4,500 crores and about 55% of the GDV. So how are we looking at? I mean, are we consciously going slow on the project, given that it's been established fairly well known? I just wanted to get your sense.
Irfan Razack : No, there's nothing to go slow about. Construction will go a whole hawk because there, again, I think excavation itself will take a year plus. We've started it at full speed, but still 1 year more for excavation. And then obviously, the foundation then eve rything will happen.
In fact, on the other side, the society building is up and about. That's why my society members are pretty happy. And on the sales front, as Nautilus is concerned, I still have to load some more the slump component and some more FSI, all those things.
So as we keep loading, we'll get more and more inventory to sell. Just now, my sales guys don't have that inventory. And I believe that there's no question of going slow. As and when we can and as and when we will get the approval, we'll keep selling and t he demand -- I mean don't wait for the demand. I don't keep inventory hoping for a better price. See, here, always our thing is if the going is good, if there's a product -- there's a demand for the product, sell it.
Moderator: The next question is from the line of Pritesh from Axis Capital.
Pritesh Sheth : A couple of questions. First on, we have gone a bit aggressive this year on building a pipeline in Hyderabad and Chennai. Some of our peers are struggling in those markets. I wouldn't just struggle, but a bit slow in that market in terms of scale up. How s hould we see our target segment in that market?
And what according to you is the right fit for individually those markets to have a good sales as soon as state launch? Because I think morning in the interview, you said that if project doesn't sell 30%, 50% in the first month of launch, then it's not a s uccessful project. That's where we are quite wary of. So, what would be our strategy in Hyderabad and Chennai so that we are successful in these 2 markets as well?
Irfan Razack : Yes, that's a good question. See, in Chennai, I can't hope to have a 50%, 60% sale on the first month of launch. I believe there, if I am getting a 20% sale in the first 1 or 2 months of launch, I would say it's a good project. And another thing is we have not gotten aggressive. We didn't have any inventory at all in that market.

So we have picked up 3, 4 very good priced properties. The opportunities did come. And now those will start coming in a

nd that start fructifying. And since we've been in that market for quite long, I believe there's that opportunity.
Even in Hyderabad, really speaking, our Prestige City, Hyderabad is more or less getting closed out and sold off. So we needed some large ones. So the Golden Grove is a 9 million square feet project, which if launched, I think at the right pricing, the loc ation is just tremendous.
I think it should be a big hit. We've just now also tied up another land in Kompally, even that will take me about 6 to 9 months for approval. That also will come in the next financial year. Of course, Bangalore, we have a big pipeline again. I don't see a ny reason why we can't bring in more and more inventory in Bangalore.
Pritesh Sheth : What should be the size in these two markets? At peak level, what kind of presales that can we generate from both of these?
Irfan Razack : The pricing, we haven't yet decided. I wouldn't want to spell or just hazard any guess on the pricing.
Pritesh Sheth : No, I'm with the presales run rate in these two markets on a steady -state basis.
Irfan Razack : No, I think too optimistic, I would say INR7,500 crores in Hyderabad is what I would expect. And Chennai would expect around INR4,000 crores to INR5,000 crores for the whole financial year.
Pritesh Sheth : Yes. Got it. And just one last on the pricing bit, right? I think it gets into a chicken and egg kind of a situation when prices don't increase, we don't get rush from the homebuyers. So when you say a kind of a flat top out in terms of pricing, are you al so discounting -- discarding those gradual price increases that are needed for customers to make those buying decisions rather quickly. So what's your thought process when you say prices have topped out?
Irfan Razack : Listen, I don't think anybody buys a home looking at price getting higher every month or every

quarter. That's not the way a customer looks at it. They look at location, they look at the product, they look at the opportunity. They look at the affordability . When I say top out, what I meant was that we have reached at certain levels.
I personally wouldn't want the pricing to go up further and further because it will be counterproductive. The only thing would be that if price does go up, obviously, it will, it will be correcting itself against inflation. So that is a thing that's happened. We've seen it year -on-year every 2, 3 years, there's a big high jump.
As of now, we've got that high jump, and I think we should be content with what we have. And if you are able to play within those numbers and the customer also is looking to buy a home. And that's how the customer thinks. It's not that we're looking at -- I mean, I don't want investors to come in, thinking that they'll buy today, sell tomorrow, make some money. I think that will be an artificial market.

Moderator: The next question is from the line of Eesha from Axis Securities.
Eesha : Congratulations on a great year. I think most of my questions have been answered. Just one thing I wanted to understand the corpus that we spent on new acquisitions of BD this year up till now? And what is the kind of corpus that we're expecting for the re mainder of the year? And if you can throw some color on the corpus for the next financial year as well?
Irfan Razack : Over to you, Amit.
Amit Mor : Yes. For the 9 months, we have spent INR4,700 crores . We had actually guided INR4,500 crores . But then as we mentioned, there were certain good opportunities during the quarter. We have deployed INR2,700 crores for the quarter, which is on a higher side.
So, for the Q4, we have allocated close to INR1,000 crores to INR1,300 crores . So we'll end up financial year '26 with close to INR5,500 crores to INR6,000 crores of BD spend. In financial year '27, right now, what we are budgeting is close to INR4

,500 crores to INR5,000 crores what we are allocating for financial year '27.
Eesha : Okay, sure. And the next question is on the debt side. So we -- I think on the call, we spoke about having 40% debt -- capex , 40% debt coverage. So just wanted to understand what is the kind of debt we are expecting by this year -end? And also if we are planning on taking on more debt for the next year?
Amit Mor : See, again, debt, if you see, we have been managing our capex and business development through our operating cash flows itself, the exception being this quarter because of the opportunities. Going forward also, we -- what we are budgeting is we should be able to manage our operating -- from the operating cash flows, capex spend and the business. Whatever debt we'll take is basically to service the interest and repayment of the loans. So current -- just to answer that in '26, we don't expect to go up significantly. It should remain at 0.5 -- 0.55...
Eesha : Okay. Okay. And just one last question, like how we are witnessing a little bit of slowness in micro markets of Chennai, Hyderabad. A, are we seeing any oversupply in those micro markets? And b, are we exploring any new micro markets for the coming years s ince we want that kind of growth for the coming years? Is it just the Delhi, Mumbai markets that we're looking at? Or are we discovering any new micro markets? That's it.
Zayd Noaman : So we're looking at the Pune market as well apart from the markets that we are operating in. And hopefully, we should have some BD in this new market in the next financial year.
Moderator: The next question is from the line of Yash Gupta from Asit Koticha Family Office.
Yash Gupta : Sir, how we are looking at Jijamata project GDV it's nearly 6 months of land clearing. And along with that, any thoughts on Lonavala? I think it's more than 1.5 years we have talked about. Any challenges we are facing?
Irfan Razack : I think Lonavala land procurement is almost completed, but it will still take a few months more. Once we have a fix on the entire total land, then we'll probably get on to the drawing board and

design a product there. On Jijamata, the property is clean. Now the planning is going on. The product mix also has been decided. So it's only a matter of fixing the overall product, getting the approval and moving. That's it.
Yash Gupta : Earlier, we have discussed the GDV of Jijamata will be around INR20,000 crores to INR25,000 crores , but now the prices has increased in those markets. So any upgrade in those GDV?
Irfan Razack : No, no. It's -- just start residential there. It's a total 4.5 million square feet, but out of which 2.5 million will be residential. The rest 2 million will be hotels that is getting the Waldorf Astoria, the Hilton Convention Center, we're getting a city club, office of about 500,000 and 1 million square feet plus retail. So there will be a lot of CapEx.

We are looking at the inflows coming out from the residential also to take care of the CapEx here. So far on that particular project, there is no debt. Again, it's in partnership. So we are at the moment, holding 50% equity there and our partners also have to contribute equally. So we'll take it. We'll say it by you as we go along.

Yash Gupta : Okay. When we say free cash flow from residential project is around INR50,000 crores and revenue recognition of INR61,000 crores . So what's our investment had has gone into this project? And any guidance on the residential revenue recognition for FY '27?

Irfan Razack : No, we've already said that. That's work -in-progress. We'll announce that in April.

Yash Gupta : Okay, sir. Sir, last thing, this Prestige Quantum, is this Sahadev road project?

Irfan Razack : Yes.

Yash Gupta : 1.63 million square feet?

Irfan Razack : Yes. I think whatever total area on the approval comes, we will know. But

that's, I think, 1.2 to whatever I don't know who wrote 1.6 million...

Amit Mor : That is PDSO 1.6 million...

Moderator: The next question is from the line of Jeet from Pinpoint.

Jeet: Congratulations on a great quarter. Just want to understand, it seems for this upcoming quarter, your Bangalore launches alone will help you meet or beat that INR30,000 crores number. So are you still aggressively trying to push those Hyderabad products for this quarter itself, the large project, in particular, Golden Grove?

Irfan Razack : No, I think we have to bring in Golden Grove. It will come. And only thing is we have to keep our fingers crossed that it meets the imagination of our customers and the demand comes from there.

Jeet: Okay. Sure, sir. And sir, secondly, for the Jijamata product, the 2.5 million square feet of residential, is that on salable area or carpet area?

Irfan Razack : Carpet.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for the closing comments.

Irfan Razack : Thank you. It's been an amazing interaction. Anything further, Zayd is always available, Amit is available for any interaction, wherever any clarifications. For us at the company, the teams are working hard to produce better and better results. I think we' ve done that over the several quarters. And we do hope that next quarter also will be as good. Thank you so much.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2026

"Prestige Estates Projects Limited
Q4 FY26 Earnings Conference Call "
May 22, 202 6

MANAGEMENT : MR. IRFAN RAZACK – CHAIRMAN AND MANAGING DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED
MR. AMIT MOR – CHIEF FINANCIAL OFFICER – PRESTIGE ESTATES PROJECTS LIMITED
MR. ZAYD NOAMAN – EXECUTIVE DIRECTOR – PRESTIGE ESTATES PROJECTS LIMITED

MODERATOR : MR. PRITESH SHETH – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Prestige Estates Q4 FY26 Earnings Conference Call, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar and then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pritesh Sheth from Axis Capital Limited. Thank you, and over to you, sir.

Pritesh Sheth : Thank you, Sagar. Good afternoon, everyone, and thanks for joining for the call. From the management of Prestige Estates, we have Mr. Irfan Razack, Chairman and Managing Director; Mr. Zayd Noaman, Executive Director; and Mr. Amit Mor, the Chief Financial Officer.

I'll now hand over the call to the management for their opening remarks. Thank you, and over to you.

Zayd Noaman : Hey, everyone, and thank you for joining us today for the earnings call of Prestige Estates Projects for the fourth quarter and financial year ended March 31, 2026. As you know, this year has been an important year for the company, marked by its strong ope rational momentum across all our verticals be it residential, comm ercial, retail and hospitality.

It also marks several important firsts for us as a company. We launched our maiden residential project in the NCR market, which received a resounding response, translating into sales of over INR9,500 crores from a single project alone. We also achieved our first major residential completion in Mumbai during the year, showcasing the continued strength of our execution capabilities across the regions.

During the year, we also crossed the milestone of having completed 200 million square feet across 300 projects since inception. Also during the year and most importantly, we delivered our highest ever annual sales of over INR30,000 crores, reflecting a gro wth of over 76% year -on-year, supported by robust launches across key geographies, healthy demand conditions and disciplined execution and strong collections.

For the full year, sales volumes grew 77% year -on-year to 22.28 million square feet, while collections crossed INR18,500 crores, reflecting a strong 53% year -on-year growth. We also launched over 31 million square feet during the year with a launch GDV of approximately INR27,000 crores, demonstrating the scale and dep th of our development pipeline.

These launches witnessed a high sales velocity of 63%, contributing to INR17,300 crores in FY26 sales i tself. Our performance was well -diversified geographically with Bangalore, NCR and Mumbai continuing to contribute meaningfully to overall sales. Importantly, we also continue to see healthy realization growth across both apartments and plotted developments.

Beyond residential, our annuity business continued to demonstrate resilience and stability. Our portfolio maintained healthy occupancy levels of 92%, supported by sustained leasing demand from GCCs, tech com panies and domestic corporates.

Our retail portfolio continued to perform exceptionally well as well with near full occupancy of 99%, healthy footfalls and strong consumption -led growth across assets. The H ospitality

segment also delivered a steady operation al performance during the year.
On the business development front, we added projects with a GDV of over INR50,000 crores in FY26, further strengthening our future pipeline across Bangalore, Mumbai, NCR, Hyderabad and Chennai, positioning us well for sustained long -term growth.
Coming to our financial performance. For the full year, revenue stood at INR13,196 crores, registering a growth of 71% year -on-year. EBITDA stood at INR

4,219 crores, up 43% year -on-
year, while PAT stood at INR1,312 crores, reflecting a stro ng growth of 113% year -on-year.
EBITDA margin for the year stood at 32%, while PAT margin stood at 9.9%. During FY26, we also generated a healthy operating cash flow of approximately INR7,100 crores, a strong 15% year-on-year increase, reflecting the underlying strength of our business and collection profile.
We have exciting project launches coming up across Bangalore, Chennai, Mumbai, NCR and Hyderabad during the financial year with a GDV of almost INR58,000 crores in addition to our inventory of INR19,000 crores. We already began FY27 with a massive launch in Prestige Golden Grove in Hyderabad, Tellapur, which is a INR9,500 crore s project, which met an overwhelming response.
Overall, we remain focused on disciplined growth, calibrated expansion and timely execution, strengthening our annuity portfolio, while continuing to create long -term value for all our stakeholders.
With that, I will now open the floor for questions. Thank you.
Moderator: Thank you very much. We will now begin with the question -and-answer session. Your first question comes from the line of Puneet from HSBC. Please go ahead.
Puneet: Yeah. Thank you so much and congratulations on great performance. My first question is, if you can give some colo ur on what you're seeing currently in last one month in terms of the demand environment and the business development environment?
Zayd Noaman : So the quarter started with a bang for us. We launched a project in Hyderabad, Prestige Golden Grove in Tellapur, where we've done some significant sales of INR2,300 crores of sales over there.
Puneet: Okay.
Zayd Noaman : And I think that's a fantastic result. Overall, I think the momentum has been very healthy across cities as well, and we feel this momentum will continue.
Puneet: Okay. And similarly, on the business development side, any change in competitive intensity, land pricing, etcetera?

Zayd Noaman : I think things remain the way they are. Things don't change immediately overnight. We have seen wherever we have taken up transactions, we've maintained whatever is feasible for the company and will match feasibility.
Puneet: Understood. And secondly, if you can talk a bit about the hospitality part of your business . What was the revenue, EBITDA, you know, that you've made during the year in this quarter?
Amit Mor: Hi, Puneet, in the hospita lity vertical, we touched a top -line of INR1,050 crores and EBITDA of close to INR400 crores after deducting even the corporate overheads. So at the hotel, if you see at the hospitality level EBITDA, it is close to INR440 crores for the entire financial year.
Puneet: Okay. And what is the progress on completion of your key hotels in Delhi and any change in... ?
Zayd Noaman : Well, a ctually , the office should be ready in the next two months, hopefully. But otherwise, the teams are working hard, and we should have a grand opening sometime before or after Diwali.
Puneet: Both the hotels?
Zayd Noaman : Yes, yes. It's one box, it's one project. So it's both, the St. Regis as well as the Marriott Marquis as well as the office, about 600 plus thousand square feet. All that will be ready . And we should start trading the hotel after Diwali.
Puneet: Understood. And just on the financial side, we've noticed on the Q4 perspective, we put the capex run rate, and the residential spends run rates have gone up. Should we think of that as a new run rate? Or do you think there were some one -offs in the fourth quarter?
Zayd Noaman : So that will be the going forward spend, Puneet. You can say INR10,000 crores on the development , INR9,000 crores, INR10,000 crores will be spent on the development business side. And on the capex side, we'll be around INR4,000 crores to INR4,500 crores.
Puneet: Unders

tood. That’s great. That’s all from my side. Thank you so much and all the best.
Moderator: Thank you. Your next question comes from the line of Pritesh Sheth. Please go ahead.
Pritesh Sheth : Yeah. Thanks for taking my question. Firstly, congrats on a good year. If you can help us with the guidance for next year in terms of the key parameters, presales, collections, that would be helpful. Yes, that's my first question.
Zayd Noaman : Yes. See, we've all actually done some phenomenal sales this current year. We've gone up from

INR17,000 crores to INR30,000 crores. That's almost 100% jump from the last year. And even the maximum collections we have ever done in the company which is INR18,000 crores. And now going forward, the base is very high, very large. But I do believe that there is more scope, more room for growth, and the teams are focused. So I believe that we should look at a growth between 15% to 20%.
Pritesh Sheth : And on the collections front, since we had a good year last year, so what should be the ballpark growth rate there?

Zayd Noaman : Of course, in the same, similar 15% to 20% growth should be there. But again, it's a function of launches and function of sales. But I do believe that this is what we should and will achieve unless something drastic happens. But as of now, I think , that's the plan.
Pritesh Sheth : Sure. And just to clarify, on the business development, if I hear you correctly, you said INR9,000 crores to INR10,000 crores business development spend from here on?
Zayd Noaman : No, development business, I meant on the construction side. Residential side, we will be spending INR9,000 crores to INR10,000 crores. On the business development, see, if you see what has happened in the current financial year, the business development sp end is on the higher side, which is basically because there were some government and corporate lands which were available, which we have acquired.
So basically one parcel in Hyderabad, and we have acquired three parcels of land in Chennai. So whatever capital deployed on business development, this financial, is on the higher side. Now for the next year, we expect what we have allocated right now is INR4,500 crores for the business development.
Pritesh Sheth : INR4,500 crores. Okay. Got it. And just to clarify again, this INR2,600 crores that we spent in Q4 was only for the acquisitions we did in this quarter, or something from the previous quarter also slipped over to this quarter and hence, we had this higher number?
Zayd Noaman : Some portion is of the previous quarter also. For example, the Raidurg land what we acquired in the previous quarter, one installment , the final installment and the registration was falling due in the current quarter. So we paid that amount in the quarter, close to INR600 crores or INR650 crores what we have paid just on that one.
Pritesh Sheth : Sure. Got it, got it. On the commercial side, while I think we have made a good progress in leasing the BKC asset, which is 70% pre -leased now, if I understand that correctly, the Prestige Mahalaxmi is still 10%. Is it a kind of deliberate strategy to hold on to those leases, or our rental expectations are something which probably right now market is not considering and hence, we are a little slow on that leasing?
Zayd Noaman : No, no, it's a deliberate strategy to delay that leasing in the Mahalaxmi because Mahalaxmi will be a product which has not been seen and which can't be seen in the near future. So we are bein g a little slow.
Having said that, I think we have committed something like about 400,000 square feet even there to some top -notch clients at some great rentals. It will happen. But then we are not in any desperation or any hurry because it's still a long way to go for us to complete the project.
Pritesh Sheth : Sure. Got it . That’s helpful. That’

s it from my side and all the best. Thank you.
Zayd Noaman : Thank you.
Moderator: Thank you. Your next question comes from the line of Kunal Lakhan with CLSA. Please go ahead.

Kunal Lakhan : Yeah. Hi. Good afternoon. Firstly, on the next year's launch pipeline, right, if you can give some colour on in terms of like what could be the GDV of the new launches that you are targeting for '27? And on the key launches, right, which will contribute to '27, where are we on the approval side or development plan side?
Zayd Noaman : Yes, sure. So on the BD front, we added about INR50,000 crores of our pipeline across the company. This year as well, we will also continue to add projects to the kitty. But in terms of upcoming launches, for this quarter we have about 3 to 4 projects, which we will launch, aroun d INR5,000 crores of GDV. That is Gardenia Phase 2 in Bangalore, Palm Court in Chennai and Forest Hills in Mumbai. That should give you around INR5,000 crores in GDV. The balance total is about INR57,000 crores of GDV f or the rest of the year, is what we expect to launch.
Irfan Razack : Just to add that, Kunal, we have already launched Golden Grove. So INR9,500 crores is already launched. And apart from that balance INR5,000 crores...
Zayd Noaman : INR5,000 crores is expected to be launched.
Irfan Razack : Expected to be launched.

Zayd Noaman : Kunal, are you able to hear us?
Kunal Lakhan : Hello?
Moderator: Kunal sir, does that answer your question?
Zayd Noaman : Yeah, I think, Kunal has left.
Moderator: As there is no response from the line of current participant, we'll move on to our next question. Our next question comes from the line of Abhinav Sinha with Jefferies. Please go ahead.
Abhinav Sinha : Hi. Sir, a couple of questions. So firstly, on the lease business, what are the rentals you have received in BKC? And also secondly, in Bangalore, how are the rentals trending right now?
Zayd Noaman : How are the rentals in BKC and the rentals in Bangalore?
Amit Mor : Rentals in BKC are pretty strong. And I think, today, it's around INR360 mark.
Abhinav Sinha : Okay. And Bangalore?
Zayd Noaman : Bangalore depends on which location. See, Bangalore also, the rentals can be anywhere between INR60 to INR130, which is outer, and CBD will be around INR200 plus.
Abhinav Sinha : And how are they trending considering we have a large pipeline now opening up in FY27. So are you still seeing growth on a Y -o-Y basis, or rentals are flat now for the last few months?
Zayd Noaman : There is growth. In fact, there is no space that we have, which is ready. And so that is a good, positive thing for us. And I believe that as and when space gets ready, we are also looking at some few preleases, which I can't tell you to whom. But on the Outer Ring Road, there's

something exciting happening where we are putting up the Phase 2 of Lakeshore Drive, and we are doing the signature tower of Lakeshore Drive. There's some good discussions happening with some big clients to take almost all the space. So it's quite positive .
Abhinav Sinha : The second question on the balance sheet side, with about 0.65x net gearing, are you comfortable with the current level, or you would like to bring this down?
Zayd Noaman : It's work in progress. Ultimately, net -net is when all our capex assets are ready, whether it's office or retail or hospitality, there will be a REIT or an IPO, and that will help us unlock capital. And in the residential side, we really don't need any debt as such bec ause it's all self -liquidating. Only at some point, we are buying some big tracts of land there will be a requirement for capital. But that moment the project is launched , we'll start cashing out. So it's all see, there's no hard rule on how it's done, but then at the

same time, I think whatever we've done is pretty comfortable and I would say, pretty easy considering the amount of work that we are doing.
Abhinav Sinha : Okay. Sir, and finally, on the launch pipeline question, I think which Kunal was also asking. For some of the large projects which we have in Chennai and the remaining pipeline in Hyderabad, what should be the time line for those?
Zayd Noaman : Sure. We've just bought land . That is the Ramco land. We've just bought. The planning is done. Now it will go in for approval. Similarly, we bought the TVS land, again will go for approval. So it will take 6 months to 8 months for these approvals to come. Now there's a brand -new dispensation, which is talking all positive things. So hopefully, it will not take too long, and we should be able to launch quickly.
Abhinav Sinha : Right. Thanks and all the best.
Moderator: Thank you. The next question comes from the line of Parikshit Kandpal with HDFC Securities. Please go ahead.
Parikshit Kandpal : Yes, sir. Hi. Congratulations on a decent quarter. Sir, just one clarification first. So this Prestige 101, so you have leased out 70%. So it includes both the Tower X and Y, right?
Zayd Noaman : Which one? What did you say?
Parikshit Kandpal : Sir, you have said Prestige 101...
Zayd Noaman : Okay. Today, we only talked about X. We said we'll complete X, and then we'll talk about Y because Y also has the additional hotel also. So we want to do it properly. So today, the leasing we are only talking about the X tower. Though all towers are getting ready, of course, X will get ready faster than Y. It's all work in progress.
Parikshit Kandpal : Okay. Second question is, sir, now we have started seeing momentum on the construction on the commercial side. So do you think is it the right time to look at some strategic investor to come in and probably dilute some stake in the commercial portfolio and raise some capital for growth or capex, so which may alleviate some issue around that...

Zayd Noaman : Not just now, not there.
Parikshit Kandpal : So do you think...
Zayd Noaman : The game plan has got a good goal. I think we'll be working towards that goal.
Parikshit Kandpal : So is there any time line? Or I mean, are you open to offshore or you're not , I mean, you will

first build out and then only look at doing some kind of monetization there?
Zayd Noaman : We have an open mind, but the idea is now to build out and lease it, and then do whatever.
Parikshit Kandpal : Okay. Build and lease, and then do whatever you want to do. Okay. Sure, sir. And third thing, sir, just on the Mumbai portfolio. So now we see that there is whatever GDV is left now. So we are not seeing any major new project coming up beyond the sustenance . I think only the commercial is coming up. So how is the business development pipeline building out in Mumbai , because it has been a good contributor last year. So how in next two years, how do you think this will build out? And I also see that you have added Lonavala as well in the land bank. So what is that project?
Zayd Noaman : No, no, no. See, the thing is there's a big pipeline for business development in Mumbai. Actually, we go slow. At the same time, there's a lot of opportunity. We've got the biggest one, which is called the Prestige Place, which is in Worli, which is the Jijamata Nagar, where we've done the plans, everything else even that will come into the market. We have tied up something in Borivali. We have tied up something in Thane. And then, of course, we have office, which is about 1 million -plus square feet in, what's that, near the airport
Amit Mor : Sahar.
Zayd Noaman : Sahar Airport. So it's quite a lot of things that are there. There's no question about not being there. There's a big pipeline. And we are very conservative. We are very measured in what we take.

There's no sense in going full speed ahead.
Parikshit Kandpal : So within the presales, now from Mumbai, how much you are targeting this year? I mean you have done INR6,000 crores last year. So what would be internally you'd be targeting from Mumbai in this year?
Zayd Noaman : Mumbai has done INR6,000 crores. As I said, we are looking at a growth of 15%, 20%. If we get more, it will be great.
Parikshit Kandpal : Okay. Sure, sir. Thank you. Those were my questions and wish you all the best.
Moderator: Thank you. Your next question comes from the line of Akash Gupta from Nomura. Please go ahead.
Akash Gupta : Hi. Thank you for taking my question and congratulations on a good set of numbers. So my first question is on the Mahalaxmi asset. Has there been any delay by one year of completion from FY28 or FY 29? And if that's the case, we are not seeing any change in the exit rental estimate. So that's my first question. What's on that front?

Zayd Noaman : No, no, there's no delay at all. We are all on track. Everything, whatever we have now, right from the day one, we've been consistent. There's no delay.
Akash Gupta : Understood. Sir, my second question is on...
Amit Mor : It was calendar year when we planned to finish it in 2028. So maybe it moved from FY28 to FY29, but it's the same calendar year.
Akash Gupta : Understood. Sir, my second question is on the Jijamata Nagar project. I thought we were expecting it in FY27, but now it's moved to FY28. So is there no chance of it moving again to FY27? What's the thought on that front?
Zayd Noaman : I think it could happen. You see it's all a question of timing. It's a question of getting the approval. We have done the plan. But regulatory stuff, till the regulatory stuff gets done. Otherwise, the plan is clear. It's a flat plan today, and I think it' s only about approvals.
Akash Gupta : Understood. Understood. And sir, just how should we look at the peak net debt or peak net debt to equity? And just thought on operating cash flows? And what's your peak net debt to equity? Or is there any hurdle that we don't want to cross from a peak net debt perspective?
Zayd Noaman : See, again, this quarter, we have seen a slight spike in the debt -equity level because of what we mentioned, that we had acquired a couple of land parcels. Now all those land parcels what we have acquired, we are looking at launching in the current financi al year. So there will be a lot of capital which will get unlocked. So in the current financial year, we don't see the debt -equity spiking further. So we have kept a cap of 0.75x, okay? We don't believe that we should reach the 0.75x as well.
Irfan Razack: No, no. And plus, what happens is we can't look at it quarter -on-quarter. We have to look at it holistically. Now Chennai, we spent INR800 crores for Ramco, another INR350 crores or INR400 crores on TVS. So a lot of money has gone in. And then something in Aram Nagar in Mumbai. So all these investments have been made, and they will get cashed out eventually.
Akash Gupta : Understood, sir.
Amit Mor: Overall operating cash flow also has been quite healthy. So current financial year, we have done INR7,000 crores of operating cash flow, and the growth, what we are predicting 15% to 20%, should result in the coming financial year, the operating cash flow of INR8,500 crores to INR9,000 crores. So we don't see any further spike unless we do some large acquisition.
Akash Gupta : Understood. And sir, my final question is on the EBITDA margin front. In the fourth we have

recorded roughly 26%. Eventually, we expect this number to go to 30%. So by when should we expect that number to start coming in? Because I think now in FY27, our FY22, '23 projects should start getting completed, right?
Zayd Noaman : See, I agree that whatever we have done in '22 is getting recorded in the curren

t financial year
and maybe whatever we have done in '23 will be recorded in the financial year '27. But what has happened also in the last couple of years quite far. So we had clocked INR10,000 crores of sales

in FY22, and that is what we have recorded, close to INR9,000 crores, INR9,500 crores on the residential front in FY26. But my residential presales number is now INR30,000 crores. So just to give a number, my approximate overhead, including my salary cost, my advertisement, marketing spend and all that, it's close to INR1,000 crores.
On our INR10,000 crores, it is 10% overhead rate. But on INR30,000 crores, it's just 3%. So there's a gap of 5%, 6%, which is just because of the lag in our revenue recognition versus the presales. So till the time my revenue recognition does not catch up with t he presales number, you will see some difference in the reported number versus the actual EBITDA numbers.
Akash Gupta : Understoo d, sir. That's all the question I had. Thank you so much.
Moderator: Thank you. The next question comes from the line of Kunal Lakhan with CLSA. Please go ahead.
Kunal Lakhan : Yeah. Hi. Sorry, I got disconnected. So just following up on my question in terms of like if you look at the launches of INR57,000 crores and say, last year, I think almost 60%, 65% of sales came from our new launches, our new launches were almost 60%, 65% sold. If you just kind of do the same math and INR3,000 crores, INR3,500 of subsequent sales, we should be able to like, you know, be on the higher side of the guidance or maybe possibly even surpass the guidance that we are giving for '27. Would that not be a fair assumption?
Zayd Noaman : So, I believe that is a fair assumption. But at the same time, we want to be conservative in how we approach this. Of course, we will make the best efforts to exceed our guidance, but we will, at bare minimum, meet the guidance of 15%, 20%.
Kunal Lakhan : Understood. Understood. Just to again …
Zayd Noaman : INR7,000 crores of GDV that we are slated to launch this financial year , we've already launched INR9,500 crores this quarter, and we have planned to launch another INR5,000 crores worth of projects, which would give us about INR14,000 crores of GDV for this quarter. So all of this depends on the regulatory environment. Hopefully , all being in our favo ur, this can happen.
Kunal Lakhan : Sure, sure. Also on the demand side of things, right? I mean when we look at FY27, a lot of launches are Bangalore and Hyderabad heavy centric, right? How should we look at in terms of like the demand environment in these markets? Are they, you know, considering like the narrative that's going on, on the IT side of things, tech side of things in terms of hiring as well as job cuts, how should we look at or what are you sensing on the demand side? Like are you seeing some slowdown in the decision -making, some impact on footfall conversion?
Zayd Noaman : I mean it's been very healthy so far. Our sales have been consistent month -on-month across different geographies. And the base customer, I mean, ex -Mumbai has been the IT customer. So I would say, yes, they have accepted the higher pricing and the larger t icket price forms as what it was compared to 2 years back.
But we've also been very cognizant of what the appetite is, and we've also been designing products as such not to exceed a certain ticket price. So as long as we're selling within that

region, I think sales will be very healthy. And the mix to mid -income is always evergreen. So we haven't seen any sign of slowdown.
Kunal Lakhan : Okay. Just a follow -up on that. Are you alluding towards some push ?
Zayd Noaman : Sorry, we're not able to hear you clearly.
Moderator: Kunal, sir ?
Kunal Lakhan : Yeah.
Moderator: Sir, we have lost your

audio once again.
Kunal Lakhan : Sorry, can you hear me now?
Zayd Noaman : Yes.
Kunal Lakhan : Yeah. So I was just asking that are you alluding towards there is some pressure or pushback on the higher ticket size apartments in these markets?
Zayd Noaman : In fact, there's no pushback at all. The demand is the same. There's no pushback at all.

Kunal Lakhan : Okay. Sure. And lastly, on the Jijamata Nagar launch, right, the STP -related issue, is it sorted? And what could be the contingency on this if this prolongs?
Zayd Noaman : No, contingency . It's all will be done. So we are coming up with a much better scheme. It's only work in progress. In the next quarter, we'll be very, very sure where we are. And then I think maybe in the next call, we'll be able to tell you something very positive.
Kunal Lakhan : Perfect. Thank you so much and all the best.
Moderator: Thank you. Your next question comes from the line of Biplab from Emkay Global. Please go ahead.
Biplab : Good afternoon and congratulations on the excellent year. So first question is more of a clarification on the net debt issue , I didn't understand. So sir, are you saying that there would be moderation in or the net debt number won't go up in absolute terms and it will stay at INR11,000 crore s level? Or you are referring that debt equity ratio will stay at the same level?
Zayd Noaman : See we are not saying that it will remain at the same level, but it will remain within 0.75 debt - equity level. There will be applied maybe INR1,000, INR 1,500 .
Amit Mor: It will go up and go down.
Management: It's dynamic.
Zayd Noaman : It is dynamic , so I think it will remain within 0.75 level. We have cash flows which will sustain our development business as well as cash flow for business development and the reliance on debt will be minimal.

Biplab : Okay. Okay. Thanks. And on the rental assets that you are developing in BKC, Mahalaxmi and DIAL. So by when do you expect them to generate rental , full-fledged rental, I mean, say, 70% occupancy and generating rental in these three assets?
Zayd Noaman : Properties get ready. So all we look at financial year '28 or '29.
Biplab : Okay. So by '29, I mean, you mentioned about the property getting ready. Do you expect them to be fully leased and generating rental full -pledged?
Zayd Noaman : Yes, yes. There's no doubt.
Biplab : Okay. Okay. And final question is on the Noida project, Bougainvillea. Is it at the same level that it was earlier or there is some progress because we keep on reading news that there is some Supreme Court order, things are moving in that sports city secto r.
Zayd Noaman : Now finally, there's some positive move on that. The master plan has been approved. So now we can go and get our building plans approved and we'll be ready for launch in the next quarter.
Biplab : Okay. That's great news. Thank you, sir.
Zayd Noaman : Very positive.
Biplab : Very positive, sir. Thank you, sir.
Moderator: Thank you. The next question comes from the line of Parvez Qazi with Nuvama Group. Please go ahead.
Parvez Qazi : Hi. Good afternoon and thanks for taking my question. So my first question is containing to Biplab's question. In NCR, we also have added another project, Prestige Meadows 3.8 million square feet. So just wanted to get some more colo ur on it. Is this our Gurgaon project and we expect to launch this in FY27?
Zayd Noaman : Yes, we do. The plan is to launch it this year.
Parvez Qazi : And this is the Sector 92, if I'm not wrong?
Zayd Noaman : 92, y ou're right.
Parvez Qazi : 92, sure. Second question is in Q4, what was the contribution of launches to our presales ?
Zayd Noaman : Sorry. In Q4, what was the contribution of launches?
Parvez Qazi : Launches to our presale? So what percentage of our Q4 presales came from the projects that we launched in the same

quarter?
Zayd Noaman : The entire financial , it was 60%. Maybe I 'll share that data point with you for this separately.
Parvez Qazi : I'll take the data offline. Lastly, of the INR50 ,000-odd crore s of GDV addition that we did in FY26, what is the payment which is still to b e made for those projects added? Thanks.

Zayd Noaman : See, w hatever we have added on the business development, the balance all those land we have fully paid. The one we acquired in Raidurg and the two land parcels in Chennai, the balance to pay is close to INR500 crores.
Parvez Qazi : Sure.
Zayd Noaman : I think, major balance created.
Parvez Qazi : Sure. Thanks and all the best.
Moderator: Thank you. Your next question comes from the line of Gaurav Khandelwal with JPMorgan.

Please go ahead.
Gaurav Khandelwal : Hi. Good afternoon. Thanks for taking my questions. I just wanted to ask if you're seeing any issues in construction in terms of raw material availability labo ur issues across your different project sites, geographies owing to the West Asia conflict? That's my first question.
Zayd Noaman : See, more than the West Asia conflict, we had election in the Northeast in India. So about 1 month, all our labo ur had gone for elections and voting and all that. Now the good news is they have started coming back. And I think by first week of June, we'll be fully labo ur. Yes, now on the commodity front and on the availability of materials, it's only to be seen. As of today, there is no shortage. But if things go really bad, then there is something for us to get concerned about.
As of today, I think availability is there, but the pricing is definitely going to go up.
Gaurav Khandelwal : Got it. But in this case, sir, do we then think that this quarter as in 1Q FY27, the constructions would be a bit on the slower side?
Zayd Noaman : No, no, we have to make up because we've got best -in-class contractors like L&T and Kalpataru. They will definitely ramp -up better and make sure that they don't lose time. So our endeavo ur always will be , our focus will be to see that we are on the ball on that, and I don't think we should have any concern.
Gaurav Khandelwal : Got it. Thanks for that. That's v ery clear. My other question is, if you could just give us some sense of how many of your customers are NRI customers? And I know this is still early to ask, but are you seeing any potential shift in demand from the Middle East to India property markets?
Zayd Noaman : Now, that we can't really weigh, but we always had a small percentage of NRI customers and they keep buying. It's not that everybody in Middle East will come and start buying share. That's not going to happen. But it's only a matter of time.
Gaurav Khandelwal : But at least in terms of, let's say, year -on-year trend or sequential trends, are you seeing the interest from that small NRI cohort, is that still the same or moving up or moving down?
Management : That is very sentiment driven. We consistently do some NRI sales every year, and that number is around the same. I think mindset of NRI is very different to our primary buyer, which is resident in India and who are immediate consumers. So, I think we need to take cognizance of that. Sometimes these things happen when the geopolitical crisis can change sentiment, but that only gives a very small blip in the numbers , change in the numbers.

Gaurav Khandelwal : Got it. And if I can just confirm, how much would the NRI constitute in form of sales like 10% of the total sales or something around that ZIP code?
Zayd Noaman : Yeah. It's about 5% to 8% of our overall sales. That's about INR1,500 crores.
Gaurav Khandelwal : Got it. Okay. Those were all my questions. Thank you.
Moderator: Thank you. The next question comes from the line o

f Akash Gupta with Nomura. Please go ahead.
Akash Gupta : Hi. Thank you for taking my follow -up question. Sir, my question was more on the strategic front and like a time line from a 3 year to 4 year perspective. Currently, we are looking at INR35,000 crores of presales, which would be roughly 4% to 5% market share. In like 5 years, would it be okay to estimate Prestige taking 10% market share, which would be like roughly a INR70,000 crores, INR80,000 crores presales. The question is, is that a reasonable assumption?
Management : It's a reasonable assumption and with the market, everything being the same. We take it step by step, but I don't want to jump too high. As of today, we are looking at this number. And then I think there is room for growth and suddenly the growth may come. But you see also you need to have the bandwidth to manage that.
See, bandwidth in the same is supply, the overall construction ability, all those things also you have to handle. Today I 've got INR65,000 crores worth of unrecognized revenue in my books where the product is sold and not coming to my books because it's just sold and it's not coming to the books because of th e accounting system. That's INR 65,000 crores.
Akash Gupta : Understood. And sir, my second question is on this, again, in 2 years to 3 years' time with all the AI thing happening and this IT slowdown happening, obviously, we are not seeing a slowdown in footfall right now. But then in 2 years to 3 years' time, do you think there are other industries, GCCs, et cetera, that are offsetting that sluggishness in the IT demand, which other sectors are offsetting it? And like especially in a city like Bangalore, how are you seeing that mix changing in 2 years to 3 years' time?
Zayd Noaman : There is demand on GCC are picking up more space. And then if you say AI, AI al so needs space, AI data center needs space. And then AI and data centers, the type of job creation will happen will be a differ ent type of job creation. So it's every one -one business will lead to the other.
Akash Gupta : Understood. That's all the questions, I had sir. Thank you so much.
Moderator: Thank you. We take our next question coming from the line of Yash Gupta with Asit Koticha Family Office. Please go ahead.

Yash Gupta : Yeah. Good afternoon, everyone. Sir, first question is on EBITDA margin. As you have said that our revenue recognition to pick up to the presales number. But I think the gap will always be there. So do you think our reported EBITDA margin will always be 25% only rather than 30%?

Zayd Noaman : It will be in the range of 25% only. Because the catch up will take some time. So if the catch up doesn' t happen, it will be in the range of 25%.

Yash Gupta : But sir, do you think like in 2021 we have some legacy project which is a low margin project. So once those projects are over so in next FY27 we will be going to have some better margin?

Zayd Noaman : See, that's why I mentioned 25%. Yes. Because in financial year '26 we have reported growth to 21%, 22% EBITDA margin. The drop on 25% was mainly because of whatever legacy project which we had acquired in Mumbai. Okay. Whatever had been already sold by the erstwhile developer which we had to hono ur those prices ? So the margins on those sales were actually very low. So there was a different margin. On top of it, as I mentioned earlier overhead also have contributed to those margin s. So current financials is 22%, but on a stabilized business 25%. And when the presales and my revenue recognition is more or less a similar number then it will be close to 28%.

Yash Gupta : Okay. My second question is on the completion basis we are projected to complete 20 -plus residential project in FY27. How much revenue will going to recognize in FY27?

Zayd Noaman : Revenue recognition is within the range of INR12,000 to

INR13,000 on the residential side.

Yash Gupta : Okay. And this quarter, we have added this Prestige Kohinoor as Prestige Quantum commercial in Mumbai. Can you throw some light on both this project?

Zayd Noaman : Sorry, Prestige Kohinoor and?

Yash Gupta : Prestige Quantum in commercial?

Zayd Noaman : Prestige Quantum is 1 million square feet in Sahar and Prestige Kohinoor is a project which is…

Management: Breach Candy .

Zayd Noaman : Near Peddar Road flyover.

Management: Breach Candy .

Zayd Noaman : Breach Candy .

Yash Gupta : Okay. Sure. Thank you, sir.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question for today. I now hand the conference over to the management for closing comments.

Zayd Noaman : Thank you so much for your faith and belief, repose in us. I think the team is very dedicated and we are all very focused on achieving some good results for this coming year and also creating some good delight s for our investors and our customers. So thank you very much, and have a good year.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you, everyone, for joining us and you may now disconnect your lines.